

**RESTRICTIONS ON CROSS-BORDER
MARKETING AND SELLING OF
FUNDS AND INVESTMENT MANAGEMENT & ADVISORY SERVICES
INTO
THE UNITED KINGDOM¹**

PART B

19 January, 2026

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¹ England and Wales, Scotland and Northern Ireland (but not the Channel Islands or the Isle of Man).

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1. BACKGROUND

1.1 Introduction

Please refer to the *Instructions to Counsel* that you have been sent in conjunction with this Part B of the Memorandum.

Note that whilst the focus of the Memorandum is on requirements and routes for unauthorised OFIs, counsel have included information on certain requirements applicable to Authorised Persons, where these may be relevant in particular scenarios.

1.2 Structure of Part B

The questions in Part B of the Memorandum are set out in sections 3 to 11. These sections comprise the **Part B Memorandum Subject Matter**.

1.3 Definitions

Active Marketing	Marketing activities which extend beyond Passive Marketing.
AIF	Alternative investment fund.
Arranging	Making arrangements for another person to buy, sell or subscribe for a Fund or Investment Management & Advisory Services or passing execution instructions to a third party.
Closed-Ended Fund	A Fund with a fixed number of units or shares which does not offer an investor the opportunity to regularly purchase or sell its units or shares.
cross-border	Where: (a) clients, or prospective clients, are located in your jurisdiction; (b) the OFI is headquartered in a jurisdiction different to your own and either has no licensed office in your jurisdiction or is not carrying out the marketing or selling through any licensed office in your jurisdiction; and (c) employees of the OFI are based in a different jurisdiction to your own and are employed by an entity within the OFI group which is headquartered in a different jurisdiction to your own.
EEA UCITS Fund	A Fund which qualifies as an undertaking for collective investment in transferable securities under the UCITS IV Directive (2009/65/EC) and which has been authorised as such in an EEA Member State.
Execution of Orders on Behalf of Clients	Agreeing to conclude agreements to buy or sell one or more financial instruments on behalf of clients. ²
Fly-In Meeting	Employees of the OFI flying into your jurisdiction to carry out marketing activities.

² Note that for the purpose of this Memorandum, Execution of Orders on Behalf of Clients covers the activity of concluding agreements to buy or sell one or more financial instruments on behalf of clients. Agreeing to do a regulated activity is a separate regulated activity in the UK.

Fly-Out Meeting	Marketing activities which take place offshore and which are directed at a person who is normally resident in your jurisdiction.
Fund	A collective investment undertaking, with or without legal personality, which raises capital from a number of investors with a view to investing it in accordance with a defined investment policy for the benefit of those investors. For the purposes of this Memorandum, local counsel have been instructed to assume that all Funds are offshore ^{3, 4} .
Investment Advice	The provision of personal recommendations to a client, either upon its request or at the initiative of the OFI, in respect of one or more transactions relating to financial instruments.
Investment Management & Advisory Services	Investment Advice, Arranging, Portfolio Management and Execution of Orders on Behalf of Clients.
OFI	A bank, asset manager or other offshore ⁵ financial institution e.g. distributor which is marketing or providing financial products or services and is headquartered in a different jurisdiction to your jurisdiction.
Open-Ended Fund	A Fund with or without legal personality which offers an investor the opportunity to regularly purchase or sell its units or shares.
Part B Memorandum Subject Matter	The contents of sections 3 to 11 of Part B of this Memorandum.
Passive Marketing	Marketing or selling following an unsolicited approach by an investor. May also be known as “reverse-enquiry” or “reverse-solicitation”.
Portfolio Management	Managing portfolios in accordance with mandates given by clients on a discretionary client-by-client basis where such portfolios include one or more financial instruments.
Segregated Managed Account	A contractual arrangement between an investment manager and investor where the investment manager makes discretionary investments into financial instruments or assets through an account owned by the investor.
Single Investor Vehicle	A vehicle, which makes investments into financial instruments or assets and which is prevented by national law, the rules or instruments of incorporation, or any other provision or arrangement of binding legal effect, from raising capital from more than one investor.

³ By offshore, we understand this to mean located outside the UK.

⁴ We note that this definition:

- corresponds with the definition of AIF in the Alternative Investment Fund Managers Regulations 2013 (AIFM Regs) but also includes UCITS Funds; and
- overlaps extensively with, but is not exactly the same, as the definition of “collective investment scheme” as such term is defined in FSMA. Most but not all AIFs will be collective investment schemes. However, on the basis that most Funds will fall to be collective investment schemes we will use the terms interchangeably in this Memorandum. **Clients in any doubt should, however, seek legal advice. See part (C) of section 7.1(a) below for more details.**

⁵ By offshore, we understand this to mean located outside the UK.

1.4 Executive Summary

Marketing/selling Funds via the TMPR or OFR

Temporary permissions regime for EEA Funds

Following IPCD (the Brexit implementation period completion date, i.e., 31 December 2020), EEA AIFs and EEA UCITS Funds no longer benefit from single market passporting rights into the UK. In order to prevent disruption to Funds which had historically relied on so-called financial services/fund passports, immediately following the IPCD the UK government introduced a temporary permissions regime (**TMPR**) to enable relevant EEA Funds that were passporting into the UK prior to IPCD to continue operating temporarily in the UK. A temporary permissions regime for firms based in the EEA was also introduced but this ended on 31 December 2023. In order to take advantage of the TMPR, EEA AIFs and EEA UCITS Funds must have taken active steps to notify the FCA of their desire to do so before the end of 30 December 2020.

If a Fund benefits from the TMPR:

- during the TMPR Period, the status quo continues to apply in relation to marketing/selling into the UK. For AIFs, provided that the AIF is registered under the TMPR, there is no separate requirement for the OFI to be separately notified under the TMPR in respect of marketing of that AIF in the UK. However, if marketing is conducted by an OFI and this results in its undertaking regulated activities in the UK (such as Arranging), the OFI will need to be an Authorised Person or rely on an exemption to the General Prohibition (see below for details). Furthermore, the OFI will need to comply with the Financial Promotion Restriction or the CIS Promotion Restriction (as applicable). If an EEA UCITS Fund is registered under the TMPR, the UCITS ManCo marketing it should also have registered under the TMPR (in addition to the UCITS Fund's registration) to continue to rely on its EEA passport to conduct activities relating to the UCITS. Any marketing activities by firms that are not the UCITS ManCo would need to fall within an exemption to the Financial Promotion Restriction or the financial promotions would need to be approved by an Authorised Person; and
- following the expiry of the TMPR Period (or, in respect of TMPR Funds that do not obtain FCA recognition, at the end of their relevant landing slot), the Fund will need to be marketed in accordance with the UK's national private placement regime (i.e. make a notification to the FCA and comply with the requirements under the AIFM Regs), section 272 of FSMA or the Overseas Fund Regime (**OFR**) (both discussed further below) and subject to an exemption to the Financial Promotion Restriction or the CIS Promotion Restriction (as applicable).

Please see section 4.1 of the Memorandum for further details of the TMPR.

Note that, post-IPCD (or, if applicable, the end of the TMPR Period), under the AIFM Regs, EEA UCITS Funds cease to be UCITS from a UK perspective and instead constitute third country AIFs (and their Mancos will constitute AIFMs) under UK law from that point, albeit that if the EEA UCITS applies for and is given "recognised scheme" status under the OFR (as described further below), it can be promoted in the same way as an authorised collective investment scheme established in the UK (including a UK UCITS).

Overseas Fund Regime (OFR)

Recognising that the TMPR is not a viable long-term recognition regime and that the existing individual recognition regime under section 272 of FSMA is limited, the UK government has introduced the OFR, creating a new process that allows Funds that are domiciled outside the UK in jurisdictions deemed to be equivalent by the UK government to be marketed and sold to UK retail investors. The OFR gateway opened for non-TMPR Funds in September 2024, for stand-alone TMPR Funds in October 2024, and for TMPR Funds that are umbrella funds in November 2024.

Once an equivalence determination has been made in respect of a jurisdiction, funds are required to register with the FCA under section 271A of FSMA to become recognised.

The OFR operates alongside the section 272 regime but is expected to be more widely used. The UK government has so far recognised EEA UCITS Funds (except for money market funds (**MMFs**)) as Funds domiciled in equivalent jurisdictions. The OFR is particularly relevant for TMPR Funds that are EEA UCITS marketing to UK retail clients, who will need to apply for recognition under the OFR during their landing slot. Landing slots, during which TMPR Funds can apply to the OFR, started being allocated in October 2024 and the last landing slots are expected to close in September 2026.

The majority of provisions of the OFR came into force on 23 February 2022 and have since been supplemented by final FCA rules and guidance and an FCA policy statement on implementing the OFR. The new FCA Handbook rules and guidance came into force on 31 July 2024.

Once a Fund is approved under the OFR, if marketing is conducted by an OFI and this results in its undertaking regulated activities in the UK (such as Arranging), the OFI will need to be an Authorised Person or rely on an exemption to the General Prohibition (see below for details). Furthermore, any marketing by an OFI must be conducted in accordance with the UK's private placement regime, which means it needs to be made pursuant to an exemption/exclusion from the Financial Promotion Restriction.

Please see section 6.2 of the Memorandum for further details of the OFR.

Marketing/selling Funds on a Private Placement Basis (i.e. not to the Public)

General

For AIFs where either the AIFM or the AIF have a registered office outside the EEA and for EEA AIFs with an EEA AIFM (which, as mentioned above, include EEA UCITS Funds with an EEA Manco) that do not benefit from the TMPR or authorisation/recognition under section 272 of FSMA or the OFR, marketing (whether such marketing constitutes Marketing Requiring Notification, Pre-Marketing or Passive Marketing) must be conducted in accordance with the UK's private placement regime, which means it needs to be made pursuant to an exemption/exclusion from the Financial Promotion Restriction (if the OFI is unauthorised) or the CIS Promotion Restriction (if the OFI is an Authorised Person). The UK private placement regime contains exemptions that permit marketing of Funds to investment professionals along with, in certain circumstances, high net worth and sophisticated investors, although care should be taken to meet the applicable requirements when marketing to such investors. In particular, additional restrictions apply to Authorised Persons marketing non-mainstream pooled investments (**NMPIs**), which include unauthorised AIFs (including EEA UCITS Funds which are not in the TMPR or authorised under section 272 of FSMA or the OFR) to high net worth investors and self-certified sophisticated investors. See section 7.1(a) and section A of Appendix 1 of the Memorandum for further details.

Certain requirements in the AIFM Regs also apply when using the private placement regime for Marketing Requiring Notification. Notification to the FCA is required before conducting such marketing and the relevant AIFM (or the Manco of an EEA UCITS Fund) will have to comply with requirements relating primarily to:

- reporting;
- disclosure;
- appropriate cooperation agreements being in place between the FCA and the competent authorities of the Fund/AIFM; and
- the country where the Fund/AIFM is established is not listed as a Non-Cooperative Country and Territory by the Financial Action Task Force.

Further information is set out in Fund 10.5 of the FCA Handbook.

In addition, when selling interests in Funds (and conducting certain marketing activities), an OFI will also need to consider the General Prohibition where the activities constitute a regulated activity and whether an exemption or exclusion is available.

Pre-Marketing and Passive Marketing

Where the Active Marketing constitutes Pre-Marketing, it will be necessary to comply with the UK's private placement regime (i.e. the Financial Promotion Restriction or the CIS Promotion Restriction, as applicable), but Notification to the FCA is not required.

Passive Marketing is not caught by the AIFM Regs either and Notification to the FCA is not required, provided the Conditions for Permitted Reverse Enquiry are met. As with Pre-Marketing, Passive Marketing is permitted where the OFI complies with the UK's private placement regime, i.e. the Financial Promotion Restriction or the CIS Promotion Restriction (as applicable).

Passive Marketing/selling is also likely to satisfy the “legitimate approach” condition in certain elements of the Overseas Persons Exclusion in respect of certain regulated activities, such as the provision of Investment Advice (which is further discussed below).

Marketing/selling Funds to the Public

The OFR provides an alternative route for Funds authorised in certain “equivalent” jurisdictions to be marketed/sold to the UK public. Section 271A of FSMA allows AIFMs of overseas AIFs (including MMFs) authorised in jurisdictions deemed equivalent by the UK government (such equivalency currently only having been given to non-MMF EEA UCITS) to apply for FCA recognition to market the AIF to the public in the UK. The OFR still requires marketing to the public to comply with the Financial Promotion Restriction (i.e. either marketing done by an Authorised Person or where the Approval by Authorised Financial Promotion Approver Exclusion applies). Please see above under “Overseas Fund Regime” and section 6.2 for further details.

Unless it can take advantage of the TMPR and/or the OFR, an AIF (including an EEA UCITS) marketed to the public will need to be registered as a “recognised scheme” under section 272 of the FSMA. However, this route has, to date, only been used in a small number of cases for Funds wishing to market to the public, and the application process to the FCA is generally considered to be lengthy (with a 6 months’ deadline for the FCA to consider complete applications) and onerous. Where relying upon the section 272 regime, the marketing by an unauthorised person still needs to comply with the Financial Promotion Restriction. In practice, this means that either the entity performing the marketing to the public needs to be an Authorised Person (which could be a distributor appointed by the Fund) or the Approval by Authorised Financial Promotion Approver Exclusion will need to apply, as it is unlikely that any of the exemptions to the Financial Promotion Restriction will permit marketing to the public as a whole. In addition, when selling interests Funds, an OFI will also need to consider the General Prohibition where the activities constitute a regulated activity and whether an exemption or exclusion is available.

It is generally not feasible to rely on Passive Marketing in respect of the general public. This is because, in relation to a “reverse-enquiry” in respect of a Fund (whether Open-Ended or Closed-Ended), the OFI will still need to comply with: (i) an exemption to the Financial Promotion Restriction (if the OFI is unauthorised); or (ii) for a Fund or other entity that constitutes a CIS, an exemption to the CIS Promotion Restriction (if the OFI is an Authorised Person), unless the Fund is recognised under the s. 272 regime or under the OFR.

It will also be necessary to consider the requirements that apply and which derive from the UK PRIIPs Regulation (as replaced by the new domestic Consumer Composite Investments (CCI) regime, implementation of which is to take place throughout 2026 and 2027). The FCA’s new rules on CCIs (and the supporting legislation) will come into force on 6 April 2026. However, for a 14-month transition period firms will have

the option to comply with the current PRIIPS regime – compliance with the CCI Regime will be mandatory from 8 June 2027. See section 6.2(d) for more detail.

See also section 9 of the Memorandum in relation to the public offering restrictions and the Public Offers and Admissions to Trading Regulations (**POATRs**) (which replace the UK Prospectus Regulation and came into force on 19 January 2026). Under the POATRs, it is prohibited to make an offer of relevant securities to the public in the UK, unless the securities are admitted to a regulated market or a ‘primary’ multilateral trading facility, the offer is through a public offer platform or an exemption applies. Unlike the UK Prospectus Regulation regime, it is not possible to cure the position by publishing a compliant prospectus.

Marketing/provision of Investment Management & Advisory Services (IMAS)

Marketing/provision of IMAS is not caught by the AIFM Regs or by the CIS Promotion Restriction. However:

- marketing (whether active or passive) is only permitted in compliance with the Financial Promotion Restriction (i.e. involvement of an Authorised Person or use of an exemption or exclusion). Note that an OFI should also be mindful of the General Prohibition when conducting marketing activities which amount to regulated activities (such as Arranging or Investment Advice); and
- provision is only permitted: (i) where it takes place overseas (and therefore does not trigger the General Prohibition, although this will not apply to Investment Advice which is deemed given where it is received); (ii) where the Overseas Persons Exclusion is available to OFIs which have no permanent place of business in the UK; or (iii) where the services are being provided by an Exempt Person.

Please also refer to section 3(d) for discussion of the BFSa for Swiss firms marketing/selling IMAS into the UK.

Marketing/provision of segregated managed accounts, single investor vehicles and family office undertakings

Marketing/provision of IMAS in relation to single investor vehicles and segregated managed accounts and managing of family office undertakings will generally be subject to the analysis outlined above in respect of IMAS.

Marketing of single investor vehicles will generally not be caught by the AIFM Regs or the CIS Promotion Restriction if they are structured to fall outside the definitions of an AIF and a collective investment scheme. It is unlikely that a segregated managed account or family office undertaking could fall within the definition of a collective investment scheme.

If a single investor vehicle *is* structured to fall within the definition of a collective investment scheme, the CIS Promotion Restriction will apply to marketing by an Authorised Person. In this case it would therefore be necessary for such Authorised Person to consider whether an exemption to the CIS Promotion Restriction is available as opposed to an exemption under the Financial Promotion Restriction. For non-authorised firms, compliance with the Financial Promotion Restriction and the General Prohibition would be required. If the single investor vehicle is a CIS it may in certain situations be an AIF too, in which case Notification to the FCA would be required under the AIFM Regs.

In addition, in the event a single investor vehicle is an unauthorised collective investment scheme and/or an AIF, Authorised Persons marketing these products to high net worth investors and self-certified sophisticated investors will need to comply with COBS 4.12B and ensure the appropriate risk warnings are provided to such investors.

Definitions

For the purposes of this section 1.4, the underlined words have the following meanings:

Approval by Authorised Financial Promotion Approver Exclusion: In relation to financial promotions by an unauthorised OFI (i.e. an OFI that is not an Authorised Person), it is possible for the OFI to have a financial promotion approved by an Authorised Financial Promotion Approver. This applies to non-real time communications only (i.e. not telephone calls or face-to-face meetings). An Authorised Financial Promotion Approver is subject to certain requirements in relation to the financial promotions they approve. A communication approved in this way should be accompanied by a statement that it has been approved for the purposes of s.21 FSMA by an Authorised Financial Promotion Approver.

Communications to a retail investor approved by an Authorised Financial Promotion Approver must identify the authorised firm approving the promotion as well as the date of the approval. Approvers of communications are also required to self-assess whether they have the necessary competence and expertise in the relevant product or service before approving the communication and must engage in ongoing monitoring to check ongoing compliance with the financial promotion regime.

Authorised Financial Promotion Approver: An Authorised Person with permission from the FCA to approve third-party financial promotions. Note that FCA permission is not specifically required for an Authorised Person to approve financial promotions of unauthorised persons within the Authorised Person's own corporate group or financial promotions of appointed representatives of an Authorised Person.

Authorised Person: A person who has permission under Part 4A of the Financial Services and Markets Act 2000 to carry on one or more regulated activities, or a person who is otherwise authorised by a provision of, or made under, the Financial Services and Markets Act 2000.

PLEASE NOTE: Consideration of legislation and regulation as they apply to Authorised Persons in the UK is outside the scope of this survey (among other out-of-scope areas of law). The responses in this survey will not convey the complete picture of laws and regulations applicable to Authorised Persons, however in some sections a high-level overview of laws and regulation as applicable to Authorised Persons has been included to give context. Users of this survey should therefore consult independent legal advice in relation to areas of law which are outside the scope of this survey.

CIS Promotion Restriction: An Authorised Person must not in the course of business communicate or approve an invitation or inducement to participate in a Fund (i.e. market a Fund) unless an exemption applies.

Conditions for Permitted Reverse Enquiry: To avoid triggering the requirements of the AIFM Regs, the following conditions should be met:

- Reverse enquiry can be specific or general;
- A separate reverse enquiry is not required for each separate transaction;
- A confirmation from the investor should be obtained, before the offering or placement takes place, that confirms the offering/placement was made following a reverse enquiry;
- The confirmation should be stored for 6 years; and
- Reverse enquiries must be genuine. Investors should not therefore be invited to make general confirmations to the effect that they are happy to be contacted about future opportunities. Any confirmation should only be provided following a legitimate reverse enquiry from the investor.

Exempt Person: Persons exempt from the General Prohibition include appointed representatives (i.e. persons providing certain services under the umbrella of an Authorised Person) as well as a very limited group excluded by means of an exemption order (listed in Appendix 5 of this Memorandum).

Financial Promotion Restriction: An OFI must not, in the course of business, communicate an invitation or inducement to engage in investment activity (i.e. market) unless: (i) it is an Authorised Person; (ii) the

Approval by Authorised Financial Promotion Approver Exclusion applies; or (iii) an exemption applies. See section 7.1(a) of the Memorandum for further details of the exemptions.

The Financial Promotion Restriction applies to financial promotions which originate outside the UK only if they are capable of having an effect in the UK. “Having an effect in the UK” is a broad concept and to the extent that a financial promotion is made by an OFI to an investor who is in the UK whether permanently or temporarily such promotion will be caught by the Financial Promotion Restriction.

General Prohibition: An OFI must not carry on a regulated activity in the UK, or purport to do so, unless: (i) it is an Authorised Person or Exempt Person; or (ii) an exclusion or exemption applies.

IPCD: Brexit implementation period completion date, i.e., 31 December 2020.

Marketing Requiring Notification: The distribution of investor information in materially final form upon which an investor can make a binding commitment will constitute Marketing Requiring Notification, but marketing communications relating to draft documentation will not.

Notification to the FCA: Notification should be made before conducting activity that amounts to Marketing Requiring Notification. Please refer to section 7.1(b) of the Memorandum for details regarding the procedure for making such notification and the fees payable.

Overseas Persons Exclusion: The Overseas Persons Exclusion applies to “overseas persons” in respect of certain regulated activities, most notably the provision of Investment Advice.

In order for an “overseas person” to be able to rely on this exemption in respect of Investment Advice, the Investment Advice must be carried on as a result of a “legitimate approach”, which is an approach to, by or on behalf of an overseas person that either has not been solicited by him in any way or does not breach the Financial Promotion Restriction. An “overseas person” is a person who does not carry on any regulated activities, or offer to do so, from “a permanent place of business” maintained in the UK.

Where the regulated activity that the overseas person wishes to conduct is Arranging, the position is more restrictive. See section 8.9 for more details.

Pre-Marketing: Active Marketing which falls short of Marketing Requiring Notification. Marketing communications undertaken in an earlier stage of the marketing process (e.g. draft documents) would ordinarily amount to Pre-Marketing. It may also be possible to distribute final forms of documentation within the scope of permitted Pre-Marketing, provided they are not documents upon which an investor can make a binding commitment.

TMPR Fund: An EEA-based investment fund that passported into the UK pre-IPCD and that validly entered into the TMPR. See section 4.1 of the Memorandum for the position with respect to sub-funds of a TMPR Fund.

TMPR Period: Where an EEA Fund entered into the TMPR, it can continue to be marketed in the UK in the same manner as was permitted before IPCD for a limited period of time. This period has been extended by the UK government until up to 31 December 2026. It is anticipated that this will be extended for MMF TMPR Funds marketing to UK retail customers unless a viable route to market into the UK has been opened by then; however, no formal extension has been issued by the FCA. Each TMPR Fund will be allocated a ‘landing slot’ during the TMPR Period, by the end of which it will either need to have applied for recognition or cease relying upon the TMPR. The last landing slots for non-MMF TMPR Funds are expected to close by September 2026.

2. GUIDELINES FOR COMPLETING PART B OF THIS MEMORANDUM

Please check the boxes below to **confirm** you have followed each of these guidelines:

Please **do**:

- (a) let us know if there are **upcoming legislative changes** in relation to the Part B Memorandum Subject Matter **before** continuing to complete Part B. If the changes are major, we may ask you to delay work on completion of Part B until the changes are in force; ☒
- (b) **confirm** that the questions in Part B **cover** all the issues, requirements, restrictions, exemptions or workarounds that could apply to: (i) the cross-border **marketing** and **sale** of Funds or Investment Management & Advisory Services into your jurisdiction and (ii) the cross-border **provision** of Investment Advice or Arranging into your jurisdiction in connection with Funds or Investment Management & Advisory Services; ☒
- (c) provide **focused answers**, which deal only with issues/requirements/exemptions/conditions that are **relevant to a financial institution** (e.g. bank/securities firm/credit institution/hedge fund/investment fund/pension fund/insurance firm) – please do **not** provide theoretical answers that could never apply in practice to a financial institution; ☒
- (d) ensure that you **answer all of the questions** posed in Part B (please note that certain questions comprise several separate questions, all of which must be answered); ☒
- (e) use the **defined terms** in section 1.3 of this Part B; ☒
- (f) begin answers with **"Yes" or "No"**, where possible, followed up with a **simple and concise** explanation; ☒
- (g) where publicly available free of charge, please provide (i) **a website link to any guidance** (e.g. guidance issued by the competent regulator) referred to in your responses; and (ii) an **English translation** of any such guidance; and ☒
- (h) **complete Appendix 1, 2, 3 and 4 of this Part B**, which pull together all of the required and recommended legends, disclosures, risk factors and other forms of wording to be included in the communications referred to in this Part B. ☒

Please **do not**:

- (a) leave any answer **blank** – if a question is not applicable, please indicate this by stating "N/A" (and provide a brief explanation why it is not applicable); ☒
- (b) **modify** any question or the format of this Part B; ☒
- (c) qualify your answer with **additional factual assumptions** unless agreed with aosphere Limited; or ☒
- (d) **cross-refer** to answers to Part A of this Memorandum. Part A and Part B should be treated as separate standalone documents. ☒

3. SOURCES OF LAW; GUIDANCE; COMPETENT REGULATOR

Questions	Answers
(a) Please list the principal sources of law (whether based on specific legislative statutes, common/case law or equity (where applicable) or civil laws/codes and including constitutional laws) applicable to the cross-border marketing and sale of: (i) Funds (whether UCITS Funds or AIFs); and (ii) Investment Management & Advisory Services, to investors located in your jurisdiction. Please include the date that the relevant law(s) entered into force.	The following is a list of the main sources of law relevant to this Part B Memorandum but is not a comprehensive list of all financial services law applicable in the UK. • The Alternative Investment Fund Managers Regulations 2013 (as amended from time to time, the AIFM Regs), 22nd July, 2013. • Financial Services and Markets Act 2000 (FSMA), 1st December, 2001. • FSMA 2000 (Carrying on Regulated Activities by Way of Business) Order 2001 (Business Order), 1st December, 2001. • FSMA 2000 (Exemption) Order 2001 (Exemption Order), 1st December, 2001. • FSMA 2000 (Financial Promotion) Order 2005 (FPO), 1st July, 2005. • FSMA 2000 (Financial Promotion) (Amendment and Transitional Provision) Order 2024, 27 March 2024. • FSMA 2000 (Overseas Funds Regime) (Equivalence) (European Economic Area) Regulations 2024, 16 July 2024. • Markets in Financial Instruments Regulation (EU) No 600/2014 (UK MiFIR) as it forms part of the laws of the UK– date of entry into force 3 January 2018. • FSMA 2000 (Promotion of CIS) (Exemptions) Order 2001 (CIS Exemptions Order), 1st December, 2001. • Prospectus Regulation 2017/1129 as it forms part of the laws of the UK (UK Prospectus Regulation) – date of entry into force 21 July 2019, as revoked from 19 January 2026 pursuant to the Financial Services and Markets Act 2023 (FSMA 2023) (see below). • FSMA 2000 (Regulated Activities) Order 2001 (RAO), 1st January, 2002. • FSMA 2000 (Regulated Activities) (Amendment) Order 2017, (RAO Amendment Order), 3rd January 2018 (although note regulation 1 re commencement). • FCA Conduct of Business Rules (COBS).

	• FCA Collective Investment Schemes (COLL). • FCA Funds (FUND). • FCA MiFID 2 Guide (M2G). • FCA Perimeter Guidance (PERG). • Regulation (EU) 1286/2014 on key information documents for packaged retail and insurance-based investment products as it forms part of the laws of the UK (UK PRIIPs Regulation) – date of entry into force 1 January 2018. • Undertakings for Collective Investment in Transferable Securities Regulations 2011 (1st July, 2011) and the Undertakings for Collective Investment in Transferable Securities (Amendment) Regulations 2012, (UCITS Regs), 24th August, 2012. • The Financial Services and Markets Act 2023 (FSMA 2023) – staggered over 29 June 2023, 29 August 2023, 6 September 2023 and 6 November 2023. • The Public Offers and Admissions to Trading Regulations (POATRs) – which came into effect over a staggered period; the initial commencement day was 30 January 2024, and the remaining provisions came into effect on the main commencement day, being 19 January 2026. Each of the above may be subject to amendments made since entering into force and are referenced throughout this Memorandum as in force as at the date of this Memorandum. We have not separately noted in the list above any legislation which solely amends legislation which is included in the list above and instead have focused exclusively on the main legislation that is relevant in this context in its current form.
(b) Please list any guidance (e.g. bulletins, codes of practice, guidelines, etc.) issued by the competent regulator(s), which is relevant to the subject matter referred to in section (a) above. Please indicate whether guidance has binding (i.e. legally enforceable) or other status.	<i>FCA Handbook</i> Aspects of the FCA Handbook (including parts of COBS) constitute a form of regulatory guidance – this is indicated by 'G' after the relevant rule number. • The Perimeter Guidance Manual (PERG) of the Financial Conduct Authority (FCA) Handbook. This guidance is issued under section 139A of FSMA. It represents the FCA's views only. Therefore, it would not bind the courts in an action for damages brought against an Authorised Person for breach of a rule (section 138D of FSMA (Actions for damages)) or in relation to the enforceability of a contract where there has been a breach of sections 19 (the general prohibition) or 21 (Restrictions on financial

promotion) of FSMA (sections 26 to 30 of FSMA (Enforceability of agreements)). However, it may be of persuasive effect for a court considering whether it would be just and equitable to allow a contract to be enforced (sections 28(3) and 30(4) of FSMA). Furthermore, it is stated in PERG 1.3.1G that if a person acts in line with the guidance in the circumstances mentioned by it, the FCA will proceed on the footing that the person has complied with the aspects of the requirement to which the guidance relates.

- The Collective Investment Scheme Information Guide (**COLLG**) of the FCA Handbook is intended to complement the rules and guidance in COLL. It also explains how an authorised firm should go about applying for authorisation of a scheme under the Act or under the OEIC Regulations. The material in this guide is intended only as a summary of a number of significant legal provisions affecting regulated collective investment schemes. It does not constitute guidance under sections 139A and 139B of the Act and does not have the status of the guidance in the Handbook: <https://www.handbook.fca.org.uk/handbook/COLLG/1A/?view=chapter>
- The FCA has also updated its handbook to include guidance (in PERG 13) on the scope of the UK provisions which implement MiFID and CRD IV. We note there is helpful guidance regarding the scope of regulated activities and applicable exemptions. <https://www.handbook.fca.org.uk/handbook/PERG/13/?view=chapter>

FCA website

The FCA has also provided helpful guidance on the implementation and application of the AIFM Regs: <https://www.fca.org.uk/firms/aifmd-uk>

The FCA's website also includes links to various forms for UK AIFMs which can be found here:

<https://www.fca.org.uk/firms/aifmd/notifications/forms>

The FCA's website also includes guidance for OFR Funds: <https://www.fca.org.uk/firms/overseas-funds-regime-update-firms>

See also the FCA OFR approach to recognition document: <https://www.fca.org.uk/publication/corporate/fca-approach-recognition-ofr.pdf>

See also the draft disclosure wording to be used by OFR funds regarding consumer redress schemes and the potential lack of access to FSCS and FOS:

<https://www.fca.org.uk/publication/corporate/ofr-draft-disclosure-wording.pdf>

The FCA's OFR page also includes user guides for the completing applications for recognition under the OFR for the following funds:

- Standalone scheme (not in TMRP) - <https://www.fca.org.uk/publication/information-sheets/connect-ofr-new-standalone-scheme-user-guide.pdf> ;
- Standalone scheme (in TMRP) - <https://www.fca.org.uk/publication/information-sheets/connect-ofr-tmpr-standalone-scheme-user-guide.pdf> ;
- Umbrella scheme (not in TMRP) - <https://www.fca.org.uk/publication/information-sheets/connect-ofr-new-umbrella-scheme-user-guide.pdf> ;
- Umbrella scheme (in TMRP) - <https://www.fca.org.uk/publication/information-sheets/connect-ofr-tmpr-umbrella-scheme-user-guide.pdf> ;
- Addition of (a) new sub-fund(s) to an umbrella scheme that has already been recognised under the OFR - <https://www.fca.org.uk/publication/information-sheets/connect-ofr-sub-fund-umbrella-scheme-user-guide.pdf>

The FCA's website includes information on disclosures under the PRIIPs regime:

<https://www.fca.org.uk/firms/priips-disclosure-key-information-documents>

The FCA has updated its webpage (<https://www.fca.org.uk/firms/authorised-recognised-funds/amend>) regarding the process to amend or request to de-recognise the following types of fund that have been "recognised" for promotion in the UK:

- Previously recognised EEA UCITS; and
- Funds recognised under section 272 of FSMA.

In March 2024, the FCA issued [finalised guidance](#) on financial promotions on social media (FG24/1).

ESMA guidance

The European Securities and Markets Authorities (ESMA) has provided guidance on a number of topics, including the EU'S MiFID II and MiFIR⁶. For the purposes of this Memorandum, the [questions and answers](#) on MiFID II and MiFIR investor protection and intermediaries topics are

⁶ MiFID II: The EU's Markets in Financial Instruments Directive II 2014/65/EU, as amended. MiFIR: The EU's Markets in Financial Instruments Regulation (EU) No 600/2014, as amended.

	most relevant <i>(the version of 21 December 2020 applies in the UK – please note that the link provided relates to the latest versions from 2023 but only answers up to 21 December 2020 have relevance in the UK: as at the date of this Memorandum, no material changes have been made to those answers that affect our views here)</i> ⁷ .
(c) Please provide a website link to the English language version of any such sources of law or guidance referred to in section (a) or section (b) above, if publicly available free of charge.	FSMA: http://www.legislation.gov.uk/ukpga/2000/8/contents FPO: http://www.legislation.gov.uk/uksi/2005/1529/contents/made Exemption Order: http://www.legislation.gov.uk/uksi/2001/1201/contents/made Business Order: http://www.legislation.gov.uk/uksi/2001/1177/contents/made CIS Exemptions Order: http://www.legislation.gov.uk/uksi/2001/1060/made AIFM Regs: http://www.legislation.gov.uk/uksi/2013/1773/contents/made Collective Investment Schemes (Amendment etc.) (EU Exit) Regulations 2019: https://www.legislation.gov.uk/uksi/2019/325/contents UK MiFIR: https://www.legislation.gov.uk/eur/2014/600/contents UK Prospectus Regulation: https://www.legislation.gov.uk/eur/2017/1129/contents POATRs: https://www.legislation.gov.uk/uksi/2024/105/contents/made UK PRIIPs Regulation: https://www.legislation.gov.uk/eur/2014/1286/ RAO: http://www.legislation.gov.uk/uksi/2001/544/contents/made RAO Amendment Order: http://www.legislation.gov.uk/uksi/2017/488/pdfs/uksi_20170488_en.pdf UCITS Regs: https://www.legislation.gov.uk/uksi/2011/1613/contents The Financial Services and Markets Act 2023:

⁷ In its publication "Brexit: our approach to EU non-legislative materials", the FCA stated that, following the end of the Brexit implementation period on 31 December 2020, it continues to have regard to EU non-legislative material such as questions and answer documents, guidelines, recommendations and opinions, notwithstanding that these materials have not been incorporated into UK law and that firms should also continue to do so. In a joint- Bank of England and PRA Statement of Policy "Interpretation of EU Guidelines and Recommendations: Bank of England and PRA approach after the UK's withdrawal from the EU", the Bank of England and PRA also stated that they expected firms to continue to make every effort to comply with the EU guidelines and recommendations that were applicable at the end of the transition period, to the extent that these remain relevant.

	https://www.legislation.gov.uk/ukpga/2023/29/contents/enacted The Financial Services and Markets Act 2000 (Overseas Funds Regime) (Equivalence) (European Economic Area) Regulations 2024: https://www.legislation.gov.uk/uksi/2024/635/introduction/made PLEASE NOTE THAT THE LINKS ABOVE RELATE TO THE LEGISLATION AS ORIGINALLY PASSED AND DO NOT REFLECT ANY SUBSEQUENT AMENDMENTS MADE. The UK government’s legislation.gov.uk provides a publicly available consolidated version of UK laws. However, these texts may be incomplete or inaccurate – users of this Memorandum should therefore seek appropriate legal advice as to the current state of the law at the relevant time. COBS: https://handbook.fca.org.uk/handbook?entityId=cobs COLL: https://handbook.fca.org.uk/handbook?entityId=coll FUND: https://handbook.fca.org.uk/handbook?entityId=fund PERG: https://handbook.fca.org.uk/handbook?entityId=perg M2G: https://handbook.fca.org.uk/handbook/m2g2
(d) Are there any announced future changes to the laws listed in section (a) above? If so, please: (i) contact us before continuing if the changes are significant; and (ii) provide brief details (including expected date of entry into force and what the anticipated scope of the changes is to the extent relevant).	<u>The Smarter Regulatory Framework, FSMA 2023 and the revocation of assimilated EU law</u> Following a transitional period, FSMA 2023 (which received Royal Assent on 29 June 2023) provides the framework for (amongst other things) what HM Treasury is calling a “smarter regulatory framework” (SRF) for the UK. Whilst some of FSMA 2023 has come into force on a staggered basis (including the Designated Activities Regime, the Digital Settlement Assets powers and the Financial Promotions Gateway), additional provisions are yet to be in force. FSMA 2023 contains the following key measures relevant to the future implementation of the SRF: • revocation of assimilated EU law relating to financial services. These laws will be replaced with UK specific legislation (based on the UK’s existing FSMA model for financial services regulation) or restated where applicable. This will result in increased regulatory policymaking responsibilities for the FCA and the PRA and involve transferring certain regulatory requirements currently set out in retained EU law into

	the regulator rulebooks (the stated intention being to create a more agile regulatory regime and, as far as possible, a single source of requirements for firms). HM Treasury is commencing the revocation of assimilated EU law in tranches to ensure the financial services industry is able to prepare effectively. In July 2023, HM Treasury published its delivery plan for implementing the SRF which includes a broad overview of the government's approach to revocation and replacement of assimilated EU law. The government intends to use the Regulatory Initiatives Grid to provide stakeholders with an overview of upcoming legislative changes under the SRF; • powers for HM Treasury to make targeted modifications to assimilated EU law whilst the process of revoking EU law is being completed, which is expected to take a number of years; and • introduction of a Designated Activities Regime (DAR) to regulate certain activities related to financial markets and financial instruments which are outside the scope of legacy UK financial services regulation (these are largely activities regulated under existing assimilated EU law). Initially the government expects most designated activities to be activities which are currently regulated through retained EU law. Firms conducting a designated activity will not necessarily be required to be authorised, but will be required to follow the relevant FCA rules for that activity (see e.g. under "Replacement of PRIIPs Regulation" below). Other relevant measures in FSMA 2023 which may affect the future implementation of the SRF are discussed elsewhere in this section 3(d). On 21 March 2024, HM Treasury published a policy paper on the next phase for building an SRF for the UK. The paper sets out progress of the programme so far and the approach to the next phase. In particular, the paper: • provides updates on the process of removing/repealing assimilated EU law relating to financial services, including in relation to the Prospectus Regulation and PRIIPs Regulation and on removing restrictions on the ability for the UK regulators to make UK tailored rules (see further: "Replacement of UK PRIIPs Regulation" below and section 9 in relation to the new regime for public offers and admissions to trading); and • sets out the next areas of focus for the government, where regulatory reform will be prioritised, including in relation to the AIFMD, UCITS Directive and the UK MiFID Org Reg (which was revoked in October 2025 and the firm-facing requirements of the MiFID Org Reg were transferred into FCA Handbook Rules) and UK MiFIR.
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For each of these, the government has/will undertake a policy review, where necessary, to determine what should be retained in legislation, and the respective future roles of HM Treasury and the UK regulators.

Leeds Reforms and Mansion House 2025 package

On 15 July 2025, a package of reforms to the framework for UK financial services regulation was announced, known as the [Leeds reforms](#), together with various financial services proposals and policies as part of the growth and competitiveness strategy. The Leeds reforms cover a wide range of topics, including a number of proposals that may impact firms cross-border marketing/selling into the UK. The Leeds reform papers are collated as part of the [Mansion House 2025 package](#).

In particular, proposals of relevance to an OFI include:

- a policy paper on [overseas recognition regimes](#), setting out the government’s approach to designating overseas jurisdictions under the Overseas Recognition Regime, which will in practice replace the EU derived frameworks for equivalence decisions, together with a [table](#) on UK HMT Equivalence Decisions and Overseas Recognition Regime Designations. The policy paper sets out the objectives and principles that will guide decision-making on recognition and notes the government’s commitment to an outcomes-based framework. The paper also provides information on the assessment process and explains HM Treasury’s approach to the ongoing monitoring, review and potential withdrawal of designations;
- a [call for evidence outcome](#) on the UK financial services growth and competitiveness strategy, which includes wider discussion on the UK proposals and approach. Among other matters, the paper:
 - includes discussion in chapter 2 on harnessing the UK’s global leadership in financial services and enhancing cross-border financial flows and UK access to global markets. This includes discussion of the overseas recognition regime, the UK-Swiss BFSa (see “UK-Swiss relations” below), the facilitation of greater market access for UK financial services firms through more free trade agreements and the intention to establish an office for investment in financial services which will be a new, dedicated concierge service to guide and support international investors looking to establish or grow a presence in the UK’s financial services sector; and
 - includes on page 63 a timeline of expected developments in the UK;

- FCA policy statements on the new rules for the public offers and admissions to trading regime ([PS25/9](#)) and final rules for public offer platforms ([PS25/10](#)), together with a number of handbook instruments (see further discussion of the public offer regime changes in section 9); and
- an FCA [statement](#) on market reforms, including an intention to review who can be treated as a professional investor by investment firms and how retail consumers access investments (see further discussion under “Expanding Consumer Access to Investments” and “Client Categorisation Consultation Paper” below).

Updating and improving the UK regime for asset management

On 20 February 2023, the FCA published a [discussion paper](#) (DP) seeking views on possible areas for regulatory reform in asset management. As part of the UK future regulatory framework review, the FCA will have much of the responsibility for writing the rules for aspects of assimilated EU laws, including in relation to AIFMD, the UCITS Directive and MiFID. The FCA is issuing the DP to help them prioritise any areas for amendments.

The DP requests feedback on:

- whether the FCA could make the regulatory regime for asset managers clearer, including for example by creating a common framework of rules for asset managers. The DP discusses:
 - the position for fund managers of different types and portfolio managers;
 - the regime for retail funds; and
 - the regime for managers of professional funds;
- areas where the regime for asset management and funds could work better. In respect of portfolio managers, the FCA requests feedback on making the requirements on portfolio managers of funds clearer or whether to set minimum contractual requirements between host fund managers and portfolio managers; and
- how technology can drive change, including discussing structural changes such as fund tokenisation.

In respect of the AIFMD, the FCA is not planning to significantly change the rules. However, they are requesting feedback from professional investors on whether to change the size threshold for the full-scope UK AIFM regime or expanding the use of the small authorised UK AIFM exemption. The FCA also asks if there are other aspects of the current AIFM regime that professional investors do not value and could be removed.

In respect of UCITS, the FCA asks questions around the boundaries of the UK UCITS regime and whether these remain appropriate.

The FCA also notes that, in addition to the issues raised in the DP, it is intending to review regulatory reporting and will use feedback to the DP to help develop their thinking in this area. See also an [update](#) from the FCA on their priorities for updating and improving the UK regime for asset management.

Proposed ban on cold calling for consumer financial services and products

On 2 August 2023, HM Treasury published a [consultation](#) on its proposed ban on cold calling for consumer financial services and products.

HM Treasury is proposing a ban covering unsolicited calls to an individual for direct marketing, including where the caller is ringing from overseas. HM Treasury is also asking for feedback on whether the scope should be extended to include cold calling that takes place on live, electronic communications, such as social media video or voice calls and to in-person, unsolicited marketing.

The ban is expected to apply to all financial products and services which would include Funds and IMAS.

The ban is proposed in relation to cold calling to consumers. Business-to-business cold calling for financial services and products is not planned to be in-scope of the ban.

HM Treasury is analysing feedback to the consultation. We note that consumer laws are generally outside the scope of the Memorandum, but we mention this due to the potentially wide scope of the ban.

Replacement of UK PRIIPs Regulation

On 11 July 2023, HM Treasury confirmed its intention to introduce a new UK retail disclosure regime (the **CCI Regime**), replacing the UK PRIIPs Regulation and UCITS disclosure requirements, with the FCA becoming responsible for setting rules for retail disclosures.

On 22 November 2023, HM Treasury published a [policy note](#) on the UK retail disclosure framework. Following publication of two consultation papers, ([CP 24/30](#) and [CP 25/9](#)), on 8 December 2025, the FCA published a Policy Statement ([PS25/20](#)) which included the final rules for the CCI Regime. The CCI Regime will apply to any person intending to distribute ‘consumer composite investments’ (CCI) to retail investors in the UK, even where they are based overseas, and will be underpinned by the Consumer Duty. The CCI Regime will come into effect on 8 June 2027.

	<i>Key features of the regime</i> • The final rules define products in scope of the new CCI Regime. A CCI is: (a) any of the investments laid out in the Product Disclosure Sourcebook (DISC) at 1A.2.1R, including: ○ a structured deposit; ○ a structured product; ○ a structured finance product; ○ a security or financial instrument which is or embeds a derivative, or which includes features equivalent to a derivative contract; ○ a debt security which meets the criteria in DISC 1A.2.2R (see below); ○ a security issued by a fund, or rights to or interests in such a security; ○ a contingent convertible security; ○ a contract for differences; ○ an insurance-based investment product; and ○ any other investment where the returns are dependent on the performance or changes in the value of indirect investments. DISC 1A.2.2R provides that a debt security will fall within scope of the CCI regime if the level of interest payable, any conditionality of principal repayment, or the issuer's default risk, is linked to or materially dependent on one or more of the following, whether or not modified by a pre-determined formula: ○ fluctuations in reference indices or benchmarks relating to investments or a class of investments – for example, a stock market index; ○ the value or performance of a financial instrument or a basket of financial instruments, or one or more specified commodities or foreign exchange rates; or ○ the value or performance of investments held by the issuer or by a person connected to the issuer. • a CCI must be accompanied by a product summary (replacing the PRIIPs KID and UCITS KIID) whenever it is or can be distributed to a UK retail investor. The product summary must be prepared by the manufacturer (a manufacturer of a CCI is person who creates, develops, designs, issues, manages, operates, or carries out a CCI,
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	including making, (or, for an Authorised Person, being able to make), changes to a term, condition or feature of a CCI); • manufacturing, advising, offering or selling a CCI to a UK retail investor will be specified as designated activities under the DAR and will require firms to provide disclosure to UK retail investors; • the FCA has rule-making powers in relation to such designated activities, which will extend to both domestic and overseas unauthorised firms providing CCIs to UK retail investors; • the regime will also include recognised funds, including those in the Overseas Funds Regime; • creation of a product summary will be the responsibility of the manufacturer. A distributor (i.e. a person who offers, advises on, or sells a CCI, or provides investment services relating to a CCI to clients) will be required to deliver these to consumers, unamended, in a durable medium at the point of sale (or shortly after, but always before the sale becomes binding); • distributors cannot create their own product summary but can use underlying data from manufacturers to build consumer journeys and only need to highlight the information consumers need to make a properly informed decision; and • the regime will also apply to the retail distribution of securities issued by closed-ended investment companies, such as investment trusts and venture capital trusts. Where a product is a non-retail product (but a manufacturer may not be able to fully ensure there are no sales to retail investors, e.g. for listed securities), the FCA proposes to disapply the requirements to an offer of a CCI which is a readily realisable security where the offer meets the following criteria: • the marketing materials (including prospectus, where relevant) feature prominent and clear disclosures that the product is not intended for retail investors, and the CCI is only being offered to professional clients/eligible counterparties; • the issuer has taken reasonable steps to ensure the offer and associated promotional communications are directed only at non-retail investors; and • the distribution strategy and arrangements with distributors for the CCI are appropriate in light of the non-retail target market. <i>Transitional Period</i>
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The FCA's new rules on CCIs (and the supporting legislation) will come into force on 6 April 2026. However, for a 14-month transition period firms will have the option to comply with the current regime – compliance with the CCI Regime will be mandatory from 8 June 2027. During the transition period:

- firms will be able to move to the CCI Regime as soon as they are able, but a product summary or an existing PRIIPs KIDs and UCITS KIIDs produced and communicated in line with current obligations or equivalent EEA disclosures will be considered compliant until the end of the transition period;
- UCITS funds are subject to an exemption from the PRIIPs disclosure regime that runs until the end of 2026. For UCITS and OFR funds, product information made in compliance with the UK version of the Key Investor Information Regulation (Commission Regulation (EU) No 583/2010, as reproduced in Appendix 1UK of the FCA's Collective Investment Schemes sourcebook), will be permitted until the end of this exemption period. After this point and the end of the transition period, UCITS funds will be required to follow CCI rules; and
- manufacturers for investments issued by UK-listed close-ended investment companies have the benefit of an exemption from PRIIPS requirements, and so may not currently be issuing PRIIPs KID for their products, will only need to comply with the CCI Regime from 8 June 2027.

ESG

On 28 November 2023, the FCA published a policy statement on sustainability disclosure requirements and investment labels. Although overseas funds and firms are not currently in scope of the regime, the FCA includes commentary on potential future changes which may bring overseas products in scope. In addition, the policy statement includes some limited measures which will apply to distributors marketing overseas products.

The policy statement confirms the FCA final rules and guidance in respect of:

- a general "anti-greenwashing" rule (the FCA also published a consultation paper on anti-greenwashing guidance on 28 November 2023, which was open for comments until 26 January 2024);
- sustainable investment labels - four labels have been included;
- naming and marketing rules for investment products;

- consumer-facing information requirements;
- detailed information requirements for product and entity-level disclosures (both pre-contractual and ongoing); and
- requirements for distributors.

The policy statement and rules generally apply to UK firms and UK funds. In particular, the "anti-greenwashing rule" applies to all UK authorised firms, whilst the investment labels, disclosure and naming and marketing rules apply to UK asset managers. The FCA has also introduced targeted rules for distributors of investment products to retail investors in the UK. The rules do not apply to portfolio management products and services – see below on the separate FCA consultation.

However, the FCA noted that it wants all firms marketing their products in the UK to be subject to the same broad requirements, in order to support a level playing field, promote competition and the competitiveness of UK firms and the asset management sector..

The FCA has also included certain measures in relation to overseas funds being offered to UK retail investors. Distributors must, since 2 December 2024, include a prominent notice on overseas products (recognised schemes, including ETFs) stating that the product is based overseas and is not subject to UK labelling and disclosure requirements (see chapter 9 of the policy statement). The notice must be: (i) placed in a prominent place on the relevant digital medium and be accompanied by a hyperlink to the FCA webpage setting out more information for consumers; or (ii) communicated via the channel the distributor would ordinarily use. In April 2025, the FCA decided that it is not the right time to finalise rules on extending sustainability disclosure requirements to portfolio management services, so we do not expect to see any further movement on this in the short to medium term.

UK-Swiss relations

On 21 December 2023, HM Treasury announced that the UK and Swiss governments signed the Berne financial services [mutual recognition agreement](#) (the **BFSA**), a pact on financial services cooperation. See also the [explanatory memorandum](#) and the [UK Berne Financial Services Agreement \(BFSA\) Guidelines](#). The BFSA provides for mutual recognition of domestic laws and regulations to facilitate further cross-border financial services cooperation between Switzerland and the UK and to streamline provision to wholesale and sophisticated clients. In certain cases, where access is already possible, the BFSA introduces commitments designed to stabilise access routes. In particular:

- Annex 1 sets out provisions relating to asset management, including marketing of certain AIFs and collective investment schemes and portfolio management delegation and measures to stabilise the access routes between the jurisdictions;
- Annex 2 sets out provisions relating to banking activities, including lending and deposit-taking;
- Annex 5 sets out provisions relating to investment services and activities (including reception and transmission of orders, execution of orders, dealing on own account, portfolio management, investment advice, placing/underwriting and ancillary services including investment research, FX services and services relating to mergers and the purchase of undertakings).

For Swiss firms looking to provide services into the UK, they will have the choice to continue relying on the "Overseas Persons Exclusion" or to use new mechanisms under the BFSa. The BFSa sets out in each Annex particular details on the types of activities/services that can be conducted in accordance with the arrangements, the types of firms that are able to conduct such activities/services (including what level of authorisation they require in their home state) and the types of clients such firms can market/provide their products and services to.

In July 2025, the UK government published the draft [Financial Services and Markets Act 2023 \(Mutual Recognition Agreement\) \(Switzerland\) Regulations 2025](#) (the **SI**), together with a draft [explanatory memorandum](#). The SI implements provisions in the BFSa between the UK and Switzerland. The SI came into force on 1 January 2026.

In particular, the SI:

- creates an exclusion in the RAO to allow Swiss firms that are registered with the FCA for specific investment services to supply such cross-border investment services into the UK without authorisation;
- requires the FCA to establish and maintain a public register of Swiss firms providing cross-border services into the UK on this basis;
- disapplies the overseas persons exclusions in relation to firms on the Swiss register, ensuring that Swiss firms cannot simultaneously rely on the overseas persons exclusion and the new RAO exclusion. A Swiss registered firm will be able to rely on the overseas persons exclusions to conduct activities that do not correspond to the services, categories of clients and financial instruments it wishes to supply under the new RAO exemption, as described in its entry in the register; and

- includes amendments to the FPO to include a new article 73ZB where the financial promotion restriction will not apply to registered Swiss suppliers who meet certain conditions.

Switzerland has fully ratified the BFSA which entered into force on 1 January 2026. On 3 November 2025, the Swiss Financial Market Supervisory Authority (**FINMA**) published [guidelines on the BFSA](#). The FCA also published a [press release](#) and a [webpage](#) on the BFSA.

The webpage includes a link to an [expression of interest form](#) and sets out the implementation timeline. The BFSA entered into force on 1 January 2026 and firms may begin notifying. The FCA is expected to release a public consultation on consequential rule changes arising from the BFSA in early 2026. An annual reporting process for firms is expected to commence in Q2 of 2027.

The webpage also provides further information on the process for both UK and Swiss firms if a firm is looking to check eligibility and apply and understand what the agreement means for their situation. This includes discussion of the new BFSA access route and how it interacts with the overseas persons exclusions and the position for Swiss firms with an existing UK presence. Such firms will be able to supply services covered under the BFSA, but this cannot be done through their UK-authorised branch; it must be through their Swiss-based entity. Swiss firms should seek advice on their specific situation and possible routes to access the UK.

In addition, on 22 September 2025, FINMA, the FCA and the PRA signed an MoU setting out details of their co-operation under the BFSA. The MoU sets out the details of how the BFSA will be applied in practice and facilitates new cross-border activities on the basis of mutual recognition, particularly in insurance and investment services in the BFSA. This includes:

- submitting notifications and annual returns;
- registration in the appropriate register;
- dialogue between the authorities; and
- the supervisory authority's right to intervene in the country of activity

The MoU also sets out how FINMA, the FCA and PRA will exchange information needed for their supervisory work under the agreement. The MoU took effect when the BFSA entered into force.

The BFSA is also expected to be a 'living' document and subject to development as agreed between Switzerland and the UK.

Consultation on new framework for regulating AIFMs

On 7 April 2025, the UK Treasury published a [consultation paper](#) and the FCA published a [call for input](#) on a new framework for the regulation of AIFMs in the UK.

The consultation proposed simplifying the regulatory framework with the aim of making it simpler and cheaper for asset managers to do business in the UK while retaining core consumer and market protections. The Treasury proposal includes repealing the firm-facing requirements of the AIFMD which would be replaced by FCA Rules.

The consultation and call for input are focused on the UK's regulation of domestic AIFMs. They are, therefore, largely outside the scope of this Memorandum, subject to the point discussed below on private equity notifications. In particular, the consultation notes (paragraph 5.12) that the government proposes broadly restating the existing marketing regime for overseas AIFMs in legislation and that any technical changes will be subject to consultation when the draft legislation is published.

Private Equity Notifications

Under the current regulations, certain AIFMs including above threshold overseas AIFMs (i.e. AIFMs with €100m of assets under management, except for where a manager only manages AIFs that are unleveraged and have no redemption rights for the first 5 years, where the threshold is €500m) must submit information to the FCA regarding any AIFs they manage which acquire control of non-listed companies and issuers. This is particularly relevant to private equity funds. However, the consultation states (paragraph 5.16) that as the FCA has limited powers in this area, the government is considering whether to remove the requirement altogether or whether this information should be notified elsewhere.

Next Steps

The consultation closed on 9 June 2025. HM Treasury will publish a draft statutory instrument on the regulatory framework for AIFMs and the FCA will consult on its proposed rules.

Provisional licence regime for FCA authorisation

In December 2025, HM Treasury published a [policy update](#) on a proposed FCA-administered provisional licence regime aimed at reducing barriers to authorisation for innovative start-ups and early-stage firms seeking permission under Part 4A FSMA. The regime would require primary legislation and, once in force, would enable the FCA to grant time-limited permissions—of up to 18 months—to conduct limited regulated activities under enhanced supervision while firms work toward full authorisation. The FCA is yet to publish anything on this regime.

Expanding Consumer Access to Investments

On 8 December 2025, the FCA published a discussion paper ([DP25/3](#)) on expanding consumer access to investments, which focuses on how the regulatory framework could change to better support informed investing and risk taking. DP25/3 flags that the FCA would like to support the introduction of innovative ways of distributing investments, whilst also maintaining the relevant protections needed for retail consumers. The FCA also clarifies in this paper that it plans to review its financial promotion and distribution rules in light of the current retail investment landscape, whilst also flagging that some of the exemptions that currently exist in the FPO may be outdated (in comparison to those of other jurisdictions such as Australia, Singapore and the US) and inconsistent with other investor categorisations. DP25/3 is currently open for comments until 6 March 2026.

Client Categorisation Consultation Paper

On 8 December 2025, the FCA published a consultation paper ([CP25/36](#)) on client categorisation and conflicts of interest. The FCA proposes making certain changes to the elective professional client categorisation rules in the FCA handbook, including:

- introducing an alternative route for very wealthy individuals to opt out of retail protections where they do not serve their interests;
- removing the current COBS 3.5.3R(2) ‘quantitative test’;
- retaining the requirement that firms undertake a robust qualitative assessment of a client’s expertise, experience and knowledge and identifying a set of relevant factors firms must consider in undertaking a holistic qualitative assessment to determine whether a client meets the threshold to be categorised as an elective professional client; and
- introducing improved safeguards for client categorisation.

Whilst the proposals relate to FCA handbook rules regarding client categorisation, the FCA is also interested in understanding any impact of the proposed changes compared to the client categorisation requirements in other regimes where exemptions from regulatory requirements are available if a firm is offering products exclusively to non-retail investors/clients. This includes for example the exemptions to the financial promotion restriction in the FPO, the professional investor definition in the AIFMD and the qualified investor definition in POATRs. The FCA will also support the UK government in engaging with Swiss authorities on the implications of these proposals for those firms covered by the BFSa.

The FCA is seeking feedback on the proposals by 2 February 2026, after which it will consider the feedback received and publish a policy statement to finalise the rules.

	<u>Targeted Support Regime – amendments to the RAO</u> On 11 December 2025, HM Treasury confirmed in its policy paper that the government and the FCA are taking forward a proposal for a new investment advice regime, referred to as “targeted support”. The targeted support regime will enable authorised firms to provide more support with investments and pensions, making recommendations that are designed for groups of consumers with similar characteristics and circumstances, by introducing a new regulated activity under Article 55A of the RAO. The targeted support regime is expected to be rolled out from early April 2026, with the authorisation gateway open for applications from March 2026. Given the focus is primarily on advice provided to consumers, we have not considered the targeted support regime further for the purposes of this Memorandum.
(e) Please provide the name of the competent regulator(s) .	In the UK, the Prudential Regulation Authority (PRA) and the FCA are the competent regulators.
(f) Please provide a link to the competent regulator's website (if any) – the English language version if available.	FCA: http://www.fca.org.uk/ PRA: http://www.bankofengland.co.uk/PRA/Pages/default.aspx

4. TEMPORARY MARKETING PERMISSIONS REGIME

Questions	Answers
4.1 Temporary Marketing Permissions Regime	
(a) Please set out the position in respect of Funds which are able to market/sell into your jurisdiction pursuant to the TMPR .	<i>Brexit</i> The UK left the EU on 31 January 2020 (Exit Day) as part of a negotiated exit pursuant to the terms of a withdrawal agreement between the UK and the EU which entered into force on 1 February 2020 (the Withdrawal Agreement). Under the Withdrawal Agreement there was a transitional period, or “implementation period” (the Implementation Period) from Exit Day through to 31 December 2020 (IPCD), during which time EU law continued to apply. Post-IPCD, EU law ceased to apply in the UK: EU regulations and other EU-derived legislation were incorporated into UK law as they applied at IPCD and amended to render them fit for purpose in their new context under the European Union (Withdrawal) Act 2018. This was colloquially referred to as “onshoring”. However, following the enactment of the Retained EU

Law (Revocation and Reform) Act 2023 (the **REUL Revocation Act**), this is no longer the case – the principle of supremacy of EU law does not now apply to any UK legislation, regardless of when it was made. The REUL Revocation Act also abolished other general principles of EU law that may previously have affected the interpretation of UK legislation. To reflect that the principle of supremacy and other general principles of EU law no longer apply in the UK, EU law that was “onshored” into UK domestic law in accordance with the onshoring process described above is now referred to as “assimilated law”.

Following IPCD, EEA firms, EEA AIFs and EEA UCITS Funds no longer benefit from single market passporting rights into the UK. On 27 June 2023 the final text of the Memorandum of Understanding (**MoU**) establishing a framework for regulatory cooperation on financial services was signed by the UK and the European Commission. The MoU set out the post-Brexit framework for voluntary regulatory cooperation in financial services between the UK and the EU and provides for the establishment of a Joint EU-UK Financial Regulatory Forum which would meet at least twice a year to:

- undertake forward planning of regulatory cooperation;
- improve transparency; and
- identify potential cross-border implementation issues.

The accompanying press release stated that the MoU does not grant any single market access rights to either the UK or the EU, nor did it provide for the adoption of equivalence decisions.

In order to prevent disruption to EEA firms and Funds which had historically relied on so-called financial services/fund passports, immediately following the IPCD, the UK government introduced a temporary permissions regime to enable relevant EEA firms and Funds that were passporting into the UK when the Implementation Period ended to continue operating temporarily in the UK. The regime consisted of the temporary permissions regime (**TPR**) for firms based in the EEA and the temporary marketing permissions regime (**TMPR**) for EEA-based investment funds. The TPR for EEA firms ended on 31 December 2023. We have not discussed the TPR further in this Memorandum.

TMPR

The TMPR was available for the following types of Funds where they had been passported into the UK:

- EEA-domiciled UCITS Funds and any notified sub-funds; and

- UK and EEA-domiciled AIFs (including EuVECAs, EuSEFs, ELTIFs and AIFs authorised as MMFs) managed by EEA AIFMs.

In order to take advantage of the TMPR, EEA AIFs and EEA UCITS Funds must have taken active steps to notify the FCA of their desire to do so before the end of 30 December 2020.

Where an EEA Fund entered into the TMPR before the deadline (a **TMPR Fund**), it can continue to be marketed in the UK in the same manner as was permitted before IPCD for a limited period of up to 5 years from IPCD (this period has been extended by the UK government until up to 31 December 2026) (the **TMPR Period**). It is anticipated that this will be extended for MMF TMPR Funds marketing to UK retail customers unless a viable route to market into the UK has been opened by then; however, no formal extension has been issued by the FCA. Each TMPR Fund will be allocated a three-month 'landing slot' during the TMPR Period (with the last landing slots being allocated to non-MMF funds marketing to UK retail customers by July 2026), by the end of which it will either need to have applied for recognition or cease relying upon the TMPR.

The majority of TMPR Funds have already received their landing slots. For those non-MMF funds marketing to UK retail customers, the FCA started allocating OFR landing slots in October 2024 and the last landing slots are expected to expire in September 2026. In addition, funds registered under the TMPR who are no longer marketing in the UK should be removed via a Form TMPR CH.

Operators of UCITS in the TMPR are encouraged to make sure that the FCA has the correct contact email address (for the fund operator itself) as this will be used to provide fund operators with details of the process and landing slot. Updates to contact details can be emailed to recognisedcis@fca.org.uk.

If a Fund benefits from the TMPR during the TMPR Period, the status quo will continue to apply in relation to marketing/selling into the UK, subject to the requirement to include a prominent notice on overseas funds stating that the product is based overseas and is not subject to UK labelling and disclosure requirements.

Marketing EEA Funds after the TMPR

Following the expiry of the TMPR Period, an EEA Fund will need:

- to be marketed in accordance with the UK's national private placement regime;
- to seek a section 272 authorisation; or

	– to be recognised under the OFR.
4.2 Marketing/selling Funds via the TMPR	
(a) Where it is possible to market/sell a Fund pursuant to the TMPR described above, please briefly outline or cross-refer to the relevant section if the information is contained elsewhere in this Memorandum:	
(i) What language does the Fund documentation need to be in?	<i>AIFs</i> There are no specific requirements in regulations or in the Handbook. We note that if the offer is subject to the POATRs requirements (which are discussed further in section 9 below) then any prospectus must be in English or a language customary in the sphere of international finance. We note also the overriding principle that communications should be fair, clear and not misleading. <i>UCITS</i> For a UCITS Fund, the KIID/CCI product summary is required to be in English.
(ii) Are there any fees payable in respect of a TMPR Fund?	An application fee (the amount of which depended on the number of sub-funds) was payable for an application to include a Fund in the TMPR, along with periodic fees. For further details please see: https://www.fca.org.uk/brexit/temporary-permissions-regime and https://www.fca.org.uk/firms/authorisation/fee. Following the end of the TMPR Period (or the relevant TMPR Fund's landing slot), the relevant fees will be those under the UK's national private placement regime, section 272 of FSMA or the OFR, as applicable.
(iii) Please outline the local arrangements (including any documentation that needs to be filed with the regulator in your jurisdiction) for marketing which a Fund marketing via the TMPR is required to comply with. If applicable, please cross-refer to your answers to section 7.1(a).	For TMPR Funds the status quo will continue to apply in relation to marketing/selling into the UK during the TMPR Period (or until the relevant TMPR Fund's landing slot expires). <u><i>UCITS</i></u> For EEA UCITS Funds which validly entered the TMPR, the operator (i.e. UCITS ManCo) of a UCITS Fund being marketed in the UK must maintain certain facilities in the UK to enable, for example, any member of the public to inspect the scheme documentation. See COLL 9.4.

	https://www.handbook.fca.org.uk/handbook/COLL/9.pdf Certain changes (e.g. in the UCITS Fund's name or to the operator, custodian or UK Facilities of the Fund) must be notified to the FCA using Form 264CH.
(b) (i) Are there any OFI notification/licensing or approval requirements before marketing via the TMPR can commence?	<i>AIFs</i> Provided that the AIF is registered under the TMPR, there is no separate requirement for the OFI to be separately notified under the TMPR in respect of marketing of that AIF in the UK. However, if marketing is conducted by an OFI and this results in its undertaking regulated activities in the UK (such as Arranging), the OFI will need to be an Authorised Person or rely on an exemption to the General Prohibition (as described in sections 8.8 and 8.9). Furthermore, the OFI will need to comply with the Financial Promotion Restriction or the CIS Promotion Restriction (as applicable). <i>UCITS</i> If an EEA UCITS Fund is registered under the TMPR, the UCITS ManCo marketing it should also have registered under the TMPR (in addition to the UCITS Fund's registration) to continue to rely on its EEA passport to conduct activities relating to the UCITS. Any marketing activities by firms that are not the UCITS ManCo would need to fall within an exemption to the Financial Promotion Restriction or the financial promotions would need to be approved by an Authorised Person. <u>Following TMPR Period</u> An EEA Fund will need: – to be marketed in accordance with the UK's national private placement regime described in 7.1 below; – seek a section 272 authorisation; or – be recognised under the OFR. The OFI will need to comply with the Financial Promotion Restriction and, if it ends up conducting regulated activities in the process of marketing/selling the Fund (such as Arranging), also comply with the General Prohibition (as described in sections 8.8 and 8.9). OFIs marketing overseas recognised funds to retail investors in the UK will also need to comply with the requirements of the CCI framework once in place.

(ii) Would the OFI notification/licensing or approval requirements discussed in (i) also apply where the OFI receives and responds to a reverse enquiry in relation to a TMPR Fund? For example, could a non-EEA OFI respond to a reverse enquiry regarding a TMPR Fund?	<i>AIFs</i> See 4.2(b)(i) above, which applies equally where the OFI receives a reverse enquiry in such circumstances. Responding to a reverse enquiry is also likely to satisfy the “legitimate approach” condition in certain elements of the Overseas Persons Exclusion in respect of certain regulated activities, such as the provision of Investment Advice. <i>UCITS</i> A non-EEA OFI cannot approach retail investors directly. It will need to route promotion activities via an appropriately authorised entity (i.e. a UK–authorised firm) or have financial promotions approved by such firm.
(c) Is an intermediary, local distributor or local agent required in order to market via the TMPR?	Not required under the TMPR itself, but may be needed to enable the OFI to comply with the Financial Promotion Restriction and/ or the General Prohibition.
(d) Where an OFI is marketing a Fund via the TMPR which is an umbrella fund with sub-funds, is it possible to add a new sub-fund into the TMPR?	<i>AIFs</i> Where an EEA AIFM has an umbrella AIF with at least one sub-fund falling within the TMPR, and wishes to launch a new sub-fund following the deadline for applications under the TMPR, it cannot enter those new sub-funds under the TMPR and must instead market them under the national private placement regime described in section 7.1 below. <i>UCITS</i> If new sub-funds of EEA UCITS are authorised by the relevant home state regulator after the end of the IPCD, but form part of an umbrella scheme that notified for the TMPR prior to IPCD, they may be added into the regime so that they can be marketed in the UK. The FCA has provided information on its website on adding a new sub-fund to an umbrella scheme in the TMPR: https://www.fca.org.uk/brexit/temporary-permissions-regime-tpr/adding-new-sub-fund-umbrella-scheme-tmpr. Note that the last point at which a TMPR Fund can add sub-funds in this way is 2 weeks before the opening of its umbrella landing slot – if the TMPR Fund wishes to add more sub-funds after this point, it needs to wait until the umbrella has been recognised in the UK under the OFR.
(e) Please provide a link to the local regulator’s website (even if in the local language only) where information on the TMPR is set out?	https://www.fca.org.uk/brexit/temporary-permissions-regime-tpr

(f) Is it recommended or mandatory to include certain disclaimers/warnings in the written marketing materials for a TMPR Fund? If so, provide recommended wording in Section D of Appendix 1 and 2 and Section E of Appendix 1 of this Memorandum.	Yes, see section D of Appendix 1 and 2 and section E of Appendix 1.
4.3 Co-operation Agreements	
(a) Please confirm the current status of the Memoranda of Understanding entered into by your jurisdiction and the competent authorities of EEA/non-EEA jurisdictions.	In February 2019, the FCA agreed a multilateral MoU with EU and EEA National Competent Authorities covering supervisory cooperation, enforcement and information exchange. This MoU came into effect at IPCD: https://www.fca.org.uk/news/statements/fca-confirms-mous-esma-and-eu-securities-regulators The FCA has signed supervisory Co-operation Agreements in the form of supervisory co-operation arrangements (MoUs) with a total of 48 non-EEA authorities. The applicable non-EEA authorities are listed in this link (last updated on 25 September 2023): https://www.fca.org.uk/firms/nppr/supervisory-co-operation-arrangements-mous. The FCA confirms on this website that it is the responsibility of an OFI to check whether there is an MoU in place before applying to market an AIF, as not doing so may result in the failure of an application or supervision/enforcement action for breaching applicable rules. Regarding the references to “non co-operative country and territory” in the AIFM Regs, the FCA has stated that these should be interpreted as references to jurisdictions which appear in either part of the Financial Action Task Force’s (FATF) list of high-risk and non co-operative jurisdictions. Therefore, firms should be aware of the latest list published by FATF: https://www.fatf-gafi.org/en/topics/high-risk-and-other-monitored-jurisdictions.html. The FCA has also signed a number of multilateral and bilateral Memoranda of Understanding (MoUs) and other agreements with overseas regulators, listed in this link: https://www.fca.org.uk/about/agreements-overseas-regulators On 27 June 2023 the final text of the Memorandum of Understanding (MoU) establishing a framework for regulatory cooperation on financial services was signed by the UK and the EC. The MoU set out the post-Brexit framework for voluntary regulatory cooperation in financial services between the UK and the EU. For further details please see 4.1(a).

5. PASSIVE MARKETING (REVERSE-ENQUIRY)

Questions	Answers
(a) Is marketing/selling of a Fund (whether Open-Ended or Closed-Ended) permitted following an unsolicited approach by an investor to an OFI?	
Please outline the legal basis of permitted reverse-enquiries considering the following (if relevant):	
(i) What constitutes a “reverse-enquiry”/“reverse-solicitation” within your jurisdiction?	There is no specific “reverse-enquiry”/“reverse-solicitation” regime available in the UK – the general marketing and licensing rules apply. However, it is necessary to consider whether the following conditions are met in order so that the activity of responding to the reverse enquiry does not engage the relevant provisions in UK law in respect of marketing an AIF: • Reverse enquiry can be specific or general; • A separate reverse enquiry is not required for each separate transaction; • A confirmation from the investor should be obtained, before the offering or placement takes place, that confirms the offering/placement was made following a reverse enquiry; • The confirmation should be stored for 6 years; and • Reverse enquiries must be genuine. Investors should not therefore be invited to make general confirmations to the effect that they are happy to be contacted about future opportunities. Any confirmation should only be provided following a legitimate reverse enquiry from the investor. The above conditions are referred to in this Memorandum as the Conditions for Permitted Reverse Enquiries. Hence, in relation to a “reverse-enquiry” in respect of a Fund (whether Open-Ended or Closed-Ended), the OFI will need to comply with: (i) an exemption to the Financial Promotion Restriction (if the OFI is unauthorised); (ii) an exemption to the CIS Promotion Restriction (if the OFI is authorised) unless the Fund is recognised under the s. 272 regime or under the OFR and (iii), where the Fund is caught by the POATRs, an exemption to the POATRs. In addition, when marketing Funds that are not recognised schemes under s272 of FSMA or under the OFR, on the basis of a reverse-enquiry, firms that are Authorised Persons will also need to comply with

	the requirements in relation to high net worth investors and self-certified sophisticated investors in COBS 4.12B. For a discussion of the available exemptions to the Financial Promotion Restriction and the CIS Promotion Restriction and the requirements under COBS 4.12B, please refer to section 7.1(a) below. For a discussion on the available exemptions to the POATRs, please refer to section 9 below. Marketing which is at the initiative of the investor must therefore still comply with the UK's financial promotion rules and, if applicable, the POATRs although it will not engage the relevant provisions in UK law relating to marketing an AIF provided the Conditions for Permitted Reverse Enquiries are met. See PERG 8.37.11(1)G. Note, in some instances the applicability of certain exemptions from the Financial Promotion Restriction (discussed in section 7.1(a) below) will hinge on whether a particular communication was solicited or unsolicited. In these cases, it is advisable to maintain appropriate records so that it can be demonstrated, if necessary, that the communication was solicited. However, as stated above, there is no formal “reverse-enquiry” exemption in the UK permitting an offer to be made to an investor predicated solely on the fact that the investor made the first approach. Marketing which is at the initiative of the investor is likely to satisfy the “legitimate approach” condition in certain elements of the Overseas Persons Exclusion in respect of certain regulated activities, such as the provision of Investment Advice.
(ii) Must a “reverse-enquiry”/“reverse-solicitation” relate to a <u>specific</u> Fund or can it be more general?	As explained in (i) above, reverse enquiries are permitted where they comply with the UK's financial promotion rules, the POATRs (if applicable) and the Conditions for Permitted Reverse Enquiries. Whether the reverse enquiry is specific or general usually does not impact the financial promotion regime analysis e.g. where the reverse enquiry comes from an “investment professional” the OFI will usually be permitted to respond on the basis that the investor falls within the scope of the Investment Professionals Exemption discussed in section 7.1(a) below. This distinction does not seem to have much or any impact in the context of other exemptions e.g. the Overseas Communicators Exemptions. The Conditions for Permitted Reverse Enquiries and POATRs requirements also do not hinge on the reverse enquiry being specific or not.

(iii) Does it make a difference if there is a pre-existing relationship with the investor?	As explained in (i) above, reverse enquiries are permitted where they comply with the UK's financial promotion rules and where they comply with the Conditions for Permitted Reverse Enquiries. It should also be noted that potentially the most useful financial promotion exemptions (e.g. the Investment Professionals Exemption, the High Net Worth Entities Exemption and the Approval by Authorised Financial Promotion Approver Exclusion) do not hinge on the fact that the investor is a potential or existing client. However, the workings of some of the other exemptions (i.e. some of the Overseas Communicators Exemptions) do hinge on whether there is no pre-existing relationship (e.g. Article 31 FPO and Article 32 FPO/Article 10 CIS Exemptions Order). The Conditions for Permitted Reverse Enquiries and POATRs requirements also do not hinge on there being a pre-existing relationship with the investor. Where the investor is a high net worth investor or self-certified sophisticated investor and is also a first-time investor with the OFI, OFIs that are Authorised Persons will also need to comply with COBS 4.12B.15R, by providing such investor with a 24-hour cooling off period from when they have requested to receive or view a financial promotion (see section 7.1(a) below for more detail).
(iv) Must each separate transaction with a particular investor be preceded by a "reverse-enquiry"/"reverse-solicitation"?	As explained in (i) above, reverse enquiries are permitted where they comply with the UK's financial promotion rules, the POATRs (if applicable to the relevant Fund) and the Conditions for Permitted Reverse Enquiries. It should also be noted that potentially the most useful financial promotion exemptions (e.g. the Investment Professionals Exemption, the High Net Worth Entities Exemption and the Approval by Authorised Financial Promotion Approver Exclusion) do not hinge on there being a separate reverse enquiry for each transaction. This distinction does not seem to have much or any impact in the context of other exemptions e.g. the Overseas Communicators Exemptions. The Conditions for Permitted Reverse Enquiries also do not hinge on there being a separate reverse enquiry for each separate transaction.
(v) Is there a maximum number of potential investors an OFI may market/sell to in response to unsolicited approaches?	No. However, note that: (i) under the POATRs, offers of Fund interests that would otherwise be subject to the general prohibition on public offers of relevant securities in the POATRs are exempt from the

	requirement to use a public offer platform if made to or directed at fewer than 150 persons other than qualified investors. See Section 9 below; and (ii) a communication made only to one recipient or only to one group of recipients may fall within the one-off communication exemption to the Financial Promotion Restriction. The One-Off Communication Exemption applies to a non-real time communication or a real time communication solicited by the investor where: – the communication is made only to one recipient or only to one group of recipients in the expectation that they would engage in any investment activity jointly; – the identity of the product or service to which the communication relates has been determined having regard to the particular circumstances of the recipient; and – the communication is not part of an organised marketing campaign.
(vi) Does it matter if a third party intermediary made the approach on behalf of the investor?	No, but if the intermediary is an Authorised Person, this may enable the OFI to comply with the Financial Promotion Restriction and/ or the General Prohibition.
(vii) Does the investor need to be a particular type of investor e.g. a professional investor?	As explained in (i) above, reverse enquiries are permitted where they comply with the UK's financial promotion rules, the POATRs (if applicable) and the Conditions for Permitted Reverse Enquiries. It should also be noted that potentially the most useful financial promotion exemptions (e.g. the Investment Professionals Exemption, the High Net Worth Entities Exemption and the Approval by Authorised Financial Promotion Approver Exclusion) do hinge on the type of investor. However, where the OFI receives a reverse enquiry from an investor who falls outside of these exemptions they should go on to consider whether one of the other exemptions may be available. The Conditions for Permitted Reverse Enquiries and the POATRs requirements do not hinge on the investor being a particular type of investor.
(viii) Are there restrictions regarding future communications with investors known to the OFI on the basis of a “reverse-enquiry”/ “reverse-solicitation”?	No.

(b) Please provide any applicable practical advice in respect of the “reverse-enquiry” regime in respect of Funds that you think is relevant. For example:	In terms of the practical steps you will need to consider in relation to marketing which is at the initiative of an investor and relates to an AIF, the FCA has provided some guidance in PERG 8.37.11(2)G to the effect that a confirmation from the investor that the offering or placement was made at its initiative should normally be sufficient to demonstrate that this is the case, provided it is obtained before the offer or placement takes place. Systems should be in place to record and store such confirmations for at least 6 years after the investment has finished. However, the FCA also notes in the same section of PERG that AIFMs and investment firms should not be able to rely on confirmations from investors if these have been obtained in order to circumvent the requirements of the AIFM Regs. It is therefore not permitted for an OFI to go out as a policy and seek general confirmations from groups of potential investors confirming that they are happy to be contacted by the OFI in relation to Funds so as to avoid engaging the AIFM Regs.
(i) are there particular compliance procedures which are advised?	Yes, see section 5(b) above.
(ii) are there any specific requirements regarding how investor documentation or application forms are provided to an investor known to the OFI on the basis of a "reverse-enquiry"?	Yes, see section 5(b) above.
(iii) is it possible for an OFI to receive a general confirmation from a potential investor that it is happy to be contacted about future opportunities?	No. See section 5(b) above.
(iv) are there any registration/notification/approval/licensing requirements which apply in respect of the OFI following an unsolicited approach regarding a Fund by an investor to an OFI?	No, provided the OFI’s promotional activities do not include regulated activities such as the provision of Investment Advice or Arranging in which case it would be necessary to consider whether the OFI has the necessary permissions or whether an exemption is available. However, marketing which is at the initiative of the investor is likely to satisfy the “legitimate approach” condition in certain elements of the Overseas Persons Exclusion (i.e. an approach made by the investor to the OFI which has not been solicited by the OFI in any way) in respect of certain regulated activities, such as the provision of Investment Advice. See sections 8.8 and 8.9 of the Memorandum.

	See also (a) above in relation to the exemptions to the Financial Promotion Restriction and CIS Promotion Exemption.
(c) Is marketing/selling of Investment Management & Advisory Services permitted following an unsolicited approach by an investor to an OFI? Please outline the legal basis of permitted reverse-enquiries considering the following (if relevant):	
(i) What constitutes a “reverse-enquiry”/“reverse-solicitation” within your jurisdiction?	There is no specific “reverse-enquiry”/“reverse-solicitation” regime available in the UK– the general marketing and licensing rules apply. In particular, where the “reverse-enquiry” is in relation to Investment Management & Advisory Services, the OFI will need to comply with an exemption/exclusion to the Financial Promotion Restriction (if the OFI is unauthorised). For a discussion of the available exemptions/exclusions to the Financial Promotion Restriction, please refer to section 7.1(a) below. Please also see the One-Off Communication Exemption in 5(a)(v) above.
(ii) Must a “reverse-enquiry”/“reverse-solicitation” relate to a specific Investment Management & Advisory Service or can it be more general?	No. Whether the reverse enquiry is specific or general usually does not impact the financial promotion regime analysis e.g. where the reverse enquiry comes from an “investment professional” the OFI will usually be permitted to respond on the basis that the investor falls within the scope of the Investment Professionals Exemption discussed in section 7.1(a) below. This distinction does not seem to have much or any impact in the context of other exemptions e.g. the Overseas Communicators Exemptions.
(iii) Does it make a difference if there is a pre-existing relationship with the investor?	Generally no. It should also be noted that potentially the most useful financial promotion exemptions (e.g. the Investment Professionals Exemption, the High Net Worth Entities Exemption and the Approval by Authorised Financial Promotion Approver Exclusion) do not hinge on the fact that the investor is a potential or existing client. However, the workings of some of the other exemptions (i.e. some of the Overseas Communicators Exemptions) do hinge on whether there is a pre-existing relationship (e.g. Article 31 FPO and Article 32 FPO).

(iv) Must each separate transaction with a particular investor be preceded by a “reverse-enquiry”/“reverse-solicitation”?	No. It should also be noted that potentially the most useful financial promotion exemptions (e.g. the Investment Professionals Exemption, the High Net Worth Entities Exemption and the Approval by Authorised Financial Promotion Approver Exclusion) do not hinge on there being a separate reverse enquiry for each transaction. This requirement also does not seem to have much or any impact in the context of other exemptions e.g. the Overseas Communicators Exemptions.
(v) Is there a maximum number of potential investors an OFI may market/sell to in response to unsolicited approaches?	No. However, note that a communication made only to one recipient or only to one group of recipients may fall within the One-Off Communication Exemption to the Financial Promotion Restriction (see section 5(a)(v) above for the conditions of the exemption).
(vi) Does it matter if a third party intermediary made the approach on behalf of the investor?	No, but if the intermediary is an Authorised Person, this may enable the OFI to comply with the Financial Promotion Restriction and/ or the General Prohibition.
(vii) Does the investor need to be a particular type of investor e.g. a professional investor?	The OFI will need to identify the type of investor in order to work out which (if any) exemption it can rely on. It should be noted that potentially the most useful financial promotion exemptions (e.g. the Investment Professionals Exemption, the High Net Worth Entities Exemption and the Approval by Authorised Financial Promotion Approver Exclusion) do hinge on the type of investor. However, where the OFI receives a reverse enquiry from an investor who falls outside of these exemptions they should go on to consider whether one of the other exemptions may be available.
(viii) Are there restrictions regarding future communications with investors known to the OFI on the basis of a “reverse-enquiry”/“reverse-solicitation”?	No. There are no registration, notification or approval requirements specific to the OFI in this scenario. However, as discussed in section 7.1(c) below, the conduct of certain activities in respect of marketing an AIF (such as Arranging or the provision of Investment Advice) may trigger the authorisation requirement (i.e. the General Prohibition) unless a suitable exemption is available. We note that marketing which is at the initiative of the investor is likely to satisfy the “legitimate approach” condition in certain elements of the Overseas Persons Exclusion (i.e. an approach made by the investor to the OFI which has not been solicited by the OFI in any way) in respect of certain regulated activities, such as the provision of Investment Advice. See sections 8.8 and 8.9 for more detail.

(d) Please provide any applicable practical advice in respect of the “reverse-enquiry” regime in respect of Investment Management & Advisory Services that you think is relevant. For example:	As explained above there is no particular reverse enquiry regime that applies in respect of Investment Management & Advisory Services in the UK. It is therefore difficult to outline any particular practical advice that would apply specifically where the investor contacts the OFI by means of a reverse enquiry. The key thing is to consider who the investor is and how the communication to the investor following the reverse enquiry will be made so as to ensure that it is made in compliance with the Financial Promotion Restriction and the General Prohibition.
(i) are there particular compliance procedures which are advised?	See (d) above.
(ii) are there any specific requirements regarding how investor documentation or application forms are provided to an investor known to the OFI on the basis of a "reverse-enquiry"?	See (d) above.
(iii) is it possible for an OFI to receive a general confirmation from a potential investor that it is happy to be contacted about future opportunities?	See (d) above.

6. MARKETING/SELLING TO THE PUBLIC

Questions	Answers
6.1 Mutual Recognition of Funds/Passporting Schemes	
(a) Other than the TMPR referred to in section 4.1 above, are there any existing or proposed regional arrangements for passporting or mutual recognition of Funds which facilitate the cross border marketing/selling of Funds into your jurisdiction (“Arrangements”)?	Overseas Fund Regime See section 6.2 for a discussion of the new OFR. BFSA See section 3(d) for a discussion of the new BFSA, for Swiss firms looking to access the UK market. Hong Kong On 8 October 2018, it was announced that the Securities and Futures Commission of Hong Kong (SFC) and the FCA entered into a Memorandum of Understanding on Mutual Recognition of Funds which allows eligible Hong Kong public funds and United Kingdom retail funds to be distributed in each other’s market through a streamlined process. Further details as to the scope of co-operation are set out in the Memorandum of Understanding, the SFC Circular and the FCA Circular, all dated 8th October, 2018. https://www.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=18EC70 https://www.fca.org.uk/publication/mou/fca-circular-mrf-uk-hong-kong.pdf (the Circular) On 12 September 2019, the FCA and the SFC issued a joint statement announcing that they signed an addendum to the MoU regarding the mutual recognition of funds scheme. Gibraltar Gibraltar-based firms can continue to operate in the UK as they did before IPCD, as the UK government has provided for the continuation of the pre-IPCD market access framework between the UK and Gibraltar. The Financial Services (Gibraltar) (Amendment) (EU Exit) Regulations 2019 (as amended) establish transitional arrangements that preserve the pre-IPCD status quo of deemed passporting for Gibraltar-based firms into the UK until 31 December 2026. HM Treasury has the power to further extend these transitional arrangements for successive periods of 12 months until such time as the permanent arrangements of the Gibraltar Authorisation Regime (GAR) are in place.

	The GAR has been provided for under the Financial Services Act 2021. It is intended to ensure that Gibraltar-based firms can access UK markets on the basis of: (i) Gibraltar legislation, standards, authorisation and practices being aligned with those of the UK, and (ii) close cooperation between the relevant UK and Gibraltar authorities. Certain provisions of the Financial Services Act 2021 relating to HM Treasury's powers to make regulations pursuant to the GAR entered into force on 1 September 2023. No commencement date has been announced for the remaining provisions of the Financial Services Act 2021 that relate to the GAR. The UK Government has delegated the introduction of the GAR to HM Treasury. HM Treasury stated in November 2024 that secondary legislation is being prepared. For further details on passporting arrangements for Gibraltar-based firms, see the FCA webpage here and the PRA webpage here.
(b) Please briefly describe any such Arrangements and the relevant rules, guidance or legislation. Please ensure that these sources are included in your responses to section 3 above.	Hong Kong Funds applying for FCA recognition must meet the requirements of section 272 of FSMA and more specifically the eligibility requirements set out in Annex B of the Circular referred to above.
(c) If the Arrangements are already in force, if possible, please comment on how widely they have been used and whether any Funds have been marketed or sold in your jurisdiction on the basis of the Arrangements. Please give an indication of costs and timescales of using such Arrangements.	We are not aware of any particularly wide use of these Arrangements by eligible Funds. In terms of timeframes, the FCA states in the Circular that it will determine whether an application under section 272 of FSMA from an applicable Hong Kong Fund within two months of a complete application provided that the Fund satisfies the conditions set out in s.272 of FSMA and meets the requirements set out in the Circular. Fees are payable in respect to an application under section 272 of FSMA. See section 6.2(e) for more details and an indication of the range which may apply to the fees.
(d) If the Arrangements are not yet in force, if possible, please comment on their current status and expected timeline for implementation.	Not applicable.
(e) Does a Fund have to be both domiciled and managed in one of the participating jurisdictions in order to benefit from the Arrangements, as implemented in your jurisdiction?	Yes. See the Circular for more details on the precise requirements.
(f) Is any local presence required in your jurisdiction or would the regulator in your jurisdiction need to approve a Fund in any way	Each Hong Kong Fund that is using this route must maintain facilities for investors in the UK as required by COLL 9.4. Each applicant must confirm to the FCA the address of the place of business

before marketing / selling can take place there on the basis of the Arrangements?	in the UK for service of the Hong Kong Fund of notices and/or other documents and must keep the FCA updated should these details change.
(g) Do the Arrangements apply to both Open-Ended and Closed-Ended Funds ?	The Circular does not specifically address this point. However, we note that, as stated in 6.2(e)(ii), it is unlikely that FCA will agree to recognise a Closed-Ended Fund as suitable for marketing to the public pursuant to section 272 of FSMA. It is therefore possible that the same could apply in respect of the Arrangements.
(h) Are there any registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling such Funds in accordance with the Arrangements in your jurisdiction?	Even where a Hong Kong Fund has been recognised under section 272 of FSMA, sale and distribution activities will need to be conducted in accordance with the UK's financial promotion rules. See section titled "Sale/distribution" in the Circular as well as section 6.2(e).
(i) Where pursuant to this section 6.1 it is possible to market a Fund pursuant to the Arrangements in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials for such Fund marketed to the public? If so, please provide recommended wording in Section F of each of Appendix 1 and Appendix 2 (as applicable) of this Memorandum.	We recommend seeking advice on a case-by-case basis on the appropriate disclaimer language.
6.2 Funds	
(a) Please confirm whether your response to section 5(a) would apply where the unsolicited approach is made in respect of a Fund by an investor which is a member of the public . If the position would differ, please specifically address the legal basis (if any) of permitted reverse enquiries from the public relating to Funds. If applicable, please cross-refer to your answer to section (d) below.	Our response to section 5(a) continues to apply where the unsolicited approach is made by a member of the public. As explained in section 5(a) there is no specific reverse-enquiry regime in the UK – the general marketing and licensing rules apply. Hence, in relation to a "reverse-enquiry" in respect of a Fund (whether Open-Ended or Closed-Ended), the OFI will need to comply with: (i) (A) an exemption to the Financial Promotion Restriction (if the OFI is unauthorised); or (B) an exemption to the CIS Promotion Restriction (if the OFI is authorised) unless the Fund is recognised under the s. 272 regime or under the OFR and (ii) where applicable, an exemption to the POATRs. In addition, OFIs that are Authorised Persons are generally expressly prohibited from marketing unauthorised Funds (which would be considered NMPs) to retail investors, subject to certain

	exemptions for high net worth/sophisticated investors. This prohibition also covers reverse-enquiries. This generally means that it is not feasible to rely on reverse solicitation for an approach by a member of the public. For a discussion of the available exemptions to the Financial Promotion Restriction, the CIS Promotion Restriction and the restrictions on marketing NMPIs, please refer to section 7.1(a) below. Note, in some instances the applicability of certain exemptions from the Financial Promotion Restriction (discussed in section 7.1(a) below) will hinge on whether a particular communication was solicited or unsolicited. However, as stated above, there is no formal “reverse-enquiry” exemption in the UK permitting an offer to be made to an investor predicated solely on the fact that the investor made the first approach. As outlined in section 6.2(d) below, the FCA may on a case-by-case basis register certain Funds so that they can be marketed to the public (pursuant to section 272 of FSMA). Funds located in “equivalent” jurisdictions may also be recognised under the OFR. If the unsolicited request from a member of the public relates to a Fund which has been recognised under the section 272 regime or the OFR, then marketing/sales of the Fund which derive from such solicitation will not be subject to the CIS Promotion Restriction. However, the Financial Promotion Restriction will still apply to the marketing/sales of a recognised Fund. In practice, this means that either the entity performing the marketing to the public needs to be an Authorised Person (which could be a distributor appointed by the Fund) or the Approval by Authorised Financial Promotion Approver Exclusion will need to apply, as it is unlikely that any of the exemptions to the Financial Promotion Restriction will permit marketing to the public as a whole. Please refer to Section 6.2(d) below for a discussion on the OFR route to marketing/sales of Funds and section 3(d) for discussion of the BFSa for Swiss firms marketing/selling into the UK.
(b) Is active marketing/selling of a Fund (domiciled outside your jurisdiction) to the public in your jurisdiction permitted without restriction ?	No.
(c) With reference to sections (a) and (b) above, if possible, please provide a definition of “the public” as such term is interpreted in your jurisdiction. For example, “the public” are those investors that are not professional investors (i.e. which are retail investors).	In the UK, the term “the public” is generally understood to refer to investors to whom marketing cannot be done on a private placement basis under the FPO or the CIS Exemptions Order. For example, investors falling within the Self-Certified Sophisticated Investor Exemption or the HNW

	Individuals Exemption are not regarded as members of “the public” (see further in section 7.1(a) below). There is also a concept of “retail client” (a client who is not a “professional client” or an “eligible counterparty” as each of those terms are defined in the Glossary of the FCA’s Handbook). However, this concept only applies in the context of UK-regulated firms’ activities. Also please see section 9 below regarding offering transferable securities to the public and available exemptions under the POATRs (e.g. offers made to or directed at fewer than 150 persons are exempt).
(d) If the answer to section (b) above is “No”, are there certain requirements that either the OFI or the Fund (domiciled outside your jurisdiction) can fulfil so that active marketing/selling by the OFI of a Fund to the public in your jurisdiction is permitted? If applicable, please cross-refer to your section 9 in respect of those Funds which fall within the scope of the UK public offering requirements. In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	Overseas Funds Regime Recognising that the TMPR discussed in section 4.1 is not a viable long-term recognition regime and that the existing individual recognition regime under section 272 of FSMA is limited, the UK government has introduced the Overseas Funds Regime (OFR), creating a new process that allows Funds that are domiciled outside the UK (in jurisdictions deemed to be equivalent by the UK government) to be marketed and sold to UK investors. Once an equivalence determination has been made in respect of a jurisdiction (which can be either EU or non-EU), funds are required to register with the FCA under section 271A to become recognised. The OFR operates alongside the section 272 regime but is expected to be more widely used. The UK government has so far recognised EEA UCITS Funds (except for money-market funds) as funds domiciled in equivalent jurisdictions. The OFR will also be particularly relevant for TMPR Funds who will need to apply for recognition under the OFR when directed by the FCA. Unlike the UCITS Passporting regime, the OFR requires that the OFI make a recognition application for each fund. The fees payable in respect of each application are higher than under the UCITS passporting regime and TMPR, and the time to market is often slower than the UCITS passporting regime (with the FCA having to approve the relevant application before the Fund can be marketed). Although the OFR is arguably more administratively burdensome than the UCITS passporting regime, it is nevertheless being taken up by operators, with 371 EEA UCITS Umbrella Funds, 4,519 EEA UCITS sub-funds and 57 standalone EEA UCITS Funds having been registered under the OFR as at 6 November 2025. The majority of provisions of the OFR came into force on 23 February 2022 and have since been supplemented by final FCA rules and guidance and an FCA policy statement on implementing the OFR. The new FCA Handbook rules and guidance came into force on 31 July 2024. The Leeds Reforms published in July 2025 (see discussion in section 3(d)) included a policy paper setting out HM Treasury’s policy approach to designating overseas jurisdictions under the UK’s

recognition architectures, including principles for assessments and ongoing monitoring. This supports future jurisdictional designations that could expand the scope of funds eligible for OFR recognition beyond EEA UCITS.

Implementation of the OFR and landing slots

- the OFR gateway for new scheme applications opened on 30 September 2024;
- new schemes are able to apply at any time from that date without a landing slot;
- for schemes in the TMRP, landing slots started in October 2024 for operators of stand-alone EEA UCITS Funds and November 2024 for umbrella UCITS, with last landing slots expected to end in September 2026; and
- the FCA issues landing slots by alphabetical order of the fund operator's name, with landing slots staggered monthly to help with operational efficiency.

The FCA notes it will issue a binding 'direction' to each fund operator in the TMRP, 8 weeks prior to the fund operator's landing slot opening telling the fund operator how to apply. For TMRP Funds, the operator must not apply under the OFR except during its landing slot. Applications must be made via the FCA's Connect service.

The FCA asks firms to consider the impact, including potential tax implications, on UK investors if they wish to remove any funds from the TMRP and to use the prescribed form (Form TMRP CH) to request de-recognition.

The FCA [webpage](#) also includes indicative 3-month landing slots for different operator name buckets.

The FCA has also highlighted the importance of TMRP Fund population data at the beginning of the landing slot window being accurate and stable. The key information will be automatically reproduced in the application form and will not be editable by users. The FCA is therefore requesting operators not to make any changes to the fund population data during the allotted landing slot and is encouraging operators to plan accordingly. With respect to fund operators, once the FCA has issued operators with a landing slot direction, and until the application for recognition has been determined, it cannot take account of any change of operator (management company) for the EEA UCITS Fund within the TMRP. If a TMRP Fund wishes to change the operator, it should wait until the scheme is recognised in the UK under OFR.

	<i>Application and fees</i> The FCA charges an application fee (GBP2,720 for standalone Funds and GBP5,440 for umbrella Funds) and ongoing fees for funds seeking OFR recognition, in line with the fees charged for UK authorised funds. The periodic fees are set out in FEES 4 Annex 4 (currently an annual GBP40 basic fee plus a fee of between GBP40 and GBP880 depending on the number of total funds/sub-funds managed by that operator). The FCA policy statement sets out information that the FCA will require from OFR fund operators to determine an application for recognition, including basic information on the fund, details of the fund's investment objective, policy and strategy, information on fees and charges and parties connected to the fund (e.g. delegated representatives and entities) and information on the marketing and distribution strategy of the fund, to understand the intended target market and which UK authorised firm will approve the fund's financial promotions (unless an exemption applies). See also the FCA website which has links for user guides for different types of funds applying for recognition under the OFR and the FCA OFR approach to recognition document. The approach to recognition document includes information on: • the application process, including the information required to be included as part of the application; • what the process will be once the application is submitted, including in relation to follow-up questions and tracking applications; • what will happen if an application is either successful or refused; and • the FCA's expectations for funds in the OFR, including in relation to fund names, approach to funds with particular investment strategies and position on certain costs charged by funds. <i>Making changes</i> There are certain ongoing notification requirements for OFR fund operators, although the FCA has noted it would not be the fund's primary supervisor, so it expects to have limited interaction on an ongoing basis with most OFR funds and their operators. Under the policy statement, for changes that the operator has identified as notifiable:
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- where that change needs to be approved by the home national competent authority, the operator should notify the FCA as soon as reasonably practicable after that approval has been obtained;
- in other cases, the operator should notify the FCA as soon as reasonably practicable after the decision to make the change has been reached or the event has occurred; and
- where possible, changes should be notified before taking effect in the UK, although the FCA acknowledges this may not always be possible.

The FCA updated its guidance relating to amendments and derecognition of recognised funds in 2025. Please refer to the following link on the FCA website for more information:

<https://www.fca.org.uk/firms/authorised-recognised-funds/amend>.

Facilities

UK facilities (which may be online facilities, if the prospectus states that communications will normally be online and if investors have agreed to this) for investors to easily receive information and for providing instructions concerning their investment must be provided free of charge in English.

The management company of the OFR Fund must also maintain an address for service in the UK.

Time Periods

The FCA will decide within two months whether to recognise the scheme or notify the applicant that the FCA proposes to refuse recognition.

Marketing and Sale once recognised under the OFR

There is no specific requirement to use a local intermediary to market an OFR Fund to the public.

However, it is important to note that even for a Fund that has been recognised under the OFR, fully unrestricted ability to market/sell that Fund is only permitted where the person marketing/selling complies with the Financial Promotion Restriction. In practice, this means that either the entity performing the marketing to the public needs to be an Authorised Person (which could be a distributor/intermediary appointed by the Fund) or the Approval by Authorised Financial Promotion Approver Exclusion will need to apply, as it is unlikely that any of the exemptions to the Financial Promotion Restriction will permit marketing to the public as a whole.

An OFI may also need to consider the General Prohibition where its activities amount to regulated activities.

Prospectus and disclosures

For Funds that are caught by the UK public offering requirements, in addition to seeking an OFR approval, it will also be necessary to comply with the POATRs requirements in order to market that Fund to the public in the UK, unless an exemption applies. Please refer to section 9 below.

See also section 3(d) with respect to the requirement to include a distributor notice confirming that an overseas Fund is not subject to the UK labelling and disclosure regime.

The Government and the FCA are reforming the UK's point-of-sale disclosure requirements for retail-facing financial services products. The Government passed legislation relating to a new framework for Consumer Composite Investments (CCI), including overseas recognised funds. Under this framework, a new retail disclosure regime will replace all existing requirements. Overseas recognised funds will be required to follow FCA rules under the new UK retail disclosure framework for CCIs following the end of the transition period which begins in April 2026 and ends in June 2027.

OFR Funds are also required to inform investors about the possible lack of access to the UK Financial Ombudsman Service or Financial Services Compensation Scheme, and, in certain cases, whether any overseas compensation or alternative dispute resolution schemes are available. The relevant disclaimers are included in Part C: Retail Investors of the disclaimers for Open-Ended Funds in Appendix 1. Note that the FCA has said that, if the addition of the OFR disclosures set out below into any of the Fund documents would require approval from the national competent authority responsible for authorising and supervising the Fund, this approval must be obtained before the Fund can make its OFR application to the FCA. This should therefore be factored into the OFR application planning and, in the case of a TMPR Fund, sought as soon as possible during the allocated landing slot.

Adding sub-funds to the OFR

The FCA has stated that:

- Addition of new sub-fund(s): currently, operators of umbrella EEA UCITS Funds in the TMPR can add a sub-fund of that umbrella to the TMPR if the sub-fund has been authorised since the UK withdrew from the EU. The latest point at which an operator will be able to continue to add sub-funds in this way is 2 weeks before the opening of their umbrella

landing slot. If an operator wishes to add new sub-funds after that point, it will need to wait until the umbrella has been recognised in the UK under OFR.

- Addition of sub-fund(s) authorised prior to 31 December 2020 (not notified under TMPR): currently, operators of umbrella EEA UCITS Funds in the TMPR cannot add a sub-fund of that umbrella to the TMPR if the sub-fund was authorised before the UK withdrew from the EU. The operator will need to apply within its landing slot for recognition under OFR of the umbrella and the sub-funds within the TMPR. Once that recognition has been granted, recognition of additional non-TMPR sub-funds can then be applied for.

Guidance

The FCA updates and publishes directions on its website and has encouraged OFR fund operators and firms to make reference to both the FCA Handbook and the FCA OFR website pages to see all the rules and directions: <https://www.fca.org.uk/firms/overseas-funds-regime-update-firms>.

Section 272 Authorisation

Note that under the AIFM Regs, at the end of the Implementation Period, EEA UCITS Funds ceased to be a UCITS Fund and instead constitute third country AIFs under UK law from that point, albeit that if the EEA UCITS applies for and is given “recognised scheme” status under the OFR (as described further above) or becomes authorised under section 272 (as described below), it can be promoted in the same way as an authorised collective investment scheme established in the UK (including a UK UCITS).

Where the AIF takes the form of an unregulated collective investment scheme, it may only be promoted to UK investors in accordance with the CIS Promotion Restriction and the Financial Promotion Restriction (PERG 8.20G). Broadly, unregulated collective investment schemes cannot be marketed to the general public. Notwithstanding the above, section 272 of FSMA provides that the FCA may, on a case-by-case basis, recognise certain non-UK funds (including AIFs) so that they can be marketed to the public. Please also see our discussion above about the OFR.

A Fund applying under section 272 of FSMA must meet certain adequacy tests and the FCA recommends that if you are considering making an application to have an AIF recognised under section 272, you contact them in the first instance to discuss an application. The fact that a particular Fund is regulated in another jurisdiction is a factor that the FCA will consider when making its decision but does not govern whether or not the application will be successful.

Please refer to the following links on the FCA’s website for more information:

<https://www.fca.org.uk/firms/authorised-recognised-funds/apply-fund-recognition>

Please also refer to the following guidance: <https://www.fca.org.uk/firms/authorised-recognised-funds>

See also COLL section 9.3 for further requirements which apply to a Fund recognised under section 272.

Note that there is a specific process under section 272 for the recognition of Hong Kong Covered Funds – for further details see section 6.1 above.

Application and Fees

To get an AIF domiciled outside the UK approved so that it can be marketed/sold to the public under section 272, it is necessary to provide the appropriate application form, relevant supporting documentation/information and fee to the FCA. The fees range from GBP11,150 (for non-umbrella Funds) to GBP22,300 (for umbrella Funds). The periodic fees are set out in FEES 4 Annex 4 (currently an annual GBP160 basic fee plus a fee of between GBP160 and GBP3,520 depending on the number of total funds/sub-funds managed by that operator).

<https://www.handbook.fca.org.uk/handbook/FEES/3/Annex2.html>

Paragraph 6 of the section 272 application form contains a list of suggested documents that your application should include.

Making Changes

For changes to a Fund recognised under section 272 of FSMA, the FCA requires written notice under section 277 of FSMA of the proposed changes (although no fee will be payable if the Fund is already recognised). Please refer to the following link on the FCA's website for more information: <https://www.fca.org.uk/firms/authorised-recognised-funds/amend>. Note also that in January 2023, the FCA made a number of changes to the section 272 regime including that only material changes will need to be notified to the FCA and specifying which kinds of proposed alteration to a scheme will count as material.

Facilities

The operator of an AIF domiciled outside the UK being marketed to the public in the UK must maintain certain facilities in the UK to enable, for example, any member of the public to inspect the scheme documentation.

	<i>Time Periods</i> The FCA states on its webpage that it will complete applications for recognition under section 272 within 6 months of receipt. https://www.fca.org.uk/firms/authorised-recognised-funds/apply-fund-recognition <i>Marketing and Sale once AIF has section 272 approval</i> There is no specific requirement to use a local intermediary to market an AIF with section 272 approval to the public. However, it is important to note that even for an AIF that has a section 272 approval, fully unrestricted ability to market/sell that Fund is only permitted where the person marketing/selling complies with the Financial Promotion Restriction. In practice, this means that either the entity performing the marketing to the public needs to be an Authorised Person (which could be a distributor/intermediary appointed by the Fund) or the Approval by Authorised Financial Promotion Approver Exclusion will need to apply, as it is unlikely that any of the exemptions to the Financial Promotion Restriction will permit marketing to the public as a whole. An OFI may also need to consider the General Prohibition, where its activities amount to regulated activities. <i>Regular Provision of Information relating to Compliance pursuant to section 277A</i> The AIFM Regs enable the FCA to direct new compliance requirements for Funds that are recognised under section 272 of FSMA. Under section 277A of FSMA, the FCA has directed operators to complete and return an annual compliance certificate relating to its recognised Fund(s). The certificate must be sent to the FCA no later than one month following the publication of the annual report and accounts of the Fund or, if that publication is delayed, the last day on which it would have complied with applicable regulation, whichever is earlier. Please refer to the following link on the FCA's website (which contains the FCA's final direction under section 277A) for further information: http://www.fca.org.uk/your-fca/documents/final-direction-under-s277a-fsma <i>POATRs</i> For AIFs that are caught by the POATRs, in addition to seeking a section 272 approval, it will also be necessary to comply with the POATRs requirements in order to market that Fund to the public in the UK, unless an exemption applies. Please refer to section 9 below. PRIIPs/CCIs
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	A person who advises a retail investor on a PRIIP or sells a PRIIP to a retail investor must provide the retail investor with a KID in good time before any transaction is concluded. In addition to advisers, this will impact intermediaries such as distributors. For more information see the following page of the FCA's website: https://www.fca.org.uk/firms/priips-disclosure-key-information-documents On the above webpage the FCA confirms that unregulated collective investment schemes that are AIFs and s272 recognised schemes fall within the PRIIPs definition. On the above webpage, the FCA further confirms that where disclosure rules in the FCA Handbook that implement EU legislation, such as MiFID II or Solvency II, co-exist with the PRIIPs SI, these rules will continue to apply to firms. For certain products, the KID will therefore not be the only document or information consumers need to receive. It should be noted that the PRIIPs requirements do not currently apply to UK and EEA UCITS being marketed in the UK until 31 December 2026. https://www.gov.uk/government/news/announcement-hm-treasury-to-extend-priips-exemption-for-ucits-funds-for-five-years. In July 2022, the FCA updated its webpage to confirm that this exemption applies to both EEA UCITS recognised under section 272 and those recognised under the TMR or the OFR. Such EEA UCITS must provide a UCITS KIID when being marketed to retail investors in the UK. Since there are differences between the required contents of a PRIIPs KID and a UCITS KIID, this means that different disclosures will be needed in the EU and the UK, while systems will need to be in place to ensure that investors receive the correct document. In addition, as discussed in section 3(d), as part of the SRF, the UK PRIIPS Regulation is being revoked and replaced by a new domestic regime (the 'Consumer Composite Investments Regime'). The FCA published the final rules for the new CCI regime in a policy statement in December 2025. Full implementation of the new regime is to take place throughout 2026 and 2027. See section 3(d) for further information. Overseas recognised funds and other recognised schemes will be required to follow FCA rules under the new UK retail disclosure framework for CCIs following the end of the transition period in June 2027.
(i) the impact (if any) of the marketing/sale being undertaken in respect of a Fund regulated in a country other than your jurisdiction, e.g. a 1940 Act Fund, UCITS Fund.	See response to 6.2(d) above, in particular in connection with "equivalent" jurisdictions under the OFR.

(ii)	the impact (if any) of the marketing/sale being undertaken in respect of an Open-Ended or a Closed-Ended Fund.	Unlikely that FCA will agree to recognise an unlisted Closed-Ended Fund as suitable for marketing to the public pursuant to section 272 of FSMA or the OFR.
(iii)	the relevant criteria for determining whether investors are in your jurisdiction for the purposes of determining whether the Fund may be offered to the public.	See section 7.1(a) below for analysis regarding the definition of the term “capable of having effect in the UK”.
(iv)	whether it is (A) necessary ; or (B) permitted to use a local intermediary in order to market/sell interests in a Fund to the public in your jurisdiction.	See response to 6.2(d) above. Depending on the circumstances a UK-authorised intermediary may be required to comply with the Financial Promotion Restriction and/ or the General Prohibition. However, it is still generally permitted to market/sell interests in a Fund via a local intermediary, as long as the both the relevant OFI and local intermediary comply with the Financial Promotion Restriction, the General Prohibition, the CIS Promotion Restrictions and POATRs (where applicable).
(v)	whether there is any requirement as to the language the Fund documentation needs to be in and are there any particular requirements that apply in connection to such documents?	The documents submitted and the application form shall be in English for both section 272 authorisation and under the OFR. The KIID/CCI product summary should also be provided in English.
(e)	Where it is possible to market/sell a Fund pursuant to a regime outlined in section 6.2(d), please briefly outline any applicable timescales, costs, initial and ongoing filing or other requirements.	See 6.2(d) above.
(f)	Are there any registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling a Fund to the public in your jurisdiction?	Yes, see 6.2(d) above.
(g)	Would your answer to section (b) above differ if interests in the Fund being marketed/sold to the public constituted the re-sale of existing interests (i.e. a secondary offering) rather than the offering/placement of a new issue?	No.

(h) Where pursuant to section 6.2(d) above it is possible to market a Fund to the public in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials for a Fund marketed to the public? If so, please provide recommended wording in Section C of each of Appendix 1 and Appendix 2 (as applicable) of this Memorandum.	Yes, please see section C of Appendix 1. Please note that we have not inserted a disclaimer into Section C of Appendix 2 since it is most unlikely that the FCA will recognise an unlisted Closed-Ended Fund for marketing or sale to the public pursuant to section 272 of FSMA or the OFR.
6.3 Investment Management & Advisory Services	
(a) Please confirm whether your response to section 5(c) would apply where the unsolicited approach in respect of Investment Management & Advisory Services is made by an investor which is a member of the public. If applicable, please cross-refer to your answer to section (b) or (d) below.	Our response to section 5(c) continues to apply where the unsolicited approach is made by a member of the public. As explained in section 5(c), there is no specific reverse-enquiry regime in the UK—the general marketing and licensing rules apply. The OFI needs to consider: (i) the Approval by Authorised Financial Promotion Approver Exclusion, as none of the exemptions to the Financial Promotion Restriction would apply to marketing to the public; and (ii) the OFI must not carry out any regulated activity unless an exemption from the General Prohibition applies. An OFI may need to use an Authorised Person as an intermediary to comply with the Financial Promotion Restriction and the General Prohibition. We note that marketing which is at the initiative of the investor is likely to satisfy the “legitimate approach” condition in certain elements of the Overseas Persons Exclusion (i.e. an approach made by the investor to the OFI which has not been solicited by the OFI in any way) in respect of certain regulated activities, such as the provision of Investment Advice.
(b) Is marketing/selling of Investment Management & Advisory Services to the public in your jurisdiction permitted without restriction?	Where an OFI is unauthorised in the UK, it cannot market Investment Management & Advisory Services to the public without restriction since the marketing communications will be caught by the Financial Promotion Restriction other than where the marketing is done by means of the Approval by Authorised Financial Promotion Approver Exclusion (please see section 7.1(a) below for a discussion regarding this exclusion). Further, provision of such services is only permitted where it takes place overseas or in reliance on the Overseas Persons Exclusion (and therefore does not trigger the General Prohibition). Alternatively an OFI may wish to use an Authorised Person as an intermediary. Please also refer to section 3(d) for discussion of the BFSa for Swiss firms marketing/selling Investment Management & Advisory Services into the UK.

(c) With reference to sections (a) and (b) above, if possible, please provide a definition of “the public” as such term is interpreted in your jurisdiction. For example, “the public” are those investors that are not professional investors (i.e. which are retail investors). Please refer to section 6.2(c) if applicable.	Please see section 6.2(c).
(d) If the answer to section (b) above is “No”, are there certain requirements that the OFI can fulfil so that marketing/selling by the OFI of Investment Management & Advisory Services to the public in your jurisdiction is permitted?	The only way that an OFI could market Investment Management & Advisory Services to the public without restriction (rather than via a private placement to professional investors only) would be where: (i) the OFI is an Authorised Person, (ii) the Approval by Authorised Financial Promotion Approver Exclusion applies; or (iii) the OFI uses an Authorised Person as an intermediary. In addition, provision of such services is only permitted where it takes place overseas or in reliance on the Overseas Persons Exclusion (and therefore does not trigger the General Prohibition), or where an OFI uses an Authorised Person as an intermediary. Please also refer to section 3(d) for discussion of the BFSa for Swiss firms marketing/selling Investment Management & Advisory Services into the UK.
(e) Is there a requirement as to the language the written marketing materials need to be in when marketing/providing Investment Management & Advisory Services to the public and are there any particular requirements that apply in connection to such documents?	There are no specific requirements in regulations or in the Handbook. We note that if the offer is subject to the POATRs requirements (which are discussed further in section 9 below) then any prospectus must be in English or a language customary in the sphere of international finance. We note also the overriding principle that communications should be fair, clear and not misleading.
(f) Where pursuant to section 6.3(d) above it is possible to market/sell Investment Management & Advisory Services to the public in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials? If so, please provide recommended wording in Section C of Appendix 3 of this Memorandum.	Where marketing and sale of Investment Management & Advisory Services to retail investors is permitted you are advised to consult with legal counsel to determine if any particular wording is required depending on the particular services or structure being marketed/sold. Please also refer to section 8.1(c) regarding the form and content requirements that must be complied with.

7. PRIVATE PLACEMENT REGIME

Questions	Answers
7.1 Private Placement Regime (Funds)	
(a) Is active marketing/selling by an OFI of interests in a Fund (whether Open-Ended or Closed-Ended) to investors in your jurisdiction via a private placement regime permitted? In preparing your answer, please <u>ensure that your analysis covers the following</u> (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	A. Introduction The UK permits marketing in compliance with its private placement regime. Note that where a Fund validly entered into the TMPR, it will be able to market via this regime during the TMPR Period – see section 4 above for further details. In addition, please see section 6.2 for details with respect to funds recognised under the OFR. Restrictions in the UK relating to financial promotion effectively constitute a private placement regime in respect of the offering of Funds to investors in the UK. The application of these restrictions depends on whether the entity making the offering is authorised in the UK or unauthorised. Through the use of exemptions to these restrictions, it is possible to market Funds to investment professionals, to certain high-net-worth (HNW) individuals and sophisticated investors and certain other investors as set out in the COBS 4.12B.7 exemption discussed below. Note, however, that in relation to HNW individuals and sophisticated investors, the available exemptions are only available for certain types of Fund. B. Marketing restrictions applicable to an unauthorised firm Under section 21 of FSMA, a person must not, <u>in the course of business</u>, <u>communicate</u> an <u>invitation or inducement</u> to <u>engage in investment activity</u> unless: (i) they are an Authorised Person; (ii) the content of the authorisation communication has been approved by an Authorised Financial Promotion Approver for the purposes of section 21; or (iii) an exemption applies. The relevant exemptions are contained in the FPO and are discussed below. Section 21 of FSMA will only apply to communications originating outside the UK in so far as the communication is <u>capable of having an effect in the UK</u>. The restriction in section 21 FSMA is referred to as the Financial Promotion Restriction. Below, we consider each of the above underlined terms in turn:

	<i>In the course of business</i> Marketing by the OFI on a cross-border basis will be “in the course of business” as it involves commercial interest on the part of the OFI as communicator (PERG 8.5G) (e.g. personal communications between individuals will therefore not be caught). <i>Communicate</i> The word “Communicate” includes actions which <i>cause</i> a communication to be made (section 21(13) FSMA). The FCA, under PERG 8.6, considers that communication requires a person to take an active step. Therefore, where an originator of an offering document (if the originator is unauthorised) hires a placement agent to promote the Fund and find investors to buy interests, the placement agent will be communicating but the originator will be <i>causing</i> the communication. The originator is the person responsible for the contents of the communication, e.g. directors of a Fund, its operator or sponsor. The FCA’s view is that the primary responsibility for a written communication to which section 21 applies will rest with its originator. If an oral communication, primary responsibility rests with the speaker, but if communicating on behalf of an employer, then the employer is primarily responsible. Both the communicator and the person who causes the communication will be caught by the Financial Promotion Restriction and will need to look at what exemptions might be available or whether the financial promotion must otherwise be approved by an Authorised Financial Promotion Approver. The regime is intended to be media neutral (although please see section 8.5(d) below regarding the FCA's guidance on financial promotions in social media) but does distinguish between real time and non-real time communication. Real time communications can be solicited or unsolicited for the purposes of the regime. The availability of certain exemptions will depend on whether the financial promotion was real time or non-real time under the FPO or the CIS Exemptions Order.
	<i>An invitation or inducement</i> “Marketing” will fall within section 21 of FSMA if it is an invitation or inducement. The terms “invitation” or “inducement” have their natural meaning as they are not defined by FSMA. The FCA considers that the essential elements that any marketing must have in order to be an invitation or inducement are: (i) the purpose or intent of the marketing is to lead a person to engage in investment activity; and (ii) the marketing must be promotional in nature (PERG 8.4.1G and

	8.4.4G). Communications which seek to educate or inform investors about the mechanics or risks of an investment may not constitute an invitation or inducement; however, they may constitute Investment Advice, in which case they may be subject to other restrictions (please see section 8.8 below). Marketing by the OFI on a cross-border basis will fall within the definition of invitation or inducement of the purposes of section 21 of FSMA given that marketing by definition is promotional in nature. <i>Engage in investment activity</i> A communication must be an invitation or inducement to “engage in investment activity” for the Financial Promotion Restriction to apply. “Engage in investment activity” is defined in section 21(8) FSMA as “(i) entering or offering to enter into an agreement the performance of which by either party constitutes a <i>controlled activity</i>; or (ii) exercising any rights conferred by a <i>controlled investment</i> to acquire, dispose of, underwrite or convert a <i>controlled investment</i>”. Controlled activities and <i>controlled investments</i> are defined in Schedule 1 of the FPO (Parts I and II, respectively).⁸ Units in collective investment schemes are a <i>controlled investment</i> under Schedule 1 Part II (19) FPO and therefore financial promotions relating to such units will be caught by the Financial Promotion Restriction. Please refer to paragraph C below for a discussion of the extent to which the definition of “AIF” overlaps with the definition of “collective investment scheme”.
	<i>Capable of having an effect in the UK</i> The Financial Promotion Restriction applies to communications made in the UK or to communications made outside the UK if they are “capable of having an effect in the UK”. This means that such communications are addressed to persons located in the UK. Therefore, to the extent that an investor is in the UK, whether permanently or temporarily, communications to such investors will be caught by the Financial Promotion Restriction. The FCA provides no further guidance on the term “person in the UK”. See PERG 8.8 for further analysis regarding the “capable of having an effect in the UK” test. However, the exemption under Article 12 FPO, in relation to communications to overseas persons, sheds further light on whether an investor is in the UK. Article 12 identifies conditions which, if

⁸ Although *controlled activities* and *controlled investments* are similar to regulated activities and specified investments under the RAO (discussed further below) they are not the same; it is therefore possible for a person not to require authorisation but to find that the Financial Promotion Restriction applies.

	met, allow a communication directed from a place outside the UK to be conclusively regarded as directed only at persons outside the UK. These are that: • the communication is not referred to in, or directly accessible from, any other communication made to a person or directed at persons in the UK by the person directing the communication; and • there are proper systems and procedures in place to prevent recipients in the UK (other than those to whom it may be lawfully made) engaging in the investment activity. To the extent that the OFI cannot meet these conditions in relation to communications made to persons, such communications are likely to be deemed to be “directed at” persons in the UK.
	C. Marketing restrictions applicable to an authorised firm (i.e. a UK authorised firm) The Financial Promotion Restriction does not apply if a person is authorised. However, the promotion of unregulated Funds by Authorised Persons in the UK is still restricted since unregulated collective investment schemes are subject to an additional promotion restriction in section 238 of FSMA which provides that an Authorised Person must not communicate an invitation or inducement to participate in a collective investment scheme, which is not a UK-authorised or recognised scheme (the CIS Promotion Restriction). We note that the definition of “Fund” in this Memorandum corresponds with the definition of AIF in the AIFM Regs but also includes UCITS Funds. This definition of “AIF” overlaps extensively with, but is not exactly the same, as the definition of “collective investment scheme” as such term is defined in section 235 of FSMA. As explained in PERG 16.5 most but not all AIFs will be collective investment schemes and the main example of an AIF that is not a collective investment scheme is an AIF in the form of a body corporate other than an open-ended investment company (as such term is defined in section 236 of FSMA) – although such AIF is likely to fall under the POATRs (see Section 9 below). However, on the basis that most Funds will fall to be collective investment schemes we will use the terms interchangeably in this Memorandum. Clients in any doubt should, however, seek legal advice. Funds that have been approved by the FCA under section 272 of FSMA or the OFR are “recognised” funds which are not subject to the CIS Promotion Restriction (see section 6.2 above). However, Funds that are not UK-authorised or recognised under section 272 or the OFR will be caught by the CIS Promotion Restriction.

	In terms of its territorial scope, the CIS Promotion Restriction relates to marketing by an Authorised Person of interests in a collective investment scheme that is neither UK-authorised nor a recognised scheme and it does not state that the marketing needs to be aimed at investors in the UK. However, Article 8 of the CIS Exemptions Order provides an exemption for all communications made to a person who receives the communication outside the UK or directed only at persons outside the UK. Please refer back to the discussion regarding <i>capable of having effect in the UK</i> above for more information. Authorised Persons must also comply with the marketing requirements in relation to non-mass market investments (which includes non-mainstream pooled investments (NMPIs)) set out in COBS 4.12B. COBS 4.12B prohibits Authorised Persons from communicating or approving an invitation or inducement to participate, acquire, or underwrite NMPIs where that invitation or inducement is addressed to or disseminated in such a way that is likely to be received by a retail investor. All unauthorised Funds (i.e. Funds that are not "recognised schemes" under the s272 regime or the OFR or an EEA UCITS Fund under the TMPR) are considered NMPIs. The exemptions to the NMPI restriction are set out in COBS 4.12B.7R and include exemptions for communications made to high net worth investors and self-certified sophisticated investors (provided certain specific regulatory disclosures are made) which are discussed in section D below. COBS 4.12B also prohibits Authorised Persons from communicating or approving a financial promotion which relates to a non-mass market investment (including an NMPI) and which offers to a retail investor any monetary or non-monetary incentive to invest (other than 'shareholder benefits'). Note that COBS 4.12B does not apply to an OFI that is not an Authorised Person, who is instead subject to the Financial Promotion Restriction.
	D. Relevant exemptions from the Financial Promotion Restriction and the CIS Promotion Restriction The FPO contains certain exemptions from the Financial Promotion Restriction which may be applicable to marketing of a Fund by an unauthorised OFI. The CIS Exemptions Order contains certain exemptions from the CIS Promotion Restriction which may be applicable to marketing of a Fund by an OFI that is a UK-authorised firm. The exemptions contained in the CIS Exemptions Order are very similar to those in the FPO and we will therefore consider these exemptions at the same time. In addition to the exemptions available under the CIS Exemptions Order, a UK-authorised firm may avail itself of one of the exemptions contained in COBS 4.12B (discussed below).

	Before considering the terms of the available exemptions, it is first necessary to consider the following terms since the application of certain exemptions in the FPO or the CIS Exemptions Order may depend on certain criteria being met: “<i>made to</i>” means the communication is addressed to a particular person or persons, whether verbally or in a legible form (e.g. in a telephone call or a letter). “<i>directed at</i>” means a communication that is addressed to persons generally (e.g. in a newspaper, magazine, TV broadcast or on a website). “<i>real time communications</i>” means a communication made in the course of a personal visit, telephone call or other interactive dialogue. “<i>non-real time communications</i>” means a communication that is not a real time communication e.g. communications by email, letter or contained in a publication or a scripted presentation. “<i>solicited</i>” means the communication was initiated by or takes place in response to an express request by the recipient. A communication is solicited only if it is clear from all circumstances when the call, visit or dialogue was initiated or requested and that during the course of the visit, call or dialogue, communications will be made concerning the kind of <i>controlled activities</i> or <i>controlled investments</i> to which the communications in fact relate. “<i>unsolicited</i>” means the communication was not solicited. Some exemptions only apply to financial promotions that are “made to” other persons. Further, exemptions for “real time” financial promotions apply only when “made to” and not “directed at” persons.
	<i>Investment Professionals Exemption (Article 19 FPO; Article 14 CIS Exemptions Order)</i> The Financial Promotion Restriction does not apply to any communication if it: (i) is made only to recipients whom the communicator believes on reasonable grounds to be investment professionals; or (ii) may reasonably be regarded as directed at investment professionals. The CIS Exemptions Order contains a similar exemption for investment professionals from the CIS Promotion Restriction. The following investors fall within the definition of “investment professionals”:

- (i) UK FCA/PRA authorised persons – which would include UK authorised bank and credit institutions, investment managers, insurance companies, investment firms and broker dealers and regulated funds;
- (ii) exempt persons (where the financial promotion relates to a *controlled activity* which is a regulated activity under the RAO for which the person is exempt under the Exemption Order) – which includes the Bank of England and a small number of international and other organisations. Please refer to Appendix 5 for a complete list of exempt persons;
- (iii) persons whose ordinary activities involve him/her carrying on the *controlled activity* to which the financial promotion relates for the purpose of a business carried on by him (which includes unregulated funds, companies which provide venture capital and large companies which have a corporate treasury function) or who it is reasonable to expect will carry on such activity for the purposes of a business carried on by him; and
- (iv) governments and local authorities or international organisations – this includes sovereigns and states of federal sovereigns.

This exemption also includes individuals or other persons acting in their capacity as directors, officers or employees of persons in (i) to (iv) above where the communication is made to that individual or other person or a director, officer or employee and where that individual or other person's responsibilities when acting in that capacity involve him carrying on the *controlled activity* for such persons in (i) to (iv).

In relation to directed at (rather than made to) financial promotions, this exemption also includes persons acting in their capacity as directors, officers or employees of such persons.

Article 19(4) FPO and Article 14(4) CIS Exemptions Order set out conditions which, relate to indications (i.e. written notifications) which should accompany communications (considered in greater detail in section 8.1 below) and conditions relating to systems and procedures to prevent recipients other than investment professionals engaging in the investment activity to which the communication relates, which if all are satisfied, offer conclusive proof that the financial promotion was directed only at investment professionals.

Note that Article 19(6) FPO states that a financial promotion may be treated as made to or directed only at investment professionals even if it is also made to or directed at other persons to whom it may lawfully be communicated, e.g. via another exemption such as that which is available for high net worth entities.

High Net Worth Entities Exemption (Article 49 FPO; Article 22 CIS Exemptions Order)

Pursuant to the High Net Worth Entities Exemption, the Financial Promotion Restriction does not apply to any communication if it is: (i) made only to recipients whom the communicator believes on reasonable grounds to be “High Net Worth” entities; or (ii) may reasonably be regarded as directed at “High Net Worth” entities.

The CIS Exemptions Order contains a similar exemption for high-net-worth entities from the CIS Promotion Restriction.

Article 49(2)(a)-(d) FPO and Article 22(2)(a)-(d) CIS Exemptions Order outline the criteria for “High Net Worth” which varies depending on the type of entity:

- (i) body corporate: which has (or which is a member of a group with an undertaking which has) a called up share capital or net assets of not less than: (A) GBP500,000 if such entity or subsidiary of such entity has more than 20 members; or (B) otherwise GBP5 million;
- (ii) unincorporated association or partnership: with net assets of not less than GBP5 million; or
- (iii) trustees of high value trusts: a high value trust means a trust where the aggregate value of the cash and investments which form part of the trust’s assets (before deducting the amount of its liabilities):
 - (A) is GBP10 million or more; or
 - (B) has been GBP10 million or more at any time during the year immediately preceding the date on which the communication in question was first made or directed.

This exemption also includes individuals or other persons acting in their capacity as directors, officers or employees of persons in (i) to (iii) above where the communication is made to that individual or other person or a director, officer or employee and where that individual or other person’s responsibilities when acting in that capacity involve him carrying on the controlled activity for such persons in (i) to (iii).

Article 49(4) FPO and Article 22(4) CIS Exemptions Order set out conditions which, if all are met, are conclusive proof that the financial promotion is directed at high net worth entities considered above. These conditions relate to indications (i.e. notifications) which should accompany such communications (considered in greater detail in section 8.1 below) and systems

	and procedures to prevent recipients other than the persons considered above (or close relatives or members of their group) engaging in the investment activity to which the communication relates. As with the Investment Professionals Exemption, this exemption allows a financial promotion to be made to, or directed at, persons to whom it may lawfully be made (e.g. Article 19 “investment professionals”) and still be considered to be directed at entities which fall within the High Net Worth Entities Exemption.
	<i>Overseas Communicators Exemptions (Articles 30-33 FPO; Articles 8-10 CIS Exemptions Order)</i> The Investment Professionals Exemption and the High Net Worth Entities Exemption apply to all types of communication, whether they are solicited or unsolicited real time communications, or non-real time communications. Therefore, to the extent that the OFI can rely on either of these exemptions, then the Financial Promotion Restriction and/or the CIS Promotion Restriction (as applicable) will not apply. However, to the extent that the OFI is unable to rely on these exemptions in relation to a particular professional investor, the Overseas Communicators Exemptions may be helpful. These exemptions do not map as well between the FPO and the CIS Exemptions Order and the OFI will need to ensure that it is relying on the correct exemption depending on its status and the product it is marketing. Article 30 FPO/Article 9 CIS Exemptions Order, relate to <u>solicited real time</u> communications made by an overseas communicator in the course of or for the purposes of his carrying on the business of engaging in relevant investment activities outside the UK. This exemption is not relevant to telephone cold calling since the communications must be solicited. It is advisable to maintain appropriate records so that it can be demonstrated, if necessary, that the communication was solicited.
	Article 31 FPO relates to <u>non-real time</u> financial promotion (<u>whether solicited or unsolicited</u>) to previously overseas customers. This exemption is not relevant to telephone calls or meetings since these constitute real-time communications. Article 31 provides guidance as to the definition of “previously overseas customer”. To rely on this exemption, the OFI must have: • done any relevant business with the customer within 12 months ahead of the day on which the communication was received and, at that time, the customer must have been neither resident in nor have had a place of business in the UK; or • done any relevant business with the customer within 12 months ahead of the day on which the communication was received while the customer was resident in the UK or

	had a place of business in the UK <u>and</u> at any time prior to that done business of the same type with the customer when the customer was neither resident in nor had a place of business in the UK. For this purpose, “business” includes having effected a transaction, or arranged for a transaction to be effected, with the customer; safeguarding and administering of investments outside of the UK (i.e. custody); or providing investment advice outside of the UK. Article 32 FPO/Article 10 CIS Exemptions Order provide an exemption for <u>unsolicited real time</u> financial promotions made by an overseas communicator to persons who were previously overseas and who were customers of the OFI then. It is a requirement of this exemption that the terms on which previous transactions and services had been effected or provided by the overseas communicator to the previously overseas customer were such that the customer would reasonably expect, at the time that the unsolicited real time communication is made, to be contacted by the overseas communicator in relation to the investment activity to which the communication relates. Certain indications (i.e. notifications) should accompany such communications and these are considered in greater detail in section 8.1 below. Article 33 FPO provides an exemption for <u>unsolicited real time</u> financial promotions which applies where an overseas communicator has reasonable grounds to believe that the recipient is knowledgeable enough to understand the risks associated with the <i>controlled activity</i> to which the financial promotion relates. In order to rely on this exemption the recipient must have been informed that he will not gain the protection of FSMA and such recipient must have clearly signified that he accepts the position, having been given a proper opportunity to consider the information.
	<i>HNWI Exemption (Article 48 FPO, Article 21 CIS Exemptions Order and COBS 4.12B.7R)</i> Exemptions are available which permit Funds to be offered/placed with HNWI individuals/sophisticated investors, although the application of these is more restricted than the Investment Professionals Exemption and the High Net Worth Entities Exemption. It particular, it is worth noting that the HNWI Exemption and the Self-Certified Sophisticated Investor Exemption (discussed below) are available only for Funds that make certain kinds of investments. The HNWI Exemption is only available if the Fund in question invests wholly or predominantly in shares or debentures of unlisted companies (defined in Article 3 of the FPO). In our view, as well as traditional private equity/debt funds, this would cover a Fund which invested in real estate through one or more holding companies. It would, however, exclude Funds investing

	predominantly in, for example, listed securities/derivatives. The HNWI Exemption also only relates to written communications or oral communications to the extent that they are solicited (i.e. it does not apply to cold calling). There is an additional requirement that the recipient must have no contingent liability so that the maximum he may lose is the amount he invests. In order for communication to be made in reliance on the HNWI Exemption, the following requirements must be complied with (note that certain of these requirements only apply with respect to Authorised Persons but we have included for reference only): (i) Each individual to whom the communication will be made must have signed a statement within 12 months ending on the date that the communication is made, certifying that it is a high net worth individual. The relevant statement is found in the in Part I of Schedule 5 of the FPO and Part II of the Schedule of the CIS Exemptions Order (as applicable). This statement generally requires the individual to confirm that it has an annual income of GBP100,000 or more and/or has financial net assets to the value of at least GBP250,000 and, for investments with OFIs that are Authorised Persons, contains an evidence component whereby the investor is required to state why they meet the criteria. (ii) The person making the communication must believe, on reasonable grounds, that each individual to whom the communication is made is a high net worth individual. Before marketing any unauthorised Funds, OFIs that are Authorised Persons must take reasonable steps to determine that the individual to whom the communication is made is a HNWI and conduct a preliminary assessment of suitability based on a preliminary assessment of the individual's profile and objectives. (iii) The financial promotion must be accompanied by a specific warning (please see section 8.1 below for more detail). There are additional prescribed warnings and risk summaries that must be provided by OFIs that are Authorised Persons (please see section 8.1 below for more detail). (iv) In addition, when a HNWI requests to view the financial promotion (i.e. requests to be able to invest), OFIs that are Authorised Persons must provide a specific personalised risk warning to the investor (please see section 8.1 below for more detail). (v) The financial promotion must be accompanied by a specific indication (please see section 8.1 below for more detail). (vi) For a first-time investor with an OFI that is an Authorised Person, there must be a 24-hour cooling off period, starting from when the investor requests to view the financial
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	promotion (i.e. requests to be able to invest), that must elapse before the investor is able to invest in the Fund. The following things can still occur during that 24-hour cooling off period: (a) commencing “on-boarding” (AML/KYC) checks on the investor; (b) showing the investor the personalised risk warning referred to in limb (iv) above; (c) obtaining the statement certifying the investor’s high net worth individual status under limb (i) above; and (d) assessing the appropriateness of the investment for the investor, as referred to in limb (ii) above. Following the 24-hour cooling off period, the investor must be offered the opportunity to specify whether they wish to leave the investment journey or continue to receive the financial promotion. The requirements relating to the marketing of high-risk investments to retail investors in the UK are highly complex. OFIs who are seeking to market high-risk investments to retail investors may wish to seek legal advice.
	<i>Self-Certified Sophisticated Investor Exemption (Article 50A FPO, Article 23A CIS Exemptions Order and COBS 4.12B.7R)</i> This exemption is available to: (i) individuals who are part of a network of business angels (and have been for the last six months); (ii) individuals who have, in the last two years, invested in more than one unlisted company; (iii) individuals working (or who have worked in the last two years) in a professional capacity in the private equity sector or in the provision of finance for small and medium enterprises; or (iv) individuals who are (or have been in the last two years) a director of a company with an annual turnover of at least GBP1 million. This exemption is only available if the Fund in question invests wholly or predominantly in shares or debentures of unlisted companies. In our view, as well as traditional private equity/debt funds, this would cover a Fund which invested in real estate through one or more holding companies. It would, however, exclude Funds investing predominantly in, for example, listed securities/derivatives. There is an additional requirement that the recipient must have no contingent liability so that the maximum he may lose is the amount he invests. In order for communication to be made in reliance on the Self-Certified Sophisticated Investor Exemption, the following requirements must be complied with (note that certain of these requirements only apply with respect to Authorised Persons but we have included for reference only): (i) Each individual to whom the communication will be made must have signed a statement within 12 months ending on the date that the communication is made, certifying that it is

	a certified sophisticated investor. The relevant statement is found in Part II of Schedule 5 of the FPO and Part II of the Schedule of the CIS Exemptions Order (as applicable). This statement generally requires the individual to confirm that it falls into one of the categories of investor to whom the exemption relates. (ii) The person making the communication must believe, on reasonable grounds, that each individual to whom the communication is made is a self-certified sophisticated investor. Before marketing any unauthorised Funds, OFIs that are Authorised Persons must take reasonable steps to determine that the individual to whom the communication is made is a self-certified sophisticated investor and conduct a preliminary assessment of suitability based on a preliminary assessment of the individual's profile and objectives. (iii) The financial promotion must be accompanied by a specific warning (please see section 8.1 below for more detail). There are additional prescribed warnings and risk summaries that must be provided by OFIs that are Authorised Persons (please see section 8.1 below for more detail). (iv) The financial promotion must be accompanied by a specific indication (please see section 8.1 below for more detail). (v) In addition, when a self-certified sophisticated investor requests to view the financial promotion (i.e. requests to be able to invest), OFIs that are Authorised Persons must provide a specific personalised risk warning to the investor (please see section 8.1 below for more detail). (vi) For a first-time investor with an OFI that is an Authorised Person, there must be a 24-hour cooling off period, starting from when the investor requests to view the financial promotion (i.e. requests to be able to invest), that must elapse before the investor is able to invest in the Fund. The following things can still occur during that 24-hour cooling off period: (a) commencing “on-boarding” (AML/KYC) checks on the investor; (b) showing the investor the personalised risk warning referred to in limb (v) above; (c) obtaining the statement certifying the investor’s sophisticated investor status under limb (i) above; and (d) assessing the appropriateness of the investment for the investor, as referred to in limb (ii) above. Following the 24-hour cooling off period, the investor must be offered the opportunity to specify whether they wish to leave the investment journey or continue to receive the financial promotion.
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	The requirements relating to the marketing of high-risk investments to retail investors in the UK are highly complex. OFIs who are seeking to market high-risk investments to retail investors may wish to seek legal advice.
	<i>Approval by Authorised Person Exclusion</i> In relation to financial promotions by <u>unauthorised persons</u>, it is possible for the unauthorised person to have the financial promotion approved by an Authorised Person with permission from the FCA to approve third-party financial promotions (an Authorised Financial Promotion Approver) or by an Authorised Person within such unauthorised person's own corporate group (without separate FCA approval required), in which case the Financial Promotion Restriction will not apply (the Approval by Authorised Financial Promotion Approver Exclusion). See also the FCA webpage on approving financial promotions and webpage on applying to approve financial promotions for unauthorised persons. However, it should be noted that this exclusion applies to non-real time communications only. Further, pursuant to s.240 FSMA, an Authorised Financial Promotion Approver cannot approve a communication for an unauthorised person if the Authorised Financial Promotion Approver would be prohibited by s.238 (the CIS Promotion Restriction) from making the financial promotion itself. It should also be noted that the provisions of COBS are relevant to financial promotions made by unauthorised persons if an Authorised Financial Promotion Approver will approve the financial promotion. The Authorised Financial Promotion Approver must ensure the financial promotion meets the contents requirements in COBS 4 (such as COBS 4.9 and COBS 4.12B (including the restrictions relating to marketing NMPs)). This is a bigger issue when the communication is made to a HNW individual or sophisticated investor as compared to an investment professional since the content requirements in respect of non-investment professionals are considerably more onerous than for investment professionals. An Authorised Financial Promotion Approver is subject to certain requirements in relation to the financial promotions they approve (e.g. an ongoing monitoring requirement). Communications to a retail investor approved by an Authorised Financial Promotion Approver must identify the authorised firm approving the promotion as well as the date of the approval. Approvers of communications are also required to self-assess whether they have the necessary competence and expertise in the relevant product or service before approving the communication and must engage in ongoing monitoring to check ongoing compliance with the financial promotion regime.

	<i>COBS 4.12B Exemptions</i> In relation to financial promotions by Authorised Persons, some additional exemptions are contained in COBS 4.12B.7R. These exemptions were made by the FCA under section 238(5) of FSMA. Of these exemptions, the exemption for “Non-retail clients” in COBS 4.12B.7R is particularly important since this confirms that an Authorised Person can market a Fund to an “eligible counterparty” or a “professional client”. While it is usually possible for an Authorised Person to use the exemptions under the CIS Exemptions Order in respect of Investment Professionals and High Net Worth Entities in order to market to an investor who falls within either the FCA handbook definitions of “eligible counterparty” or “professional client”, this exemption is useful since it confirms the position that Authorised Persons may market a Fund to investors who fall within those client categorisations. <i>Other Exemptions</i> Each of the FPO, CIS Exemptions Order and COBS 4.12B contain other exemptions beyond those set out in this section 7.1(a). What we have set out here are the exemptions which are generally the most widely used. Please also see the discussion on the One-Off Communication Exemption in section 5(a)(v). There may be other exemptions that you may be able to use if none of these exemptions are applicable to your circumstances and we suggest that in this situation you speak to local counsel for clarification. Please also see section 3(d) for a discussion of the new BFSA, for Swiss firms looking to access the UK market.
	E. Conclusion From the above analysis, it is clear that there are a set of exemptions which enable an OFI (whether the OFI is an Authorised Person or not) to offer/place interests in a Fund to/with an investment professional/High Net Worth Entity or a HNW individual/sophisticated investor in the UK (although certain exemptions have quite a narrow scope). The analysis is not impacted by the fact that the particular Fund is Open-Ended or Closed-Ended (with the exception of certain issues arising from the POATRs, which are discussed further in section 9 below). However, an unauthorised OFI should also be mindful of the General Prohibition when selling interests in Funds and also when conducting marketing activities which amount to regulated

	activities (such as Arranging or Investment Advice) (see further section 8.10)) and consider whether an exemption or exclusion is available (see sections 8.8 and 8.9 for further detail).
(i) the impact (if any) of the marketing/sale being undertaken in respect of an Open-Ended or a Closed-Ended Fund. Where the rules of the private placement regime distinguish between Open-Ended or Closed-Ended Funds, please outline how the rules of your jurisdiction define an Open-Ended or a Closed-Ended Fund.	The analysis is not impacted by the fact that the particular Fund is Open-Ended or Closed-Ended, with the exception of: (i) Funds in the form of a body corporate other than an open-ended investment company (which are exempt from the CIS Promotion Restriction) and (ii) certain issues arising from the POATRs (where applicable) which are discussed further in section 9 below.
(ii) the impact (if any) of the marketing/sale being undertaken in respect of a Fund regulated in a specific country other than your jurisdiction e.g. 1940 Act Fund, UCITS Fund.	No impact. The key issue is whether the marketing/selling can be conducted pursuant to an exemption from the Financial Promotion Restriction or the CIS Promotion Restriction (as applicable) and the General Prohibition.
(iii) available exemptions which permit marketing/sale of Funds to investors (e.g. based on type of investor, minimum investment amount, small number of investors, existing customer, tolerated practice, etc). If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please include a discussion of any exemptions available to individual investors on the basis that they are high net worth/sophisticated . Please comment on both formal “ black-letter law ” exemptions and accepted practice .	See exemptions set out in section 7.1(a) above.
(iv) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining how the private placement regime applies (e.g. the investor is incorporated, domiciled, has employees in your jurisdiction).	As discussed in section 7.1(a) above, the Financial Promotion Restriction applies to communications made in the UK or to communications made outside the UK if they are “capable

	of having an effect in the UK”. The same test also applies in the context of the CIS Promotion Restriction. This means that to be caught by the relevant restriction such communications are addressed to persons located in the UK. Therefore, to the extent that an investor is in the UK, whether permanently or temporarily this will be sufficient to satisfy this element of the restrictions.
(v) any sensitivities depending on whether the investor is a potential or an existing client.	It should also be noted that potentially the most useful exemptions (e.g. the Investment Professionals Exemption, the High Net Worth Entities Exemption and the Approval by Authorised Financial Promotion Approver Exclusion) do not hinge on the fact that the investor is a potential or existing client. However, the workings of some of the other exemptions do hinge on this distinction (e.g. Article 31 FPO and Article 32 FPO/Article 10 CIS Exemptions Order and certain exemptions in COBS 4.12B.7R which apply to clients of an Authorised Person). Please also note the requirements for cooling-off periods when marketing to first-time certificated HNWI's and self-certified sophisticated investors with an OFI that is an Authorised Person under COBS 4.12B.
(b) Are there registration/notification/approval/licensing requirements which apply in respect of a Fund before it can be marketed/sold to investors in your jurisdiction? Please outline what activity will trigger such requirements (cross-referring, if necessary, to section 8.7 which specifically covers the definition of “Marketing Requiring Notification”) and the practical steps required to fulfil any such requirements (including links to relevant forms/information on the relevant regulator’s website).	Note that, at the end of the Implementation Period, under the AIFM Regs, EEA UCITS Funds ceased to be a UCITS Fund from a UK perspective and instead constitute third country AIFs under UK law from that point, albeit that if the EEA UCITS applies for and is given “recognised scheme” status under the OFR (as described further above) or becomes authorised under section 272 (as described below), it can be promoted in the same way as an authorised collective investment scheme established in the UK (including a UK UCITS). To use the UK’s private placement regime to conduct Marketing Requiring Notification (see section 8.7 for a discussion on Marketing Requiring Notification and Pre-Marketing), either an approval or a notification is required as follows: (i) OFI marketing AIF managed by a UK AIFM The UK AIFM must have received approval from the FCA before Marketing Requiring Notification can take place in respect of AIFs managed by such UK AIFM. (ii) Marketing in respect of an AIF with a non-UK AIFM Non-UK AIFMs must make a notification to the FCA before conducting any activity that amounts to “Marketing Requiring Notification”. Please see section 8.7 for a discussion of what constitutes “Marketing Requiring Notification”. The notification requires confirmation from the AIFM that

	the management of the AIF complies with the relevant conditions of the AIFM Regs. These relate primarily to: • reporting; • disclosure; • appropriate cooperation agreements being in place between the FCA and the competent authorities of the Fund/AIFM; and • that the country where the Fund/AIFM is established is not listed as a Non-Cooperative Country and Territory by the Financial Action Task Force. Please see the following section of the FCA Handbook for further information: Fund 10.5. Notes are provided on the website to help firms complete the forms. There are also instructions on how they should be submitted. NPPR notification forms must be completed and submitted on the FCA's online Connect platform (see https://www.fca.org.uk/firms/nppr). The above link also includes a set of FAQs prepared by the FCA. Among other things, these FAQs confirm that a firm will be entitled to conduct Marketing Requiring Notification pursuant to the PPRs from the point at which the AIFM submits the notification. Detail regarding the applicable fees which apply in respect of a notification is posted on the FCA's website at the following location: https://www.fca.org.uk/firms/aifmd/fees. As at the date of this Memorandum, the fees for making an application to market via the UK's private placement regime are GBP280 per AIF for both small AIFMs and full AIFMs. Further details of application fees for marketing via the UK's private placement regime are published in the FCA Handbook (see FEES 3.2.7 R and FEES 3 Annex 2 R). Note that periodic fees are also applicable and again these range from GBP284 to GBP407 per AIF (and further details can be found in the FCA Handbook (see FEES 4.2.11 and FEES 4 Annex 4 R)).
(i) Please outline any applicable time periods (e.g. the amount of time between the submission of an application and the issuance of an approval).	Please see 7.1(b) above.
(ii) Are any fees payable, whether related to the:	Please see 7.1(b) above.

(A) initial notification/registration; or (B) on an ongoing basis?	
(iii) Please could you provide a link to the local regulator's website (even if in the local language only) where information and/or notification/approval forms are set out for marketing a Fund via the private placement regime.	Please see 7.1(b) above.
(iv) Is there a requirement as to the language the Fund documentation needs to be in when marketing/selling pursuant to the private placement regime and are there any particular requirements that apply in connection to such documents?	There are no specific requirements in regulations or in the Handbook. We note that if the offer is subject to the POATRs requirements (which are discussed further in section 9 below) then any prospectus must be in English or a language customary in the sphere of international finance. We note also the overriding principle that communications should be fair, clear and not misleading. The NPPR application, and the information within it, should be in English.
(c) Are there registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling a Fund in your jurisdiction? Please outline the practical steps required to fulfil any such requirements in particular:	As described in section 7.1(a) above, financial promotions in respect of Funds may be made to investors where an exemption to the Financial Promotion Restriction or the CIS Promotion Restriction (as applicable) is available, and there are exemptions which are available to OFIs that are authorised in the UK and those which are unauthorised. It should be noted, however, that selling of interests of a Fund and the conduct of certain activities in respect of the marketing of a Fund in the UK, such as the activity of Arranging or the provision of Investment Advice, may trigger the General Prohibition in respect of the OFI conducting such activity. The OFI should check whether it might be able to conduct these activities on the basis of an available exemption from the General Prohibition (such as e.g. the Overseas Persons Exclusion). Please see sections 8.8 and 8.9 below for more information.
(i) please could you provide a link to relevant forms/information on the relevant regulator's website (even if in the local language only); and	Not applicable.
(ii) are there any possible exemptions from such requirements?	See response to 7.1(c) above. There are routes for both authorised and unauthorised OFIs to market Funds in the UK. However, where the OFI undertakes regulated activities such as the provision of Investment Advice or Arranging in connection with the marketing/selling then it will

	need to check whether it is authorised to do so or falls within an exemption to the General Prohibition (such as e.g. the Overseas Persons Exclusion). See sections 8.8 and 8.9 below for more information.
(d) (i) Is it: (A) necessary ; or (B) permitted to use a local intermediary in order to market/sell interests in a Fund to an investor in your jurisdiction and, if so, on what basis? Please consider the position in relation to:	It is not necessary but permitted to avail of the private placement regime. Depending on the facts, may be needed to comply with the General Prohibition.
(A) a licensed third party intermediary;	Yes, it would be possible provided the intermediary has the necessary authorisation. Licensed intermediaries will still however need to comply with the CIS Promotion Restriction – please see section 7.1(a) above for further information. It should be relatively simple to avoid undertaking marketing communications which amount to Marketing Requiring Notification (i.e. if one considers the guidance set out in PERG 8.37.6G).
(B) an unlicensed local third party intermediary; or	Depending on the circumstances, it might be possible to use an unlicensed third-party intermediary provided it conducts its activities such that it complies with the Financial Promotion Restriction and the General Prohibition. Specifically as regards capital introduction events, prime brokers and other "introducers" who organise a capital introduction/general marketing event in the UK should take care to emphasise – including through the use of express "health warnings" in any written materials that are circulated (whether generally or at a particular event) – that the event is simply for networking or educational purposes rather than to make formal introductions. This is due to the concern that although not itself a regulated activity, introducing can be caught by Article 25 (Arranging deals in investments) of the RAO. In particular, Article 25(2) of the RAO is wide and uncertain in its scope and, potentially, captures all sorts of introductory-type activities. It is therefore important to distinguish between simply making an introduction on one hand and making arrangements following such an introduction on the other. Although PERG does not elaborate on where the line should be, our view is that in the latter case, the introducer will need to be authorised or otherwise exempt if it is doing more than, for example, merely introducing a prospective investor to a UK AIFM (e.g. assisting with the completion of the relevant AIF's subscription materials).

	Introducers and their appointees should also consider the appointed representatives regime set out in SUP 12 of the FCA Handbook. A detailed discussion of this regime is beyond the scope of this Memorandum. In brief, however, the FCA defines an introducer as an individual appointed by a firm or an appointed representative (AR) of such a firm to effect introductions and/or distribute non-real time financial promotions (e.g. paper leaflets, marketing brochures). Please see SUP 12.2.13(2) which also states that an introducer is not an exempt person under section 39 of FSMA unless he is also an introducer appointed representative (IAR). To permit an introducer to undertake certain regulated activities, a regulated firm may appoint the introducer as: (i) an AR, or (ii) an IAR (which is a type of AR) if the scope of appointment is limited to: (A) effecting introductions to the firm or other members of the firm's group, and (B) distributing non-real time financial promotions that relate to products or services available from or through the firm or other members of the firm's group. It should be noted that SUP 12.2.7G (1)(c) makes it clear that an AR will be exempt under section 39 of FSMA when performing any Article 25(2) RAO activities. A firm which appoints an AR is subject to range of obligations in respect of that AR including in relation to oversight and reporting. In July 2023 the FCA published two webpages in relation to the Appointed Representative regime. The first sets out information for firms operating as “regulatory hosts,” i.e., carrying on little or no regulated activity and instead overseeing the use of its permissions by Appointed Representatives. The second provides detail about the data that principal firms must report to the FCA about their Appointed Representatives. With regards to "reverse-enquiry" (a detailed explanation of which is set out in section 5 above), our view is that there should be enough of a paper trail to demonstrate that passive marketing has truly occurred. The FCA has also made it clear that it will take into account any evidence suggesting that marketing activities have been undertaken as this might point to circumvention of the requirements of the AIFM Regs. With true "reverse-enquiry", there should be a request from the investor that leads to specific marketing about a product that the investor has, absent any prior marketing or other prompting from the AIFM/introducer, decided to make an enquiry about. Accordingly, it would be difficult to argue that a capital introduction event which was specifically organised to facilitate the introduction of AIFMs and prospective investors to one another should be characterised as "reverse-enquiry".
(C) a branch, representative office or other form of regulated place of business of the OFI in your jurisdiction.	Depending on the circumstances, it might be possible to use a branch, representative office or other form of regulated place of business of the OFI in the UK provided it conducts its activities

	such that it complies with the Financial Promotion Restriction (or the CIS Promotion Restriction, as applicable) and the General Prohibition. It should be noted however that whether the Overseas Persons Exclusion from the General Prohibition can be relied upon (or whether certain regulated activities take place outside the UK and therefore not caught by the General Prohibition) depends on the OFI not having/ acting from a permanent place of business in the UK.
(ii) Where the key entity marketing/selling the Fund in your jurisdiction is in compliance with local licensing requirements, is it permitted for the sub-advisor/manager of the Fund to participate in the marketing activities (e.g. via Fly-In Meeting, telephone call, email) without itself being licensed in your jurisdiction? For example, can the sub-advisor/manager participate in the marketing/selling activities where the locally licensed entity acts as its chaperone?	The FCA does not recognise a “chaperone” concept in the UK. Ultimately, the sub-advisor/manager can participate in these activities in respect of UK investors if: (i) it is not undertaking any financial promotion activities itself (e.g. is in attendance but not actively participating); (ii) its financial promotion activities fall within one of the exemptions/exclusions to the Financial Promotion Restriction (or, if the sub-advisor/manager is an Authorised Person, the CIS Promotion Restriction, if applicable); and (iii) it complies with the General Prohibition (unless the sub-advisor/manager is an Authorised Person).
General	
(e) Are there any other requirements (including any ongoing requirements) in order to comply with the rules/guidance applicable to the private placement regime in your jurisdiction for Funds not dealt with elsewhere in this Part B Memorandum? For example are there any particular requirements that apply to a special category of investor in your jurisdiction which an OFI should bear in mind before marketing to such investors (i.e. based upon an investor being an insurance company, a sovereign wealth fund, an endowment, a foundation or a pension fund). Please do not refer to requirements applicable to retail investors which are dealt with in section 6 of this Memorandum.	Yes. In considering ongoing requirements, it is useful to distinguish between the situation where an OFI is marketing an AIF managed by a UK AIFM and where marketing is being conducted in respect of an AIF with a non-UK AIFM. (i) OFI marketing AIF managed by a UK AIFM The UK AIFM will be subject to a number of on-going requirements. For example pursuant to SUP 15 Annex 6CR of the FCA Handbook there is a requirement for a notification of major changes. For the purpose of this form, a change is deemed as material if there is a substantial likelihood that a reasonable investor, becoming aware of such information, would reconsider its investment in the AIF.

	(ii) Marketing in respect of an AIF with a non-UK AIFM Pursuant to Article 61 of the AIFMD Regs, if there is a material change to the information provided in a notification to market via the private placement regime, then the AIFM must give written notice to the FCA as follows: (a) in the case of a change planned by the AIFM (“planned change”), at least one month before implementing the change; or (b) in other cases, immediately after an unplanned change has occurred.
(f) Would your answer to question 7.1 differ if interests in the Fund being marketed/sold constituted the re-sale of existing interests (i.e. a secondary offering) rather than the offering/placement of a new issue?	In respect of AIFs, PERG 8.37.5 G(3) confirms that an “offering” or “placement” does not include secondary trading in the units or shares of an AIF, because this does not relate to the capital raising in the AIF, except in the situation where there is an indirect offering or placement (see PERG 8.37.7 G). Hence secondary trading of interests in an AIF may not trigger the requirements arising from the AIFM Regs. However, such marketing/sales via secondary trading must still comply with the Financial Promotion Restriction (or the CIS Promotion Restriction, as applicable) and the General Prohibition, as well as any requirements under the POATRs, (where applicable). See section 7.1(a) and section 9.
(g) Please outline the position as regards a Small AIFM (i.e. an AIFM managing AIFs below the threshold in Article 3 of AIFMD as amended by the AIFM Regs) wishing to market a Fund into your jurisdiction. If appropriate please cross-refer to your answers above.	In respect of a Small AIFM (being an EEA AIFM or Non-EEA AIFM) wishing to market an AIF (whether an EEA AIF or a non-EEA AIF), pursuant to regulation 58 of the AIFM Regs, the Small AIFM must make a prior notification to the FCA. The notification must include a statement confirming that the following conditions are met: (a) the AIFM is the person responsible for complying with the implementing provisions (i.e. the AIFM Regs and any other subsequent regulations made to amend the AIFM Regs or any requirement under FSMA that implements the AIFMD) relating to the marketing of the AIF; and (b) the AIFM is a small third country AIFM. Please see the following link on the FCA’s website for the relevant notification process: https://www.fca.org.uk/firms/nppr Notes are provided on the website to help firms complete the forms. There are also instructions on how they should be submitted and what fees are payable for such a notification and on an

			ongoing basis. The notification must be made via the FCA's online system, Connect, through which the Small AIFM must register to obtain access. In addition, the Small AIFM must provide the FCA with such information as the FCA directs on: (a) the main instruments in which the AIFM trades; and (b) the principal exposures and most important concentrations of the AIFs that it manages, in order to enable the FCA to monitor systemic risk effectively (reg 58(3) AIFM Regs). If the above conditions are complied with, the Small AIFM may market provided it does so in accordance with the financial promotion regime (see section 7.1(a)). See also the requirement in 7.1(i) for notification of a material change of information provided in a notification which applies to the notification made by a Small AIFM. Effectively this amounts to the Small AIFM providing reporting (via Connect) on the basis of pro-forma Annex IV templates on an annual basis (Art 5 AIFM Regs).			
7.2 Sensitivities based on Structure and/or Investment Strategy (Funds)						
What we are seeking to draw out in this section is whether there are any particular requirements or restrictions that only apply to certain sorts of Fund when they are marketed or sold in your jurisdiction. You may have already dealt with these issues elsewhere in the Memorandum in which case please include a cross-reference to the applicable response.						
(a) Are there particular requirements or restrictions which apply where an OFI wishes to market/sell a Fund in your jurisdiction where such Fund is structured as: Please indicate your response by answering Yes/No for each type of Fund structure.						
OPEN-ENDED FUND (AIFs or TMPR UCITS Fund)				CLOSED-ENDED FUND (AIFs only)		
	Yes/No	If the answer is "Yes", please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.			Yes/No	If the answer is "Yes", please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.

corporate (unlisted)	No			corporate (unlisted)	Yes	Such Funds are likely to be outside the CIS Promotion Restriction but subject to the Financial Promotion Restriction and POATRs.
corporate (listed on an exchange including an ETF)	Yes	Such Funds are likely to be outside the CIS Promotion Restriction but subject to the Financial Promotion Restriction and possibly POATRs.		corporate (listed on an exchange including an ETF)	Yes	Such Funds are likely to be outside the CIS Promotion Restriction but subject the Financial Promotion Restriction and possibly POATRs.
limited partnership	No			limited partnership	No	
contractual	No			contractual	No	
trust	No			trust	No	
sub-fund of umbrella	Yes	It will be necessary to determine whether each separate sub-fund will be treated as an AIF. The FCA has stated in its guidance in PERG 16 that in its view a sub-fund should not be treated as a separate AIF. Rather, the umbrella fund is the AIF for AIFM Regs purposes. The FCA has caveated that its view only relates to umbrellas as defined in the glossary of the FCA Handbook where investors in one sub-fund are entitled to exchange rights in such sub-fund for rights in another sub-fund. Implicit in this is that certain umbrella funds could be set up in such a way that each sub-fund might be an AIF. See PERG 16 at Q2.61 to Q2.65. For TMPR Funds - see section 4.1(e). The position for adding new sub-funds differs between UCITS and AIFs. For OFR funds, see section 6.2(d).		sub-fund of umbrella	Yes	It will be necessary to determine whether each separate sub-fund will be treated as an AIF. The FCA has stated in its guidance in PERG 16 that in its view a sub-fund should not be treated as a separate AIF. Rather, the umbrella fund is the AIF for AIFM Regs purposes. The FCA has caveated that its view only relates to umbrellas as defined in the glossary of the FCA Handbook where investors in one sub-fund are entitled to exchange rights in such sub-fund for rights in another sub-fund. Implicit in this is that certain umbrella funds could be set up in such a way that each sub-fund might be an AIF. See PERG 16 at Q2.61 to Q2.65. For TMPR Funds - see section 4.1(e). The position for adding new sub-funds differs between UCITS and AIFs.

master/feeder	Yes	See https://www.fca.org.uk/firms/aifmd/updates for details of the transparency reporting requirements including where there is a master/feeder.		master/feeder	Yes	See https://www.fca.org.uk/firms/aifmd/updates for details of the transparency reporting requirements including where there is a master/feeder.
Fund whose interests/units/shares are tokenised	Yes	The FCA has not identified any obvious or significant barriers to fund tokenisation in the FCA rules, but the FCA has made it clear it continues to review tokenisation to address risks and potential harms to the integrity of the market and to consumers (see https://www.fca.org.uk/firms/cryptoassets-our-work/fund-tokenisation#:~:text=There%20is%20no%20formal%20definition,automated%20and%20cryptographically%20secure%20database). The FCA has recommended that firms that wish to tokenise an existing fund or launch a new tokenised fund contact them at amfpolicy@fca.org.uk before seeking any authorisation/approval. Whilst this does not strictly apply to OFIs, where making a notification to market a Fund under the NPPR, or applying for authorisation under section 272 or the OFR, it would be advisable to contact the FCA to ensure that there will be no additional barriers to marketing in the UK. The FCA is likely to be particularly focused on tokenisation of Funds being marketed to the public in the UK. Note that in October 2025, the FCA consulted on progressing fund tokenisation. The consultation paper sets out proposals to support the adoption of tokenisation across the UK asset management industry. The measures are directed at managers and depositaries of authorised funds, with several proposals likely to be of broader interest to fund and asset managers including those running non-authorised funds. While the consultation is		Fund whose interests/units/shares are tokenised	Yes	The FCA has not identified any obvious or significant barriers to fund tokenisation in the FCA rules, but the FCA has made it clear it continues to review tokenisation to address risks and potential harms to the integrity of the market and to consumers (see https://www.fca.org.uk/firms/cryptoassets-our-work/fund-tokenisation#:~:text=There%20is%20no%20formal%20definition,automated%20and%20cryptographically%20secure%20database). The FCA has recommended that firms that wish to tokenise an existing fund or launch a new tokenised fund contact them at amfpolicy@fca.org.uk before seeking any authorisation/approval. Whilst this does not strictly apply to OFIs, where making a notification to market a Fund under the NPPR, it would be advisable to contact the FCA to ensure that there will be no additional barriers to marketing in the UK. The FCA is likely to be particularly focused on tokenisation of Funds being marketed to the public in the UK. Note that in October 2025, the FCA consulted on progressing fund tokenisation. The consultation paper sets out proposals to support the adoption of tokenisation across the UK asset management industry. The measures are directed at managers and depositaries of authorised funds, with several proposals likely to be of broader interest to fund and asset managers including those running non-authorised funds. While the consultation is

		UK-fund focused, it indicates the FCA thinking on fund tokenisation.
other	No	

		UK-fund focused, it indicates the FCA thinking on fund tokenisation.
other	No	

(b) Are there particular additional **requirements or restrictions** which apply where an OFI wishes to market/sell a Fund in your jurisdiction where such Fund's **investment strategy** is listed below, or involves investments in those types listed below.

Please indicate your response by answering Yes/No for each type of fund investment or strategy.

OPEN-ENDED FUND			CLOSED-ENDED FUND		
	Yes/No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.		Yes/No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
hedge fund strategy	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption do not apply to this strategy/investment.	hedge fund strategy	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption do not apply to this strategy/investment.
private equity investments	Yes	Additional reporting requirements may apply where non-listed companies or issuers are involved.	private equity investments	Yes	Additional reporting requirements may apply where non-listed companies or issuers are involved.
real estate investments	No		real estate investments	No	
infrastructure investments	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy/investment, depending on the particular structure.	infrastructure investments	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy/investment, depending on the particular structure.
debt or equity instruments	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy/investment.	debt or equity instruments	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy/investment.
derivative investments	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption do not apply to this strategy/investment.	derivative investments	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption do not apply to this strategy/investment.

fund of funds strategy	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption do not apply to this strategy/investment.		fund of funds strategy	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption do not apply to this strategy/investment.
environmental , social and governance (ESG) strategy	Yes	See section 3(d) with respect to requirements relating to ESG-disclosures for overseas Funds.		environmental, social and governance (ESG) strategy	Yes	See section 3(d) with respect to requirements relating to ESG-disclosures for overseas Funds.
crypto-asset strategy	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy/investment, depending on the particular structure.		crypto-asset strategy	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy/investment, depending on the particular structure.
Sharia compliant strategy	No			Sharia compliant strategy	No	
private credit/non-bank lending strategy	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy/investment, depending on the particular structure.		private credit/non-bank lending strategy	Yes	See section 7.1(a) above. HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy/investment, depending on the particular structure.
other	No			other	No	

7.3 Private Placement Regime (Investment Management & Advisory Services)	
(a) Is it possible for an OFI to actively <u>market/provide</u> Investment Management & Advisory Services to investors in your jurisdiction and, if so, on what basis? Please note that the provision of the Investment Management & Advisory Services of Investment Advice and Arranging are specifically dealt with separately in sections 8.8 and 8.9. It is therefore not necessary to repeat this information here. In preparing your answers please <u>ensure that your analysis covers the following</u> (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	A. Introduction: Marketing of Investment Management & Advisory Services The Financial Promotion Restriction effectively constitutes a private placement regime in respect of the marketing by an <u>unauthorised</u> person of Investment Management & Advisory Services to investors in the UK. We will deal with the position that applies to unauthorised persons before going on to consider marketing of Investment Management & Advisory Services by Authorised Persons. B. Marketing restrictions applicable to an unauthorised OFI and relevant exemptions In Part B of our response to section 7.1(a), we described the Financial Promotion Restriction. In particular, we discussed how a communication must be an invitation or inducement to “engage in investment activity” for the Financial Promotion Restriction to apply. “Engage in investment activity” is defined in section 21(8) of FSMA as: “(i) entering or offering to enter into an agreement the performance of which by either party constitutes a <i>controlled activity</i>; or (ii) exercising any rights conferred by a <i>controlled investment</i> to acquire, dispose of, underwrite or convert a <i>controlled investment</i>”. Controlled activities and <i>controlled investments</i> are defined in Schedule 1 of the FPO (Parts I and II respectively). “Arranging deals in investments”, “Managing Investments” and “Advising on Investments” are controlled activities under Schedule 1 Part I (4), (5) and (7) respectively of the FPO and therefore financial promotions relating to offering these activities will be caught by the Financial Promotion Restriction. The exemptions contained in the FPO which were discussed in Parts D and E of section 7.1(a) are therefore equally applicable to the promotion of Investment Management & Advisory Services by an unauthorised OFI (e.g. the Investment Professionals Exemption and the High Net Worth Entities Exemption). Unauthorised OFIs could also consider using the Approval by Authorised Financial Promotion Approver Exclusion. Please refer to a discussion of this exclusion in section 7.1(a) including the requirements deriving from COBS 4 which will apply to the authorised entity which is being asked to approve the communication. The HNWI Exemption and the Self-Certified Sophisticated Investor Exemption may not be available to the marketing of Investment Management & Advisory Services since these exemptions only apply to promotions relating to certain types of investment and therefore may not apply to promotions relating to all types of Investment Management & Advisory Services.

The exemptions will only be available if the IMAS relates wholly or predominantly to shares or debentures of unlisted companies (and derivatives and collective investment schemes with such underlying).

C. Marketing restrictions applicable to an authorised OFI

Where the Investment Management & Advisory Services relate to an NMPI, Authorised OFIs will need to consider the restriction on marketing to certain types of retail investors discussed in section 7.1(a) above. See also section 7.5 with respect to marketing of RMMIs by Authorised Persons.

D. Provision of Investment Management & Advisory Services

We have discussed the provision of Investment Advice and Arranging services in sections 8.8 and 8.9 below respectively.

Regarding the provision of other Investment Management & Advisory Services such as Portfolio Management and Execution of Orders on Behalf of Clients, we note that the activities of “managing investments” and “dealing in investments as agent” are regulated activities as set out in the RAO which are caught by the General Prohibition (Articles 37 and 21 of the RAO, respectively). Only regulated activities carried on in the UK fall within the territorial scope of FSMA. Therefore, to the extent that the Portfolio Management or Execution of Orders on Behalf of Clients take place outside the UK, the General Prohibition will not apply. We note that certain actions, may, however, bring the provision of a regulated activity within the UK and UK guidance on this point is not always clear. The exact facts and pattern of conduct have to be assessed on a case-by-case basis.

Note that section 418 of FSMA (which specifies the conditions under which a firm is considered to be carrying on a regulated activity in the UK) was amended by the AIFM Order. The AIFM Order clarifies that where an AIFM manages a UK AIF or markets an AIF in the UK, and carries on that activity from outside the UK, the activity will be considered to be carried on and regulated in the UK if the AIFM is registered in the UK.

To the extent that an OFI is carrying out Portfolio Management and/or Execution of Orders on Behalf of Clients in the UK (e.g. at a Fly-In Meeting), it will trigger the General Prohibition and the OFI will need to be authorised, exempt or rely on an exemption (if available). See section 8.8 below for a discussion of the Overseas Persons Exclusion. As noted in section 8.8 below, an OFI is very unlikely to be deemed an Exempt Person.

	In relation to “dealing in investments as agent”, there is an exemption under Article 72(2) of the RAO, where the OFI enters into a transaction as agent with (or through) an Authorised Person or an Exempt Person. Please also refer to section 3(d) for discussion of the BFSA for Swiss firms marketing/selling Investment Management & Advisory Services into the UK.
(i) available exemptions applicable to the marketing or provision of Investment Management & Advisory Services to investors (e.g. based on type of investor, minimum investment amount, small number of investors, existing customer, tolerated practice, etc.). If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please include discussion of any exemptions available to individual investors on the basis that they are high net worth/sophisticated. Please comment on both formal “black-letter law” exemptions and accepted practice.	See discussion in section 7.3(a) above.
(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining how the private placement regime applies (e.g. the investor is incorporated, domiciled, has employees in your jurisdiction).	See discussion in section 7.1(a)(iv) above.
(iii) any sensitivities depending on whether the investor is a potential or an existing client.	It should also be noted that the potentially most useful exemptions (e.g. the Investment Professionals Exemption, the High Net Worth Entities Exemption and the Approval by Authorised Financial Promotion Approver Exclusion) do not hinge on the fact that the investor is a potential or existing client. However, the workings of some of the other exemptions do hinge on this distinction (e.g. Article 31 FPO and Article 32 FPO).
(b) Are there registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/providing Investment Management & Advisory Services to investors in your jurisdiction?	Please refer to our answer to section 7.3(a) above.

Please outline the practical steps required to fulfil any such requirements (including links to relevant forms/information on the relevant regulator's website) plus any possible exemptions from such requirements.	
(c) (i) Is it: (A) necessary; or (B) permitted to use a local intermediary in order to market/provide Investment Management & Advisory Services to an investor in your jurisdiction and, if so, on what basis? Please consider the position in relation to:	No, it is not a requirement to use an intermediary. It would, however, be possible to appoint an intermediary provided the intermediary has the necessary authorisation or is able to conduct its activities in such a way that it complies with the Financial Promotion Restriction and the General Prohibition.
(A) a licensed third party intermediary;	See section 7.1(d)(i)
(B) an unlicensed local third party intermediary; or	See section 7.1(d)(ii)
(C) a branch, representative office or other form of regulated place of business of the OFI in your jurisdiction.	See section 7.1(d)(iii)
(ii) Where the key entity marketing/selling the IMAS in your jurisdiction is in compliance with local licensing requirements, is it permitted for a sub-advisor of an investment strategy e.g. sub-advisor of a Managed Account, to participate in the marketing activities (e.g. via Fly-In Meeting, telephone call, email) without itself being licensed in your jurisdiction? For example, can the sub-advisor/manager participate in the marketing/selling activities where the locally licensed entity acts as its chaperone?	The FCA does not recognise a “chaperone” concept in the UK. Ultimately, whether the sub-advisor/manager can participate in these activities in respect of UK investors if: (i) it is not undertaking any financial promotion activities itself (e.g. is in attendance but not actively participating); or (ii) its financial promotion activities fall within one of the exemptions to the Financial Promotion Restriction or the Approval by Authorised Financial Promotion Approver Exclusion (unless the sub-advisor/manager itself is an FCA/PRA-authorised entity); and (iii) it complies with the General Prohibition (unless the sub-advisor/manager is an Authorised Person).
(d) Is there a requirement as to the language the written marketing materials need to be in when marketing/providing Investment Management & Advisory Services pursuant to the routes described	There are no specific requirements in regulations or in the Handbook, but we note the overriding principle that communications should be fair, clear and not misleading.

in this section 7.3 and are there any particular requirements that apply in connection to such documents?		
(e) Are there any other requirements (including any ongoing requirements)?		No.
7.4 Sensitivities based on Investment Strategy (Investment Management & Advisory Services)		
What we are seeking to draw out in this section is whether there are any particular requirements or restrictions that only apply to certain sorts of Investment Strategy when Investment Management & Advisory Services are marketed or sold in your jurisdiction. You may have already dealt with these issues elsewhere in the Memorandum, in which case please include a cross-reference to the applicable response.		
(a) Are there particular additional requirements or restrictions which apply where an OFI wishes to market/provide Investment Management & Advisory Services using the private placement regime in your jurisdiction where the investment strategy is listed below, or involves investments in those types listed below: Please indicate your response by answering Yes/No for each type of investment or strategy.		
INVESTMENT MANAGEMENT & ADVISORY SERVICES		
	Yes /No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
hedge fund strategy	Yes	HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy.
private equity investments	No	
real estate investments	No	

infrastructure investments	Yes	HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy.
debt or equity instruments	Yes	HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy.
derivative investments	Yes	HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy.
fund of funds strategy	Yes	HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy.
environmental, social and governance (ESG) strategy	Yes	See section 3(d) with respect to requirements relating to ESG-disclosures for overseas Funds.
Sharia compliant strategy	No	
private credit/non-bank lending strategy	Yes	HNWI Exemption and Self-Certified Sophisticated Investor Exemption may not apply to this strategy.
other	No	

7.5 Investment Management & Advisory Services in respect of Single Investor Vehicles, Segregated Managed Accounts and Family Office Undertaking

This question focuses on investment structures and investment vehicles which may fall outside the definition of Fund.

(a) Please confirm whether the marketing or provision of the following investment structures/investment vehicles will be caught by the rules applicable to the marketing/provision of Investment Management & Advisory Services in your jurisdiction OR whether other domestic fund or marketing/offering restrictions will apply:

- (i) a Single Investor Vehicle, which makes investments into financial instruments or assets.
- (ii) a Segregated Managed Account, which makes investments into financial instruments or assets.
- (iii) a family office undertaking, which makes investments into financial instruments or assets and where capital is invested in the undertaking by members of a Pre-Existing Group⁹, for the investment of whose private wealth the undertaking has been exclusively established **(Family Office Undertaking)**.

If other restrictions or rules apply, please outline (briefly) the position under local law and outline the key exemptions (if any).

Unauthorised OFI

As discussed in section 7.3, the marketing of Investment Management & Advisory Services by an unauthorised OFI is caught by the Financial Promotion Restriction and is only possible where a relevant exemption is available or the Approval by Authorised Financial Promotion Approver Exclusion applies. In addition, provision of IMAS is only permitted: (i) where it takes place overseas (and therefore does not trigger the General Prohibition, although this will not apply to Investment Advice which is deemed given where it is received); (ii) where the Overseas Persons Exclusion is available to OFIs which have no permanent place of business in the UK; or (iii) where the services are being provided by an Exempt Person.

The Financial Promotion Restriction and the General Prohibition, and applicable exemptions and exclusions will be relevant where the Investment Management & Advisory Services are marketed/provided by an unauthorised OFI in respect of a Single Investor Vehicle, Segregated Managed Account or a Family Office Undertaking. However, note that we would not typically expect there to be any marketing of a Family Office Undertaking – marketing of investment products and services is typically done to a Family Office Undertaking.

Authorised OFIs

Authorised Persons are not caught by the Financial Promotion Restriction or the General Prohibition.

However, where Investment Management & Advisory Services involve a vehicle which falls within the definition of “collective investment scheme” set out in section 235 of FSMA, then marketing of such vehicles will be caught by the CIS Promotion Restriction.

We have discussed the CIS Promotion Restriction in section 7.1(a) since the definition of Fund largely overlaps with the definition of “collective investment scheme” and the marketing of a Fund is therefore generally caught by the CIS Promotion Restriction.

However, in certain instances the definition of “collective investment scheme” in section 235 of FSMA may be considered wider than the definition of Fund and may catch certain vehicles and structures that would not fall within the definition of Fund.

⁹ A group of family members, irrespective of the type of legal structure that may be put in place by them to invest in an undertaking and provided that the sole ultimate beneficiaries of such legal structure are family members, where the existence of the group pre-dates the establishment of the undertaking. This shall not prevent family members joining the group after the undertaking has been established. For the purpose of this definition, “family members” means the spouse of an individual, the person who is living with an individual in a committed intimate relationship, in a joint household and on a stable and continuous basis, the relatives in direct line, the siblings, uncles, aunts, first cousins and the dependants of an individual.

Hence a Single Investor Vehicle may fall within the definition of a “collective investment scheme” and therefore marketing of such Single Investor Vehicle may be caught by the CIS Promotion Restriction and will need to comply with one of the available exemptions. It is unlikely that a Segregated Managed Account or Family Office Undertaking could fall within the definition of collective investment scheme and be caught by the CIS Promotion Restriction.

Where Authorised Persons are marketing Investment Management & Advisory Services that involve a vehicle that might be considered an NMPI, they will also be required to comply with the restrictions on marketing NMPIs to certain types of retail investors discussed in section 7.1(a) above. Certain types of underlying asset classes (such as cryptocurrency) may also be restricted mass market instruments (**RMMIs**) and will only be marketable to retail investors if certain conditions are satisfied. In addition, when communicating any IMAS that may involve an NMPI or RMMI, such Authorised OFI must have regard to and comply with its obligations under COBS 9 or 9A (as applicable) and be mindful of the appropriateness requirements in COBS 10 and 10A.

Equally, some Single Investor Vehicles may be caught by the AIFM Regs as an AIF, in which case the requirements of the AIFM Regs will apply, including the requirement for a notification to the FCA. It is unlikely that a Segregated Managed Account or Family Office Undertaking would be caught by the AIFM Regs.

We advise that OFIs seeking to market Investment Management & Advisory Services in respect of a Single Investor Vehicle seek legal advice to clarify whether such structure falls within the definition of “collective investment scheme” in section 235 of FSMA and/ or is caught by the AIFM Regs as an AIF.

8. MARKETING ACTIVITIES

Questions	Answers
The purpose of sections 5, 6 and 7 of Part B of this Memorandum is to identify to whom Funds or Investment Management & Advisory Services can be marketed or sold in your jurisdiction. This section 8 addresses particular requirements which may apply depending on how such products or services are marketed or sold. This section 8 also includes some questions on specific scenarios that may be relevant to an OFI in relation to its cross-border activities.	
8.1 Written Materials	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through the distribution of written marketing materials (whether by email or by physical delivery of documents)?	Yes, provided that in relation to: (i) a Fund being marketed via the national private placement regime, the OFI complies with an exemption to the Financial Promotion Restriction (if the OFI is unauthorised) or an exemption to the CIS Promotion Restriction and the NMPI restriction (if the OFI is authorised) and makes the necessary notification to the FCA and, if being marketed to the public, the Fund is recognised under section 272 or the OFR; (ii) a TMPR Fund, the marketing is conducted in accordance with the TMPR; (iii) in relation to Investment Management & Advisory Services, the OFI complies with an exemption to the Financial Promotion Restriction (if the OFI is unauthorised). No restrictions will apply where the OFI is authorised to provide Investment Management & Advisory Services but there will be regulatory content requirements in respect of financial promotions – see (c) below. An OFI should also be mindful of the General Prohibition when conducting marketing activities which amount to regulated activities (such as Arranging or Investment Advice) (see further section 8.10)) and consider whether an exemption or exclusion is available (see sections 8.8 and 8.9 for further detail). An OFI that is marketing a Fund whose interests may be considered transferable securities should also be mindful of the POATRs, which impose a general prohibition on offers of transferable securities to the public, and consider whether an exemption or exclusion is available (see section 9 for further detail).
Please could you confirm whether your above response would apply to the following types of written marketing materials and, if	

applicable, note any particular considerations that would apply to that particular type of document:	
(i) offering memorandum (may also be referred to as the “private placement memorandum” or “information memorandum”);	Funds: Confirmed. See section 8.1(a) above. IMAS: Confirmed. See section 8.1(a) above.
(ii) marketing presentation (may also be referred to as the “pitch book” or “marketing deck”). Such presentations may include: • Investment strategy/philosophy/process • Biographies of key investment team members • Track record • Case studies of specific investments Operational infrastructure/list of service providers terms	Funds: Confirmed. See section 8.1(a) above. IMAS: Confirmed. See section 8.1(a) above.
(iii) tear sheet (may also be referred to as the “fact sheet” or “profile”) Such tear sheets may include: • A brief description of strategy • Summary statistics • Terms • Service providers For the purposes of this question please assume that the tear sheet includes the name of the Fund.	Funds: Confirmed. See section 8.1(a) above. IMAS: Confirmed. See section 8.1(a) above.
(b) Is it recommended or mandatory to include certain disclaimers/warnings in the written marketing materials? If so, please specify which type of written marketing materials will require such a disclaimer/warning, e.g. the offering document,	Yes: – certain indications/warnings/disclaimers should be included in financial promotions which are being made in accordance with an exemption. The precise wording of the applicable indication/warning/disclaimer will depend on the exemption being relied

presentations, pitch books, emails? Please provide recommended wording in Section A of each of Appendix 1, Appendix 2 and Appendix 3 of this Memorandum, along with an indication of whether such wording is mandatory or recommended. If applicable, please specify whether additional/alternative disclaimer language is required in respect of an AIF which falls within the scope of the UK public offering requirements.	upon. Please refer to Sections A and C (and, where applicable, Sections D and E) of Appendix 1, Appendix 2 and Appendix 3; and – if a financial promotion is made by an Authorised Person, there will be regulatory content requirements – see (c) below and Section A of Appendix 1. It should be noted that for TMPR Funds, the passport only applies to the activity of “Marketing Requiring Notification” (discussed in section 8.7 below) and that the dissemination of marketing materials which does not amount to Marketing Requiring Notification will nevertheless need to comply with the Financial Promotion Restriction or, as applicable, the CIS Promotion Restriction (as outlined in section 7.1 above). The disclaimer required when marketing Funds via the TMPR should therefore reflect this. Please see section D of Appendix 1 and 2.
(c) Are there rules regarding the form/content of written marketing materials (including as to how performance data should be portrayed)? Please also consider whether these rules distinguish between the type of investor that such materials will be presented to?	Yes. There are rules regarding the form/content of written materials. These rules distinguish between communications being made by unauthorised and Authorised Persons. Further, where such communications are made (or approved) by Authorised Persons, the rules distinguish between the types of investor that such materials will be presented to. Greater protection is afforded to those investors who are deemed to be less sophisticated. A. Content requirements applicable to communications made by an unauthorised OFI Any communication made to persons in the UK will be subject to certain general provisions as set out in FSMA and the common law regarding liability for mis-statements in communications or representations incorporated into contract (the General Standards). However, provided that care is taken to ensure that materials are not misleading, false or deceptive (either by way of the information that is included or omitted from such materials), an unauthorised person can make a communication in respect of a Fund or in respect of Investment Management & Advisory Services in accordance with an FPO exemption. B. Content requirements applicable to communications made by an authorised OFI (i.e. an FCA/PRA-authorized entity) Where an Authorised Person is able to make a communication, such communication will be subject: (i) to the General Standards; and (ii) to the prescribed content requirements in the COBS 4. These form/content requirements distinguish between communications being made to professional investors versus those made to retail investors. For communications to professional investors, the key requirement is that the communication is “fair, clear and not misleading”. The

	conduct of business requirements for communications to retail investors (which would include HNW individuals and sophisticated investors unless they have opted up to become professional investors) are considerably more onerous. The requirements relating to the marketing of high-risk investments to retail investors in the UK are highly complex. OFIs who are seeking to market high-risk investments to retail investors should seek specific legal advice. An overview of the risk warnings and risk summaries required for Authorised Persons when marketing high risk investments to HNW individuals and sophisticated investors is given for reference only in Appendices 1-4.
(d) Does the regulator of your jurisdiction require the OFI to retain a record of the recipients of distributed marketing materials?	There is no overriding rule that expressly requires this. However, we recommend this as good practice in order to be able to provide an audit trail of compliance with relevant regulations. It may also be advisable from a data privacy perspective. Note in addition that when a communication is directed at certain recipients, to avail itself of an exemption to the Financial Promotion Restriction, the communicator must have systems and processes in place to prevent access by other persons.
(e) Are there any other considerations that an OFI should bear in mind before disseminating written marketing materials in your jurisdiction?	As discussed in section 8.7, the FCA has provided guidance on the meaning of “Marketing Requiring Notification”. Hence, even where the marketing passport is available in respect of a particular TMPR Fund (during any applicable TMPR Period), the dissemination of written marketing materials which do not amount to Marketing Requiring Notification (e.g. draft documents) in respect of such Fund will nevertheless need to comply with the UK’s financial promotion rules (as outlined in section 7.1(a) above). The content of certain written materials could amount to Investment Advice (if they contain recommendations as to why an investor should invest in a particular Fund). Please see section 8.8 below. The dissemination of certain written materials could constitute Arranging (particularly subscription agreements and application forms or arranging for an investor to execute an IMA). Please see section 8.9 below.
8.2 Telephone	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through marketing by telephone?	Yes, see section 8.1(a) above.

(b) Do specific additional requirements or restrictions apply in respect of cold calling of such investors?	No, except that as stated in section 7.1(a) above, the HNWI Exemption (Article 48 FPO; Article 21 CIS Exemptions Order) does not apply to cold calling and therefore cold calling to HNWI individuals is not permitted. We would suggest that at the same time as obtaining the required certification from any individuals in relation to whom the HNWI Exemption will be relied on, the OFI also seeks confirmation in writing from such individuals that they would like the OFI to contact them orally in respect of the relevant investment opportunity.
(c) Is it recommended or required to make certain oral disclaimers/warnings during the course of the telephone call? If so, please describe the requirements that apply. Please also provide recommended wording in Section B of each of Appendix 1, Appendix 2 and Appendix 3 of this Memorandum.	Yes, an oral disclaimer may be required. The precise wording of the applicable disclaimer will depend on the exemption being relied upon. Please refer to Section B of Appendix 1, 2 and 3. It should be noted that for TMPR Funds, the passport only applies to the activity of “Marketing Requiring Notification” (discussed in section 8.7 below) and that the dissemination of marketing materials which does not amount to Marketing Requiring Notification will nevertheless need to comply with the UK’s financial promotion rules (as outlined in section 7.1 above). The oral disclaimer required when conducting financial promotion in respect of TMPR Funds should therefore reflect this. Please see section D of Appendix 1 and 2.
(d) Are there any other considerations that an OFI should bear in mind before conducting telephone calls with prospective investors in your jurisdiction? For example, is it mandatory that such telephone calls be recorded?	If the OFI is not an Authorised Person in respect of either Investment Advice or Arranging (as applicable): (i) it should be careful that no Investment Advice is provided during the telephone call unless it is possible to rely on the Overseas Persons Exclusion (discussed in section 8.8). (ii) it may conduct Arranging over the telephone, provided the call is being made from overseas. Unlike Investment Advice (which is deemed given where it is received), Arranging is deemed to be carried on in the jurisdiction where the arranger is located and therefore if it is provided by an OFI from overseas, it will not be caught by the restrictions applicable to this activity when undertaken in the UK. Please refer to section 8.9 below for more information. The position regarding the recording of telephone calls is complex. It should be noted, however, that rules regarding the recording of telephone calls will apply to Authorised Persons if e.g. the marketing/promotion extends to the provision of e.g. Investment Advice/Arranging.

8.3 Fly-In Meetings	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through a Fly-In Meeting? This would include a roadshow where specific information regarding the Fund and/or Investment Management & Advisory Service is presented/discussed.	Yes, see section 8.1(a) above, which applies equally to marketing conducted via a Fly-In Meeting or roadshow.
(b) Are there any particular considerations that an OFI should bear in mind before conducting Fly-In Meetings with prospective investors? For example, is there a risk that frequent Fly-In Meetings may trigger some local licensing or regulatory requirements?	If the OFI is not an Authorised Person in respect of either Investment Advice or Arranging (as applicable), it may be caught by the General Prohibition (discussed in section 8.8(a) below) in respect of these activities. Such OFI should therefore be careful that: (i) no Investment Advice is provided during the Fly-In Meeting unless it is possible to rely on the Overseas Persons Exclusion as it applies to Investment Advice. Please refer to section 8.8(a) below for more information. (ii) no activities take place at the Fly-In Meeting which amount to Arranging (unless it is possible to rely on the Overseas Persons Exclusion, which only has a very limited application in respect of the activity of Arranging since it must be with a person who is authorised or exempt). Please refer to section 8.9(a) below for more information. Further, an OFI that is not an Authorised Person should also be careful that no activities take place at the Fly-In Meeting which amount to agreeing to carry on an activity that is regulated in the UK (Agreeing to Perform a Regulated Activity). Agreeing to Perform a Regulated Activity is itself a regulated activity under Article 64 of the RAO and only limited exemptions are available under subsection (6) of the Overseas Persons Exclusion. Indeed such subsection (6) of the Overseas Persons Exclusion is only available where the activity is as a result of a “legitimate approach” which is an approach to, by or on behalf of an overseas person that either has not been solicited by him in any way or that does not breach the Financial Promotion Restriction (see section 7.1(a) above). It should be noted that whether the Overseas Persons Exclusion can be relied upon depends on the OFI not having a permanent place of business in the UK. Note that repeated fly-in meetings may increase the risk of inadvertently establishing a permanent place of business in the UK. If the OFI holds regular Fly-In Meetings in the UK (or gave out marketing materials with a UK address or UK phone number), the application of this exemption may be thrown into doubt. We would therefore note that there is a risk spectrum in relation to the application of the rules

	in relation to the General Prohibition and persons should act within the general spirit of the rules.
8.4 Fly-Out Meetings	
(a) Do the licensing and regulatory requirements of your jurisdiction continue to apply to any marketing activities in connection with Funds or Investment Management & Advisory Services which take place at a Fly-Out Meeting?	No. Such persons who are temporarily outside the UK would fall under the exemption under Article 12 of the FPO and Article 8 of the CIS Exemptions Order in relation to communications to overseas persons. They are also likely to be outside the territorial scope of the General Prohibition. The General Prohibition will not apply to regulated activities carried on with a person who is physically outside the UK when such activities are performed, but will continue potentially to apply to any regulated activities conducted when the person is in the UK.
(b) If the answer to section (a) above is “no”, are there any courses of action which could result in the requirements of your jurisdiction having extra-territorial effect? For example, would it be possible for the OFI to induce the resident to leave your jurisdiction to attend a meeting in an offshore office of the OFI without triggering the application of the licensing and regulatory restrictions in your jurisdiction?	Yes. It would be difficult not to characterise an invitation or inducement made from within the UK to attend a meeting outside the UK as a financial promotion as such inducement is likely to fall within the Financial Promotion Restriction. It is therefore important that any invitation to attend a Fly-Out Meeting is made from outside the UK. NB if the investor or their representative is offshore but connected to business in the UK, then it is likely the OFI will be unable to rely on Article 12 FPO.
8.5 Internet/Social Media	
(a) Please outline the requirements in your jurisdiction which apply to a webpage which is targeted towards investors located in your jurisdiction (e.g. by writing it in the language of your jurisdiction or by sponsoring links generated when internet users in your jurisdiction search for particular terms via a search engine).	The test for the application of the Financial Promotion Restriction or the CIS Promotion Restriction in relation to the internet remains the same. Webpages will be deemed as financial promotions if they communicate, in the course of business, an invitation or inducement to a person in the UK to engage in investment activity. Such communication will be ‘directed at’ rather than ‘made to’ persons and will therefore require the additional wording set out in Section A of Appendix 1, 2 and 3 (as applicable) as well as “vetting” systems and procedures to prevent access by other persons, should the OFI wish to rely on the Investment Professionals Exemption or the High Net Worth Entities Exemption. Where a financial promotion in relation to any NMPI is communicated by an Authorised OFI via a webpage or mobile application, specific regulatory content requirements apply in respect of HNW individuals and sophisticated investors (see section A of Appendix 1).

	With respect to the General Prohibition, the regulated activities that are most likely to be engaged in the context of marketing activities undertaken via the internet are: • advising on investments; • making arrangements with a view to transactions in arrangements; and • agreeing to carry on either of these or other regulated activities. Whether such activities are in fact engaged in will depend on the content of the webpages and the marketing materials that are used to target clients online. This is subject to a case-by-case analysis. PERG 8 Annex 1 contains some useful guidance on examples of what is and is not a personal recommendation and advice, including in relation to the use of pop-up boxes and filtering.
(b) Does your jurisdiction impose requirements/restrictions in respect of webpages which have not been targeted towards investors in your jurisdiction but which are accessible from your jurisdiction?	Yes. Whether or not such a website has been targeted at persons in the UK makes little difference if it is capable, for the purposes of the Financial Promotion Restriction, of having an effect in the UK or, for the purposes of the General Prohibition, of amounting to regulated activities in the UK (such as advice, given that possible recipients would be in the UK)– which is the case with internet websites as there is very little control over who is able to access the content.
(c) If the answer to section (b) is “ yes ”, what steps could an OFI take to reduce the regulatory risk in your jurisdiction as regarding marketing materials posted on non-targeted webpages? For example, by requiring an investor or potential investor to verify suitability through acceptance of a disclaimer, provide confirmation that he is not located in your jurisdiction, by making the pages password protected or through use of a secure portal to regulate information available to users?	An OFI that wishes the information on the website to be accessed and viewed by investors in the UK should either ensure that they comply with the financial promotion regime and the CIS promotion regime (as applicable). However, if the OFI does not wish UK investors to use the information on the website, a tick box confirming that a person is not located in the UK or a password protected page where the password is provided only to non-UK persons would be helpful for the purposes of the Financial Promotion Restriction and the General Prohibition. However, the OFI should act consistently and a tick box confirmation would not be helpful if all other information on the website suggested that persons in the UK were in fact the focus of the website. As noted elsewhere in our responses there is a risk spectrum in relation to the application of the UK rules and persons should act within the general spirit of the rules.
(d) Please outline any requirements in your jurisdiction which apply to marketing activities which take place via social media (e.g. blogs, X Corp. (formerly known as Twitter), social networks (Facebook, LinkedIn), forums or photo/video-sharing platforms (e.g.	Please see our response to 8.5(a) above. • Social media posts that are visible to a broad audience will typically be a communication “directed at” persons generally. As with webpages in 8.5(a) above, such posts will be deemed as financial promotions if they communicate an invitation or inducement to a person in the

YouTube, Instagram)) and which are **targeted** towards investors located in your jurisdiction e.g. (i) posts are written in the language of your jurisdiction or have direct relevance to investors in your jurisdiction or (ii) adverts are sponsored to appear on the user pages of investors based in your jurisdiction? Please can you consider if activities on social media would be treated differently if they were conducted by means of a direct message to an investor in your jurisdiction as opposed to a post that can be viewed by many users of the platform including an investor in your jurisdiction.

UK to engage in investment activity. Such communication will be ‘directed at’ rather than ‘made to’ persons and will therefore require the additional wording set out in Section A of Appendix 1, 2 and 3 (as applicable) as well as “vetting” systems and procedures to prevent access by other persons, should the OFI wish to rely on the Investment Professionals Exemption or the High Net Worth Entities Exemption. Exemptions to the Financial Promotion Restriction and CIS Promotion Restriction which require the communication to be “made to” a person or which are limited by channel type may not be available for such posts.

- By contrast, a direct message to a specific recipient is generally “made to” that person and, depending on the channel and whether it is interactive, may be a real-time or non-real-time communication. This distinction affects which exemptions can be used (e.g., the Self-Certified Sophisticated Investor Exemption and certain Overseas Communicators Exemptions are confined to communications “made to” a person) and whether indications and systems are needed to ensure a promotion is directed only at persons to whom it may lawfully be made.
- On 26 March 2024, the FCA published final guidance on financial promotions made via social media. The guidance is media-neutral and applies to both public posts and private messages. The new guidance replaces existing FCA social media guidance, to reflect the current and future social media landscape. The guidance is intended to clarify the FCA’s expectations of firms, address consumer harm that the FCA has seen arising from new and emerging features of social media and assist to ensure social media promotions remain fair, clear and not misleading, however the material is distributed (including for example where using image advertising, character-limited media or memes). In particular, the guidance includes considerations relating to:
 - prominence of certain information and suitability of social media for financial promotions;
 - inclusion of prescribed risk warnings;
 - specific promotion restrictions for high-risk investments;
 - the consumer duty and how firms advertising using social media must consider how their marketing strategies align with acting to deliver good outcomes for retail customers;
 - the use of financial influencers or ‘finfluencers’ and considerations relating to social media platforms; and

	• the use of direct messages versus posts and how this affects exemption availability, risk-warning prominence and the suitability of character-limited transient formats. • The guidance also covers topics such as recipients sharing or forwarding communications, unsolicited communications, approval and record-keeping of social media promotions and affiliate marketing. • The guidance will be of interest to a range of persons, including overseas firms communicating financial promotions on social media. The guidance reminds firms that the financial promotion restriction is applicable to all communications capable of having an effect in the UK, even where such communications may not be specifically targeting investors in the UK. The guidance includes examples of the sorts of steps that non-UK entities might take with a view to complying with the financial promotion regime, such as: • having an authorised person approve their financial promotions; • geo-blocking their promotions so that they are not accessible to UK consumers; • changing the form and content of their communications which are capable of having an effect in the UK so that they do not contain invitations or inducements to engage in investment activity; and • implementing proper systems and controls to prevent UK consumers from engaging in the investment activity to which the communication relates, supported by appropriate indications to the effect that the relevant promotion is directed only at persons outside the UK and should not be acted on by UK consumers. • In relation to overseas firms in particular, the FCA has seen harm occurring in group entities where UK consumers click a link on a financial promotion and are directed to an unauthorised non-UK entity, but still believe they are engaging with an FCA regulated firm. The FCA expects firms to have in place proper systems and controls to mitigate the risk that UK consumers are directed to the website of an unregulated overseas group entity which is not compliant with the financial promotion restriction or which may involve the unregulated overseas person carrying on regulated activity with or for the UK consumer. For example, firms may consider separating social media profiles to have a solely UK-focused profile.
(e) Does your jurisdiction impose requirements/restrictions in respect of social media content which has not been targeted towards	Please see our response to 8.5(b) and to 8.5(d).

investors in your jurisdiction but is nevertheless accessible from your jurisdiction?	
(f) Please set out any practical advice which OFIs should follow in order to reduce the regulatory risk in your jurisdiction regarding marketing activities conducted via social media. For example, is it recommended that all posts contain either the full recommended disclaimer or is it ok to include a link to such disclaimer instead? On X Corp. (formerly known as Twitter), is the use of images a possible solution to the problem of character limitation e.g. by posting a disclaimer as an attachment to a tweet?	Please see our response to 8.5(d). In our experience, it is more common for firms to use social media exclusively for “brand build”, rather than for financial promotions, in part because it generally does not prove practicable to include disclaimers, and images or links are not considered sufficient in practice from a regulatory perspective.
(g) Are there any legends, risk factors, disclosures and disclaimers which are required or recommended by local counsel for inclusion in webpages and/or social media which contain marketing materials relating to Funds and/or Investment Management & Advisory Services and which may be accessed by investors located in your jurisdiction?	Yes, please see section A of Appendix 1, 2 or 3 as applicable.
(h) Please outline (or cross-refer) to any licensing/regulatory requirements in your jurisdiction which apply to virtual events/meetings (e.g. online web/video conferences/channels) involving marketing/selling activities relating to Funds and/or Investment Management & Advisory Services conducted with investors in your jurisdiction (e.g. virtual roadshows, presentations or promotional events).	Financial promotions during virtual events/meetings will be treated similarly to those communicated during face-to-face events/meetings. To the extent such promotions are made “in the course of an interactive dialogue”, they will be “real time” financial promotions. Promotions which are recorded or broadcast without interaction or represent a one-way flow such as a speech, address or presentation would be “non-real time” financial promotions. The FCA’s guidance in PERG 8.10 is helpful for categorising particular communications. Similar to face-to-face events/meetings, virtual events/meetings may involve one or more regulated activities which are subject to the General Prohibition (such as the provision of Investment Advice).
(i) Is it recommended or mandatory to include certain disclaimers/warnings in the materials presented/disseminated by means of virtual events/meetings relating to Funds and/or Investment Management & Advisory Services?	The position will be the same as with financial promotions presented/disseminated in the course of a face-to-face meeting.

8.6 General Marketing	
(a) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing by an OFI in your jurisdiction as follows: (i) general brand marketing that comprises the use of the OFI's corporate name, logo, slogan or design scheme; (ii) providing general information about the OFI (e.g. history, business divisions, key persons); (iii) publishing articles/ giving interviews e.g. thought leadership pieces or macroeconomic analysis/market outlook; and (iv) general marketing materials which refer to awards/customer testimonials. Does the analysis depend on the type of investor that is targeted e.g. professional investor, retail investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	A communication which makes use of the OFI's corporate name, logo or even slogan would identify the OFI and where it refers to a product or service line such financial promotion would relate to a controlled investment or controlled activity carried on by the OFI and in such circumstances the Financial Promotion Restriction will apply unless the OFI is an Authorised Person or an exemption applies. Where the OFI is an Authorised Person then the activity may be permitted provided that there is no reference to a Fund, or if there is a reference to a Fund where an exemption to the CIS Promotion Restriction applies. Such communication will likely be 'directed at' rather than 'made to' persons. We note that to the extent that such marketing is 'directed at' rather than 'made to' Clients, the High Net Worth Individuals Exemption and Self-Certified Sophisticated Investor Exemption cannot be relied upon. Where no Fund or IMAS, or product or service line is referenced, the Generic Promotions Exemption should be available (although this will always depend on the facts). The Generic Promotions Exemption applies to financial promotions which do not identify (directly or indirectly): (i) a person who provides the controlled investment to which the communication relates; and (ii) any person as a person who carries on a controlled activity in relation to that investment. Guidance in PERG 8.12.14 and 8.12.16 confirms that the Generic Promotions Exemption is available where a promotion does not: (a) relate to a controlled investment provided by the person identified in the promotion, or (b) (directly or indirectly) identify the person making it (i.e. the OFI) as someone who carries on any controlled activity. This suggests that marketing that provides general information about the OFI (including history, business divisions and/or key persons) would be covered by the Generic Promotions Exemption, so long as it does not refer to a specific controlled investment or identify the OFI as carrying out a controlled activity (however, see 8.6(b) below on the risk that such promotions could be treated as an invitation or inducement to engage to participate in investment activity). In terms of whether such activity would trigger requirements deriving from the AIFM Regs, such general marketing would fall within the remit of Pre-Marketing. See section 8.7 for more details. There is therefore a distinction depending on the type of investor under the Financial Promotion Restriction or CIS Promotion Restriction (as applicable), but not in relation to whether activities take place remotely or at a Fly-In Meeting.

	While analysis of regulated activities is fact specific, general marketing by an OFI is unlikely to constitute the conduct of a regulated activity in the UK.
(b) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing which involves general awareness-raising of product lines or service lines including discussion of general strategies (but without reference to a specific Fund or Investment Management & Advisory Service). Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	Purely factual information regarding product or service lines would not be seen as a financial promotion. There is however a risk that the existence of a link between the product and/or service lines and the OFI could be seen as an invitation or inducement to engage in investment activity, therefore within the scope of the Financial Promotion Restriction. OFIs must conduct a case-by-case assessment in such cases. Where the Financial Promotion Restriction or CIS Promotion Restriction (as applicable) are triggered, the activity would not be permitted unless an exemption or exclusion applies. In terms of whether such activity would trigger AIFM Regs requirements, such general marketing would fall within the remit of Pre-Marketing. See section 8.7 for more details. There is therefore a distinction depending on the type of investor under the Financial Promotion Restriction or CIS Promotion Restriction (as applicable), but not in relation to whether activities take place remotely or at a Fly-In Meeting. While analysis of regulated activities is fact specific, general marketing by an OFI is unlikely to constitute the conduct of a regulated activity in the UK.
(c) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing which involves discussions which refer to particular <i>characteristics</i> of a Fund or Investment Management & Advisory Service (e.g. investment strategies or ideas) without referring to the name of the relevant Fund or Investment Management & Advisory Service? An example of this type of marketing would include a tear sheet which while it may not include the name of the relevant Fund or Investment Management & Advisory Service, may include a brief description of strategy, terms, summary statistics (e.g. relating to AUM, performance, risk) and/or a list of key service providers. Does the analysis depend on the type of investor that is targeted e.g. professional investor, retail investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	See answer to 8.7. This would not amount to Marketing Requiring Notification. However, it would still be necessary to consider the financial promotion regime and the CIS promotion regime. There is therefore a distinction depending on the type of investor under the Financial Promotion Restriction or CIS Promotion Restriction (as applicable), but not in relation to whether activities take place remotely or at a Fly-In Meeting. While analysis of regulated activities is fact specific, general marketing by an OFI is unlikely to constitute the conduct of a regulated activity in the UK.

(d) Are there any rules regarding the form/content of written marketing materials which contain the type of information referred to in 8.6(c) above e.g. tear sheets/snapshots of marketing presentations that do not refer to the name of the Fund?	Yes, see section 8.1(c) above.
(e) Are there any licensing or regulatory restrictions which may apply when an employee of an OFI: (i) attends a finance-related event in your jurisdiction; or (ii) is a speaker at a finance-related event in your jurisdiction and discusses general trends/themes rather than a specific Fund/IMAS?	The Financial Promotion Restriction (or CIS Promotion Restriction, as applicable) will not apply provided that the content of such speaking engagement does not amount to an invitation or inducement to engage in investment activity. This is entirely fact-specific and all circumstances need to be considered, including the characteristics of the specific audience. Attendance at such an event is unlikely to an invitation or inducement to engage in investment activity per se, but any follow-up discussions would need to be taken into account.
(f) Are there any restrictions in relation to solely socialising with prospective investors in your jurisdiction?	No, there are no restrictions on socialising, provided that individuals employed by or representing an OFI do not have conversations with prospective investors which amount to an invitation or inducement to engage in investment activity. To the extent that conversations with prospective investors could be taken to amount to an invitation or inducement to engage in investment activity, the OFI needs to be an Authorised Person, the content needs to be approved by an Authorised Person, or the OFI will need to be able to rely on an exclusion to the Financial Promotion Restriction. In addition, individuals employed by or representing OFIs should ensure that no conversations with prospective investors could be taken to involve the provision of Investment Advice or Arranging unless the OFI is an Authorised Person or an exemption to the General Prohibition is available. Any determination as to whether a conversation constitutes an invitation or inducement to engage in investment activity or whether an OFI is taken to be providing Investment Advice to Arranging is entirely fact-specific and all circumstances need to be considered, including the context of the relevant social event.
(g) Are there any restrictions in relation to solely distributing business cards (paper or electronic)? Does the analysis depend on the type of investor that is targeted e.g. professional investor, retail investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	The sharing of business cards may fall within the Financial Promotion Restriction as such cards may be characterised as a non-real time financial promotion. A business card which identifies an OFI and an individual employed by or representing the OFI, but which does not reference any Fund or IMAS, would ordinarily be within the scope of the

	Generic Promotions Exemption. If a business card specifically references any Funds or IMAS, it is more likely to fall within scope of the Financial Promotion Restriction. If the business cards are being handed to investors who fall within an exemption under the FPO (e.g. the Investment Professional Exemption or High Net Worth Entities Exemption), then the activity is permitted pursuant to such exemption. See section 7.1(a) for more details. Note that the Financial Promotion Restriction applies to unauthorised persons only. There is therefore a distinction depending on the type of investor under the Financial Promotion Restriction or CIS Promotion Restriction (as applicable), but not in relation to whether activities take place remotely or at a Fly-In Meeting.
(h) Is it recommended or mandatory to include certain disclaimers/warnings in any general marketing materials presented/disseminated?	No specific wording is required or recommended. Where the general marketing materials do not constitute an invitation or inducement, it is advisable to state this expressly, although this would not be decisive in assessing the character of the communication. See Appendix 4.
8.7 Pre-Marketing	
(a) Is it permitted to conduct any “pre-marketing” activities in respect of a Fund in your jurisdiction to assess investor appetite either: (A) before committing to any registration/notification/approval/licensing requirements; or (B) during the relevant registration/notification/ approval/licensing process? If so, please could you provide a definition of what would amount to permitted “pre-marketing” of a Fund.	The FCA has commented in PERG 8.37.6G that ‘marketing’ under the AIFM Regs (i.e. activity that requires notification to the FCA) only applies to final versions of documents which can be used by investors to make an investment in an AIF. Marketing communications undertaken in an earlier stage of the marketing process (e.g. draft documents) may not ordinarily amount to Marketing Requiring Notification (and therefore do not require notification to the FCA) but are still caught by the Financial Promotion Restriction or CIS Promotion Restriction (as applicable). Please refer to our response to section 7.1(a) where we describe the Financial Promotion Restriction and the CIS Promotion Restriction and outline the available exemptions. Where an OFI is disseminating marketing materials which do not amount to Marketing Requiring Notification it will therefore nevertheless need to comply with the Financial Promotion Restriction or CIS Promotion Restriction (as applicable) (including inserting the necessary disclaimers in marketing documentation depending on the particular exemption being relied upon) and, where the activities amount to regulated activities, the General Prohibition.
(b) Where “pre-marketing” of a Fund is permitted in your jurisdiction, please could you outline the types of marketing activities which would fall within the scope of such permitted “pre-marketing”, distinguishing if relevant between:	

(i) the types of materials that can be circulated (e.g. presentations, offering documents, subscription documents);	In respect of AIFs that have not been established: • presentation/teaser document, pitch book or term sheet (in draft or final form); • offering document in draft form and in final form if the final offering document does not allow an investor to make a binding commitment to make an investment in an AIF; • constitutional documents in draft form. In respect of AIFs that have been established: • presentation/teaser document, pitch book or term sheet (in draft or final form); • offering document in draft form and in final form if: (1) the final offering document does not allow an investor to make a binding commitment to make an investment in an AIF; and (2) is not sent with subscription document. An offering document in final form sent with subscription agreement would constitute Marketing Requiring Notification; • constitutional documents in final form provided does not allow an investor to make a binding commitment to make an investment in an AIF. Discussions whether by email, telephone or at a Fly-In Meeting with investors which refer to particular characteristics of an AIF (e.g. investment strategies or ideas) without referring to the name of the relevant AIF are outside the scope of Marketing Requiring Notification but subject to the Financial Promotion Restriction or CIS Promotion Restriction (as applicable). See also section 7.1(a) where we describe the Financial Promotion Restriction and the CIS Promotion Restriction and outline the available exemptions.
(ii) the status of the Fund (e.g. whether established or still under formation);	See (i) above.
(iii) whether the documents are in draft or final form;	See (i) above.
(iv) any specific “pre-marketing” activities to avoid on the basis that these will trigger the relevant requirements; and	See (i) above.

(v) any other relevant considerations in your jurisdiction (e.g. number or type of investor to whom the “pre-marketing” is done).	Pre-Marketing activities which do not constitute Marketing Requiring Notification but which nevertheless constitute financial promotion will need to comply with the rules and requirements deriving from the Financial Promotion Restriction or the CIS Promotion Restriction (as applicable) set out in section 7.1(a) above (PERG 8.37.6G). As discussed, the application of these restrictions depends on whether the entity doing the marketing/sale is authorised in the UK or unauthorised. The analysis is not impacted by the fact that the particular Fund is Open-Ended or Closed-Ended (but note the potential application of the POATRs which is discussed further in section 9 below).
(vi) Are there any registration/notification/approval /licensing requirements which apply in respect of the OFI conducting pre-marketing of a Fund in your jurisdiction?	Currently no further registration/notification/approval/licensing requirements other than the requirements of the Financial Promotion Restriction or the CIS Promotion Restriction (as applicable) described above provided the OFI’s promotional activities do not include regulated activities such as the provision of Investment Advice or Arranging in which case it would be necessary to consider whether the OFI has the necessary permissions or whether an exemption is available. See sections 8.8 and 8.9 of the Memorandum.
8.8 Investment Advice	
(a) Is it permitted for an OFI to provide Investment Advice in relation to a Fund or Investment Management & Advisory Services to an investor in your jurisdiction and, if so, on what basis? In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	The application of restrictions regarding the provision of Investment Advice depends on whether the OFI is deemed authorised in the UK (with the relevant permission where advice amounts to personal recommendation) or is unauthorised. Advice in relation to services such as Investment Management & Advisory Services is not restricted since the restrictions discussed below which derive from Article 53 of the RAO apply only to advice relating to “particular investment” rather than advice given in relation to a service. A. Provision of Investment Advice by an unauthorised firm Section 19 of FSMA states that a person must not carry on a “regulated activity” in the UK, or purport to do so, unless he is an Authorised Person or Exempt Person (the General Prohibition). Persons exempt from the General Prohibition include appointed representatives as well as those excluded by means of an exemption order. See discussion below as well as Appendix 5 of this Memorandum for further details. The list of regulated activities is found in the RAO, and “advising on investments” is contained in Article 53. To fall within Article 53 of the RAO, the advice must relate to one of the following types of specified investments: (i) a “security”; (ii) “structured deposit” or (iii) a “relevant

investment”. Under PERG 8.25.1G, a security or relevant investment includes a number of different types of financial instrument/security including shares, debentures, government securities, options, futures and units in collective investment schemes (i.e. interests in a Fund).

Further, the advice must concern a “particular investment”. PERG 8.26.4G provides examples of particular investments, including the following: (i) shares in a named company, for example shares in “ABC plc”; (ii) units in a named fund, for example units in “ABC smaller companies fund” or (ii) contractual investments (for example, futures) with essential terms, such as duration and parties, specified and which are to be entered into with a particular person. This is an important element of the definition of “advising on investments” as it confirms that generic/general advice will generally not fall within Article 53 of the RAO (although generic/general advice could still amount to a financial promotion (PERG 8.4)). Care is also required in relation to generic advice in that although giving generic advice is generally not a regulated activity, if it is given in the course of or in preparation for a regulated activity it can form part of that regulated activity (PERG 8.26.5G).

To fall within Article 53 of the RAO, the advice must concern the merits of one of the following (whether principal or agent): (i) buying, selling, subscribing for, exchanging, redeeming, holding or underwriting a particular investment; or (ii) exercising or not exercising any right conferred by such an investment to buy, sell, subscribe for, exchange or redeem such an investment. In other words, the advice must relate to the pros and cons of dealing, or exercising rights to deal, in an investment.

Advice is media neutral. PERG 8.30.1G states that, with the exception of periodicals, broadcasts and other news or information services, the medium used to give advice should make no difference to whether or not it is caught by Article 53 of the RAO.

Therefore, the unauthorised OFI must be: (i) exempt, or (ii) should seek to rely on an exemption if it wishes to conduct the activity of “advising on investments” in respect of a security or relevant investment (including an interest in a Fund) with an investor in the UK.

The Exemption Order lists a small number of persons who are exempt in respect of any regulated activity (other than effecting and carrying out contracts of insurance). These include the Bank of England and a few other entities - please refer to Appendix 5 for a full list of Exempt Persons. We note that the OFI is unlikely to be deemed to be a person who is exempt. The OFI should therefore consider whether there is an exemption from the General Prohibition on which it can rely.

	B. Overseas Persons Exclusion in respect of Investment Advice The unauthorised OFI may, however, be able to rely on a specific legislative exclusion from the General Prohibition. Article 72 of the RAO includes an exclusion for “overseas persons” in respect of certain regulated activities (the Overseas Persons Exclusion). An “overseas person” includes a person who does not carry on any regulated activities, or offer to do so, from “a permanent place of business” maintained in the UK (Article 3(1) of the RAO). Where an OFI does not have a permanent place of business in the United Kingdom, it will need to rely on this exemption unless what he does is regarded as carried on in the United Kingdom. PERG 2.4.6G states that a person based outside the United Kingdom may be carrying on activities in the United Kingdom even if he does not have a place of business maintained by him in the United Kingdom (for example, by means of the internet or other telecommunications system or by occasional visits). Subsection (5) of Article 72 applies to an overseas person in respect of the activity of advising on investments and is only available where the regulated activity is carried on as a result of a “legitimate approach”. A “legitimate approach” is defined in Article 72(7) as: (a) an approach made <u>to</u> the overseas person which has not been solicited by him in any way (which may apply in the context of reverse solicitation), or has been solicited by him in a way which does not contravene the Financial Promotion Restriction; or (b) an approach made <u>by or behalf of</u> the overseas person in a way which does not contravene the Financial Promotion Restriction. See also PERG 2.9.17G. If this exclusion applies, the OFI will not be carrying out (or will be exempt from carrying on) the regulated activity of “advising on investments” and therefore will not be in breach of the General Prohibition.
(i) available exemptions which permit the provision of Investment Advice. If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please comment on both formal “black-letter law” exemptions and accepted practice.	See 8.8(a) above. Please also refer to section 3(d) for discussion of the BFSa for Swiss firms marketing/selling Investment Management & Advisory Services into the UK.

(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining whether the provision of Investment Advice is permitted (e.g. investor is incorporated, domiciled, has employees in your jurisdiction).	Only regulated activities carried on in the UK are caught by the General Prohibition and each case will need to be considered according to its own circumstances. The general view is that investment advice is given where it is received (PERG 7.3.5G and 7.3.6G).
(iii) any sensitivities depending on whether the investor is a potential or an existing client or whether such investor solicited the Investment Advice or not.	If the investor solicited the Investment Advice, such advice is likely to satisfy the “legitimate approach” condition in certain elements of the Overseas Persons Exclusion (i.e. an approach made by the investor to the adviser which has not been solicited by the adviser in any way).
(b) Does the regulatory regime in your jurisdiction applicable to the marketing/provision of Investment Advice extend to advice in relation to portfolio construction and/or manager selection? If not, please could you briefly outline how the marketing/provision of advice in relation to portfolio construction/manager selection is regulated in your jurisdiction, if at all.	As above, to fall within the General Prohibition, the advice must relate to one of the following types of specified investments: (i) a “security”; (ii) “structured deposit” or (iii) a “relevant investment”. Advice in relation to portfolio construction and/or manager selection which does not involve any such specified investments will not be regulated advice. However related invitations or inducements could still be subject to the Financial Promotion Restriction.
8.9 Arranging	
(a) Is it permitted for an OFI to provide Arranging services in relation to a Fund or Investment Management & Advisory Services with an investor in your jurisdiction and, if so, on what basis? In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	A. Arranging undertaken by an unauthorised firm Arranging a deal in specified investments is a regulated activity in respect of each party to the deal and therefore caught by Article 25 of the RAO and subject to the General Prohibition. Only regulated activities carried on in the UK fall within the territorial scope of FSMA. Therefore, to the extent that the Arranging takes place outside the UK (e.g. via a telephone call where the OFI is outside the UK), the General Prohibition will not apply since the Arranging will be carried on where the activity occurs. Certain actions may, however, bring the provision of a regulated activity within the UK and UK guidance on this point is not always clear. The exact facts and pattern of conduct have to be assessed on a case-by-case basis.

	To the extent that an unauthorised OFI wishes to conduct Arranging within the UK (e.g. at a Fly-In Meeting), it will need to be exempt (see Appendix 5 for a very short list of Exempt Persons) or rely on an exemption (if available). As noted in section 8.8, an OFI is unlikely to be an Exempt Person. B. Overseas Persons Exclusion in respect of Arranging The Overseas Persons Exclusion only applies in a very limited way to Arranging. Subsections (3) and (4) of Article 72 RAO are relevant. However, they only apply to Arranging that is being done with an Authorised Person or an Exempt Person.
(i) available exemptions which permit the provision of Arranging. If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please comment on both formal “ black-letter law ” exemptions and accepted practice .	See 8.9(a) above. Please also refer to section 3(d) for discussion of the BFSa for Swiss firms marketing/selling Investment Management & Advisory Services into the UK.
(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining whether the provision of Arranging is permitted (e.g. investor is incorporated, domiciled, has employees in your jurisdiction).	See 8.9(a) above.
(iii) any sensitivities depending on whether the investor is a potential or an existing client or whether such investor solicited the Arranging or not.	See 8.9(a) above.
8.10 Subscription Documentation and Relationship Management	
Sections (a) to (c) below look at scenarios relating to the provision by an OFI to an investor of either: • Fund subscription documentation; or	

• contracts relating to the provision of Investment Management & Advisory Service(s). In relation to sections (a) to (c) please can you briefly describe any relevant restrictions or considerations that apply or, if relevant, please cross-refer to other sections of the Memorandum. Are the below scenarios permitted?	
(a) The OFI provides/sends: • Fund subscription documentation; or • a contract relating to the provision of Investment Management & Advisory Service(s) to a potential investor:	
(i) where the OFI and the investor are <u>both</u> in your jurisdiction (e.g. at a Fly-In Meeting); or	Position in relation to Funds: Sending subscription documentation will constitute Marketing Requiring Notification and it will therefore be necessary to have made the necessary FCA notification before conducting this activity. The activity will also trigger the Financial Promotion Restriction and it will therefore be necessary to conduct the activity pursuant to a relevant exemption. The CIS Promotion Restriction and NMPI restriction may also be relevant, subject to the TMPR and recognition under s.272 and the OFR. Reception and transmission of subscription documentation or assisting investors with completing subscription documentation could also amount to the regulated activity of Arranging thereby triggering the General Prohibition unless the OFI is authorised or can structure the activity to fall within an exemption. See section 8.9 above. Position in relation to IMAS: Where the OFI is unauthorised, it will need to be mindful of the Financial Promotion Restriction (when communicating an invitation or inducement in respect of IMAS) and the General Prohibition (when conducting the IMAS) and rely on a relevant exemption. As mentioned above, Agreeing to Perform a Regulated Activity (e.g. by signing a contract) is itself a regulated activity.

(ii) where the OFI is <u>outside</u> your jurisdiction but the investor is <u>in</u> your jurisdiction (e.g. the OFI sends the documentation via email/post).	Position in relation to Funds: See 8.10(a)(i) above. If the OFI doing this is <u>outside</u> the UK it may be outside the scope of the General Prohibition or be able to rely on the Overseas Persons Exclusion – depending on the facts. Position in relation to IMAS: See 8.10(a)(i) above. If the OFI doing this is <u>outside</u> the UK it may be outside the scope of the General Prohibition or be able to rely on the Overseas Persons Exclusion – depending on the facts.
(b) The: • Fund subscription documentation; or • a contract relating to the provision of Investment Management & Advisory Service(s) is signed:	
(i) where the relevant signatories for <u>both</u> parties are <u>in</u> your jurisdiction (e.g. at a Fly-In Meeting); or	Position in relation to Funds: See 8.10(a)(i). Position in relation to IMAS: See 8.10(a)(i).
(ii) where the relevant signatories for the Fund or provider of the Investment Management & Advisory Service are <u>outside</u> your jurisdiction but the investor is <u>in</u> your jurisdiction (e.g. the signed documents are transmitted between the parties via email/fax/post/courier).	Position in relation to Funds: See 8.10(a)(ii). Position in relation to IMAS: See 8.10(a)(ii).
(c) Will the location where documentation is signed by either party as described in either section (b)(i) or (ii) above affect whether the contract is deemed “booked” in your jurisdiction?	See analysis in 8.10(a)(i) and (ii) above.
(d) This question 8.10(d) focuses on relationship management and/or investor relations activities, which are conducted between an OFI	An OFI will be able to have an ongoing relationship with its investor where it has marketed/provided the Fund and/or IMAS in accordance with the permitted route(s) described

and an investor once such investor has invested in a Fund and/or engaged the OFI to provide an Investment Management & Advisory Service. Such activities would, for example, involve the OFI: • updating the investor on its existing investments; and/or • providing account statements, transaction reports or periodic reports to the investor. Please confirm whether an OFI would be permitted to conduct such relationship management/investor relations activities: • on a cross-border basis; or • at a Fly-In Meeting in your jurisdiction. Alternatively, please describe any relevant restrictions or considerations that apply, if relevant cross-referring to other sections of the Memorandum. For the purposes of this question, please presume that the marketing/selling activities that underpin the relationship between the OFI and the investor were conducted pursuant to permitted means in your jurisdiction and/or were conducted in another jurisdiction before the investor re-located to your jurisdiction. Please also presume that the relationship management/investor relations activities will not involve any further marketing/selling of other funds/services outside the scope of the existing relationship.	elsewhere in this Memorandum. However care should be taken not to carry out other regulated activities (such as investment advice or arranging) unless that is separately agreed and intended between the parties. Usual business issues such as data protection rules and any confidentiality restrictions will of course apply. Where an intermediary signs up the client on the OFI's behalf then the OFI needs to consider who the investor is and ensure it is not circumventing the financial promotion rules. Specific advice should be taken at the time as the scenario is very fact dependent.
8.11 Requests for Proposals (RFPs)	
This question 8.11 looks at the scenario where an OFI is asked to respond to a request for proposal, request for information or similar process (an RFP) from an investor in your jurisdiction.	

(a) Please could you outline whether there are any registration/notification/approval/licensing requirements which apply where an OFI responds to an RFP in respect of a Fund from an investor in your jurisdiction? If appropriate, please cross-refer to other sections of the Memorandum in your response.	The activity may trigger the Financial Promotion Restriction (if the OFI is unauthorised) or the CIS Promotion Restriction (if the OFI is an Authorised Person) and it will therefore be necessary to conduct the activity pursuant to a relevant exemption/exclusion. The OFI also needs to be mindful of the General Prohibition. A mere response to an RFP is not likely to involve a regulated activity, such as Investment Advice or Arranging, however Agreeing to Perform a Regulated Activity is a regulated activity in itself. Therefore care should be taken if the contents of the RFP amount to e.g. agreeing to provide Investment Advice or to carry out Arranging which would trigger the General Prohibition unless the OFI is authorised or can structure the activity to fall within an exemption or exclusion.
(b) Could the activity of responding to an RFP regarding a Fund fall within the scope of permitted "reverse-enquiry"/"reverse-solicitation" in your jurisdiction?	Yes, if the Conditions for Permitted Reverse Enquiry are met. Note however that an OFI will still need to comply with an exemption to the Financial Promotion Restriction (if the OFI is unauthorised) or the CIS Promotion Restriction (if the OFI is an Authorised Person) and be mindful of the General Prohibition.
(c) Please could you outline whether there are any registration/notification/approval/licensing requirements which apply where an OFI responds to an RFP in respect of an Investment Management & Advisory Service from an investor in your jurisdiction? If appropriate, please cross-refer to other sections of the Memorandum in your response.	See 8.11(a) above. In particular, Agreeing to Perform a Regulated Activity is itself a regulated activity.
(d) Could the activity of responding to an RFP regarding an Investment Management & Advisory Service fall within the scope of permitted "reverse-enquiry"/"reverse-solicitation" in your jurisdiction?	There is no reverse-solicitation concept in the context of IMAS but it is likely to satisfy the "legitimate approach" condition in certain elements of the Overseas Persons Exclusion in respect of certain regulated activities.
8.12 Relocation of Investor	
(a) What restrictions, if any, might apply where an OFI has an investor that invested in a Fund and/or that received the OFI's Investment Management & Advisory Services while the investor was in	Following the investor's relocation to the UK, the investor will become subject to the protections in the UK financial services legislation. This means that any further financial promotions to the investor will be subject to the Financial Promotion Restriction (if the OFI is unauthorised) or the

another jurisdiction but that investor has now moved into your jurisdiction?	CIS Promotion Restriction (if the OFI is an Authorised Person) and any further regulated activities in respect of the investor (such as Investment Advice) will be subject to the General Prohibition. Depending on the circumstances, the OFI may be able to avail itself of specific exemptions in the FPO/ CIS Exemptions Order. For example, there are exemptions for follow-on promotions which take place within 12 months of the original promotion and for promotions to existing investors in the Fund.
(b) Can the OFI continue to service that investor in respect of its original investment/relationship?	See (a) above.
(c) If the OFI wished to conduct further marketing activities in respect of that Fund or Investment Management & Advisory Service with that investor, what considerations would apply? If appropriate, please cross-refer to other sections of the Memorandum in your response.	See (a) above.
(d) Does the analysis depend on the type of investor that is targeted e.g. professional investor, retail investor etc?	Yes, as explained elsewhere in this Memorandum, certain exemptions in the FPO/ CIS Exemptions Order will depend on the investor's status (e.g. Investment Professional, High Net Worth Entity, HNWI, Self-Certified Sophisticated Investor). Other possible exemptions in the investor relocation scenario (e.g. follow-on promotions, promotions to existing investors in the Fund) do not depend on the investor's status.

9. PUBLIC OFFER AND ADMISSION TO TRADING REGULATIONS (POATRS)

Questions	Answers
The purpose of this section is to identify the particular issues that may arise in respect of AIFs which fall into the scope of the UK public offering requirements. (a) What are the relevant criteria for determining whether an AIF might fall within the scope of the UK public offering requirements in your jurisdiction?	Previous regime - UK Prospectus Regulation Under the UK Prospectus Regulation, under section 85 of the FSMA, there was a prohibition on making an offer of "transferable securities" to the public in the UK or requesting the admission of transferable securities to trading on a regulated market situated or operating in the UK (e.g. the London Stock Exchange's main market) without a prospectus approved by the FCA having been made available to the public before the offer or request is made. Where transferable securities were requested to be offered to the public in the UK on a non-exempt basis, the request or offer must have been made pursuant to a prospectus that complied with, and had been approved (or treated as approved) by, the FCA in accordance with the requirements of the UK Prospectus Regulation regime. "Transferable securities" is defined in section 102A(3) of FSMA as anything which is a transferable security for the purposes of UK MiFIR (other than money market instruments with a maturity of less than 12 months) and includes "shares in companies and other securities equivalent to shares in companies, partnerships or other entities". While units in an open-ended collective investment scheme are explicitly excluded from the definition of "transferable securities" (Schedule 11A of FSMA), interests in Closed-Ended Funds may be caught within the definition of transferable securities. It is safest to proceed on the basis that Closed-Ended Funds and, potentially, open-ended funds listed on exchanges outside the UK (e.g. ETFs) are caught. Current regime - Public Offer and Admission to Trading Regulations (POATRs) As part of the SRF, the UK Prospectus Regulation has been revoked as of 19 January 2026 and replaced by a new domestic regime. The legislative framework for establishing the new regime (the Public Offers and Admissions to Trading Regulations (POATRs)) was made in January 2024 and the Public Offers and Admissions to Trading (Amendment and Consequential and Transitional Provisions) Regulations followed in October 2025. The new regime came into force on 19 January 2026. The POATRs amend section 85 of the FSMA to prohibit all public offers of relevant securities in the UK, unless they fall within a listed exemption set out in Schedule 1 of POATRs (see section 9(b) below) or, if none apply, are routed via a public offer platform (a POP). In addition, for AIFs seeking to admit relevant securities to trading on a regulated market, an approved prospectus is

required for the admission of transferable securities to trading, unless one of the PRM exemptions applies (discussed further below).

The use of POPs is intended to enable companies making public offers of securities to a broad range of investors without requiring a prospectus. It is intended that POPs will be responsible for carrying out due diligence on prospective issuers and the securities they wish to offer. Firms that operate POPs will be authorised by the FCA to operate such platforms.

“Relevant securities” is defined in section 5 of POATRs as anything which is a transferable security for the purposes of UK MiFIR (other than excluded securities) and instruments creating or acknowledging indebtedness as defined in article 77 of the RAO Amendment Order. While units in an open-ended collective investment scheme are considered “excluded securities” (Regulation 6 of POATRs) and therefore not caught by the POATRs, interests in Closed-Ended Funds may be caught within the definition of relevant securities. It is safest to proceed on the basis that Closed-Ended Funds and, potentially, open-ended funds listed on exchanges outside the UK (e.g. ETFs) are caught and consider the availability of an exemption.

This prohibition is subject to a number of exceptions which are, in summary:

- admission to a regulated market or a ‘primary’ multilateral trading facility (**MTF**) (offering securities or admitting securities to trading on a regulated market or primary MTF will be a designated activity under the DAR);
- offers through a POP; and
- specific exemptions as discussed in section 9(b) below.

While the POATRs set out the framework for the new regime, the details of the regime are contained in final FCA rules published on 15 July 2025 in Policy Statements [PS25/9](#) (admissions and prospectuses, (following CP [24/12](#) and [CP25/2](#)) and [PS25/10](#) (following CP [24/13](#) and CP [25/3](#)) (public offer platforms), together with accompanying Handbook instruments. These final rules implement the DAR “designated activity” approach for offers of relevant securities, set out the prospectus framework for regulated markets and “primary” MTFs, and establish the operating and conduct requirements for POPs.

Admission of securities to UK regulated market or MTF

PS 25/9 sets out the FCA’s final rules for companies seeking to admit securities to a UK regulated market or ‘primary’ MTF under the new POATR framework primarily through amendments to its MAR Sourcebook, the creation of the new ‘Prospectus Rules: Admission to Trading on a Regulated Market sourcebook’ (**PRM**), and revocation of the Prospectus Regulation Rules Sourcebook (as well as consequential amendments to various other parts of the FCA Handbook

	and FCA guidance). The PRM only applies to Funds that intend to be admitted to trading on a regulated market. While the FCA has kept a large degree of consistency with the current regime (including retaining a prospectus requirement as the core of the regime), a number of changes were introduced. The areas which have been subject to more substantive changes include: • further issuances of securities already admitted to trading on a regulated market (which will not require a prospectus except in limited circumstances); • climate-related / sustainability related disclosures in prospectuses for certain equity issuers, and issues of depository receipts representing equity shares, together with optional disclosures to improve the transparency of sustainability-labelled debt instruments; • protected forward looking statements, with exclusions and exceptions for Primary MTFs equivalent to those for regulated markets; • increasing the threshold at which prospectuses are required for further issuances of transferable securities from 20% to 75% of those same securities already admitted to trading and up to 100% for equity securities issued by closed ended investment funds; • aligning the prospectus requirements for lower denomination bonds with those for higher denominations by requiring a single set of minimum disclosure content for prospectus documents for non-equity securities; • reducing the number of days a prospectus needs to be publicly available for initial admissions of shares from 6 working days to 3 working days; • introducing a definition for the types of statements that will be subject to the liability regime for protected forward-looking statements; • requiring a market notification for further issuances; and • finalised rules for admission to primary MTFs, including setting out when a prospectus is required and the rights and responsibilities attaching to its production.
(b) Please could you set out the exemptions from the requirement to comply with the UK public offering requirements?	<i>POATRs</i> The exemptions to the general prohibition on public offers in the POATRs are similar, but not identical, to the previous exemptions available under the UK Prospectus Regulations and are set out in Schedule 1 of the POATRs. These include: • Offers of relevant securities to the public where the total consideration for the relevant securities being offered in the United Kingdom cannot exceed GBP 5 million, or an equivalent amount (Schedule 1(1) POATRs).

	• Offers of relevant securities made solely to qualified investors (Schedule 1(2) POATRs). Qualified investors include “professional clients” as defined by reference to UK MiFIR and eligible counterparties for the purposes of COBS 3. As with the UK Prospectus Regulation, this would include, among others, Bank/Credit Institutions, Investment Firms/Broker Dealers and Insurance Companies, Central Banks, International Organisations, other institutional investors whose main activity is to invest in financial instruments and any other entities which have waived their right to COBS protection (POATRs Schedule 1 Paragraph 15 and FSMA 86(1)(aa)). • Offers of relevant securities made to fewer than 150 persons in the United Kingdom, other than qualified investors (Schedule 1(3) POATRs) • Offers of relevant securities whose denomination per unit amounts to at least GBP 50,000, or an equivalent amount (Schedule 1(4) POATRs). • Offers of relevant securities made to persons who acquire securities for a total consideration of at least GBP 100,000, or an equivalent amount, per investor, for each separate offer (Schedule 1(5) POATRs). • Offers of transferable securities where— a. the offer is conditional on the admission of the transferable securities to trading on a regulated market or primary MTF, or b. the transferable securities being offered are at the time of the offer admitted to trading on a regulated market or primary MTF (POATRs Schedule 1(6)). • Offers of securities made by means of a regulated platform (i.e. a POP) (POATRs, Schedule 1(13)).
(c) For AIFs which fall into the scope of the UK public offering requirements, do the exemptions in the UK public offering requirements provide the basis for the private placement of such AIFs into your jurisdiction or is it necessary to separately consider	For Closed-Ended Funds and open-ended funds listed on exchanges outside the UK (e.g. ETFs) that fall into the scope of the POATRs (i.e. because their interests fall within the definition of transferable securities), the exemptions in the POATRs provide the basis of the private placement of such Funds. It will therefore be necessary to ensure that the offer of such interests is made in compliance with those exemptions – e.g. to “qualified investors” only.

the exemptions available (if any) under your jurisdiction's private placement regime as discussed in section 7.1(a) above?	However, when marketing and selling such a Fund it will also be necessary to ensure that you comply with the Financial Promotion Restriction (or CIS Promotion Restriction, as applicable) as described in section 7.1(a) of this Memorandum.
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10. LICENCE

Questions	Answers
If a licence is required in order to be able to engage in marketing/selling a Fund or Investment Management & Advisory Services, please explain in outline only: (a) The type of licence that would be required;	Where an OFI cannot make use of an exemption or exclusion in order to engage in regulated activities in connection with marketing/selling of a Fund (such as Investment Advice or Arranging) or Investment Management & Advisory Services, the OFI will be required to apply for authorisation to carry out the relevant regulated activity (section 55A of FSMA). Under section 55B of FSMA, the OFI will be required to satisfy the “threshold conditions”, in relation to the regulated activity, as specified in Schedule 6 of FSMA. These threshold conditions include certain requirements for the OFI’s “business to be conducted in a prudent manner”. Below are links to some interactive forms to assist firms in determining: - whether they will be performing collective or individual portfolio management and the type of authorisation that is required: https://www.fca.org.uk/publication/documents/collective-versus-individual-portfolio-management.pdf - whether an AIFM should apply to be authorised as a small registered, small authorised or full scope AIFM: https://www.fca.org.uk/publication/documents/authorisation-options-under-aifmd.pdf These forms may be helpful to OFIs considering setting up a UK presence. See also the FCA webpage for guidance from the FCA on authorisations for international firms looking to do business in the UK. In March 2024, the FCA also published an updated version of its approach document on international firms. The webpage set out the FCA’s general approach to international firms providing or seeking to provide financial services that require authorisation in the UK. The FCA explains how it will assess these international firms against minimum standards when they apply for authorisation and during ongoing supervision by the FCA, and its general expectations for these firms.

	The FCA has also provided guidance on good practice and areas for improvement on authorisation and registration applications.
(b) What, if any, presence in your jurisdiction the OFI would need to establish in order to obtain the relevant licence, including:	A branch or a subsidiary of the OFI.
(i) any specific legal form requirements (e.g. a local company or a branch);	
(ii) any requirement to list/register the local presence in a commercial registry or other local register;	Both a subsidiary (a company or a limited liability partnership (LLP)) and a branch (as “an establishment of an overseas company”) must be registered and make filings within one month with Companies House: https://www.gov.uk/topic/company-registration-filing/forms https://www.gov.uk/government/publications/overseas-companies-in-the-uk-registration-filing-and-disclosure-obligations Upon authorisation by the FCA/ PRA, it will appear on the financial services register: https://www.fca.org.uk/firms/financial-services-register .
(iii) any limitations regarding ownership of the local presence;	No, but: – controllers of a regulated firm will be vetted by the FCA/ PRA during the authorisation process and this process can lead to the refusal of permission to take ownership of a UK authorised person beyond certain thresholds https://www.fca.org.uk/firms/authorisation/how-to-apply/financial-services/controller-forms#:~:text=A%20'controller'%20includes%20any%20person,voting%20rights%20or%20partnership%20interests ; – the UK has a regime for registering people with significant control over a company/ LLP. Most persons with significant control are those who hold: more that 25% of shares in the company; more than 25% of voting rights in the company; or the right to appoint or remove the majority of the board of directors. https://www.gov.uk/guidance/people-with-significant-control-pscs .
(iv) any substance requirements that apply to the local presence;	In order to obtain and retain FCA/PRA authorisation, a firm must have “adequate non-financial resources”, including human resources. Specific requirements will depend on the nature and scale

	of the firm's activities; the risk to the continuity of the services provided, or to be provided; and the membership of a group and any effect which that membership may have. A firm's non-financial resources will deemed appropriate taking into consideration: the skill and experience of those who manage the firm's affairs; whether the firm's non-financial resources are sufficient to enable the firm to comply with requirements imposed or potentially imposed by the FCA/PRA or any other requirements to whose contravention the FCA/PRA would be the appropriate regulator. Firms are also expected to have an active place of business in the UK. The firm's UK presence must be more than just a registered address.
(v) any requirements regarding locally employed staff (e.g. minimum number of directors and/or employees, any qualification or notification requirements that apply in respect of such staff); and	Same as (iv). Private companies are required to have at least one director; however, a higher number may be imposed by a company's articles of association. A company director cannot have been disqualified from acting as a company director or an undischarged bankrupt (unless permission have been granted by a court for the director to act for a particular company). A private company is not required to have a company secretary, but can elect to have one. On the application to register a company you must notify Companies House of the details of: the proposed director(s), and the secretary, if it has one; and the directors' service and residential addresses. LLPs must have at least two, formally appointed designated members. A member cannot have been disqualified from acting as a company director or member of an LLP or be an un-discharged bankrupt (unless permission has been granted by a court for the director to act for a particular LLP). On the application to register an LLP each member must include certain information, depending on whether they are an individual or corporate member. All authorised firms (including branches of overseas firms) must comply with the applicable parts of the Senior Managers and Certification Regime (SMCR). Among other requirements, the SMCR requires that any staff member performing a 'senior management function' is approved by the relevant regulator before they start their role. The senior management functions actually requiring approval will depend on the structure of the UK business, the activities that it performs, and whether the firm is a branch or a subsidiary. The FCA and PRA typically expect senior managers who are directly involved in managing the firm's UK activities to spend an adequate and proportionate amount of their time in the UK to ensure those activities are suitably controlled.
(vi) indication of time period and approximate costs to set up/establish local presence;	<u>Incorporating a company</u>

	There are three ways to incorporate a company either by electronic software filing, web services (for companies limited by shares, guarantee) or paper filing. For an LLP, you can only incorporate via an electronic software filing or paper filing. Electronic Filing The standard fee for electronic filing is GBP50 (GBP78 for same day service for applications received by 3pm Mon-Fri). Straightforward applications are normally processed within 24 hours. Web Services The set up fee is GBP50. There is no same day service, but straightforward applications sent using this service are normally processed within 24 hours. Paper Filings The standard registration fee is GBP71. Straightforward applications are normally processed within 5 days of receipt. See also (d) below re cost of obtaining FCA/PRA licence. <u>Registering a branch</u> The only way to register a branch is by submitting a paper form to Companies House (there is no option for electronic submission), which costs GBP71. The following information / forms are required: Form OS IN01 Companies House form OS IN01 will need to be submitted within one calendar month of opening a UK branch. Certain information/documents must be submitted as part of registration which include details of the UK branch's address and business, a certified copy of the company's constitutional documents and a copy of the company's latest accounts (that were prepared and disclosed in accordance with the law applicable to the company) as well as translations where applicable. Post-registration, there are certain ongoing filing obligations (e.g. copies of accounts that have been prepared, disclosed and delivered under the law applicable to the company) and disclosure requirements (e.g. displaying the registered name of the company in every location in which it carries out business, making required disclosures on all business correspondence and details of where the service of legal proceedings may be made).
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	The timeline for this application to be processed is expected to be 4-5 business days but can vary depending on how busy Companies House is at the time. Verification New regulations require certain information about beneficial owners and managing officers of an overseas entity to be verified.
(c) An outline of the procedure involved in obtaining such licence including an indication of the time it would ordinarily take to obtain such licence; and	There are a number of forms and supporting documents to be submitted to the PRA, or FCA (as applicable), as part of the application process. The following page on the FCA website outlines the steps and forms required in order to submit an application for authorisation: https://www.fca.org.uk/firms/authorisation/wholesale-markets. The following page also helps firms identify the prudential requirements that would apply to a UK authorised AIFM: https://www.fca.org.uk/firms/aifmd/apply-authorized-aifm. Prior to submission of an authorisation application, it is generally advisable to have an informal discussion with the PRA/FCA to advise the PRA/FCA of a forthcoming authorisation application submission (a preliminary session). This would also enable the OFI to address any queries raised by the PRA/FCA at an early stage in the application process. Following submission of an application, the PRA or the FCA, as applicable will allocate a case officer to the applicant's application. The PRA/FCA has a statutory assessment period in relation to an authorisation application: the earlier of either: (i) six months after receiving a completed application, or (ii) 12 months after receiving an incomplete application. There is also a proposal in the Leeds Reforms to shorten these periods by two months. <u>Ongoing compliance</u> Once authorised in the UK, OFIs will be included in the UK's Financial Services Register, which will set out its permissions and other basic details, and must comply with all FCA/ PRA rules applicable to it and its business: https://www.handbook.fca.org.uk/handbook/ https://www.prarulebook.co.uk/. The OFI will have significant ongoing compliance obligations, including in respect of regulatory reporting and the payment of periodic fees.

(d) Please specify the approximate costs associated with obtaining such licence (please include initial application cost together with any ongoing fees).	A non-refundable fee must be paid to the PRA/FCA in respect of an application for authorisation. Currently the FCA application fee is GBP11,150 (FEES 3 Annex 1). We note that the applicable fees are subject to change and the latest figures should be consulted before making an application. In addition, advisers' fees will be applicable. There are also periodic fees that must be paid to the PRA/FCA once authorised (which are calculated by reference to the extent of the activities of a PRA/FCA authorised firm).
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11. PENALTIES/SANCTIONS

Questions	Answers
(a) Is it the competent regulator that enforces the applicable laws and/or another body (e.g. the courts)?	Breach of the financial promotion rules or the General Prohibition is a criminal offence and therefore the courts will enforce the applicable laws. Breach of section 85 of the FSMA is a criminal offence; the courts will enforce the applicable laws. Breaches of the regulatory rules are generally enforced by the regulators (i.e. the FCA or the PRA, as the case may be).
(b) Do the possible legal consequences of a breach of applicable laws in relation to the cross-border marketing and sale of Funds and Investment Management & Advisory Services into your jurisdiction include:	The consequences of carrying out unlawful financial promotion/marketing vary, depending on whether the OFI is an Authorised Person or an unauthorised person. Breach of Financial Promotion Restriction Under section 25(1) FSMA, a person who contravenes the Financial Promotion Restriction commits a criminal offence and is liable: (i) on summary conviction, to imprisonment for a term not exceeding six months or a fine not exceeding the statutory maximum, or both; (ii) on conviction on indictment, to imprisonment for a term not exceeding two years or an unlimited fine, or both. The term 'person' means both individuals and legal entities for the purposes of FSMA. The maximum statutory fine is GBP5,000 in England and Wales (section 32, Magistrates' Court Act 1980). It will be a defence if the accused is able to show that he believed on reasonable grounds the content of the communication was prepared, or approved for the purposes of the Financial Promotion Restriction, by an Authorised Person or if he took all reasonable precautions and exercised all due diligence to avoid committing an offence (FSMA section 25(2)). The sanctions that are capable of being imposed may have contractual implications. For example, they may render the contract to be unenforceable or an injunction suspending certain contractual provisions may be granted.

	Any agreements entered into by customers as a result of an unlawful communication, i.e. a communication made in breach of the Financial Promotion Restriction, are likely to be unenforceable under section 30 FSMA. Such customers will be: (i) entitled to recover any money or other property paid or transferred by him under the agreement and compensation for any loss sustained by him as a result; and (ii) able, (to the extent that a person exercises any rights under a <i>controlled investment</i>), to avoid obligations which he is subjected to as a result of exercising such rights and such person will be entitled to recover any money or other property paid or transferred by him under the obligation and to claim compensation for any loss sustained by him as a result. The court may (under sections 380 and 382 FSMA), on application by the FCA, where an unauthorised person has contravened section 21 (or where this is likely to be the case): (i) grant an injunction restraining the contravention; (ii) make an order requiring that person and any other person who appears to have been knowingly concerned in the contravention to take such steps as the court may direct to remedy it; (iii) make an order restraining that person from disposing of or otherwise dealing within any of his assets which that person is reasonably likely to dispose of or deal with; and (iv) make an order requiring that person and any other person who has been knowingly concerned in the contravention, to restore the other party to its position prior to entering into the agreement and to pay such sum as stipulated by the court. Breach of the CIS Promotion Restriction Regulation 53 of the AIFM Regs and section 138D FSMA apply. Any person who has suffered a loss as a result of the breach may take action for damages. Civil claim against the authorised firm is possible. Breach of the General Prohibition A person who contravenes the General Prohibition (section 19 of FSMA) is guilty of a criminal offence and may face up to two years' imprisonment and/or an unlimited fine (section 23(1) of FSMA). Where a company is in breach of the General Prohibition, an officer of the company (including a director, chief executive, secretary and shadow director) will also be guilty of an offence where it was committed with his consent or connivance or as a result of his neglect
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	(section 400(1) of FSMA). It is also a criminal offence under section 24 of FSMA to make false claims to be authorised or exempt, i.e. to falsely 'hold out' oneself as authorised or exempt or to behave in a manner which indicates that one is authorised or exempt. A person found guilty may face up to six months' imprisonment and/or a limited fine. The sanctions that are capable of being imposed may have contractual implications for example they may render the contract to be unenforceable or an injunction suspending certain contractual provisions may be granted. Agreements made by an unauthorised person carrying on a regulated activity in breach of the General Prohibition are unenforceable against the other contracting party (section 26 of FSMA). Agreements made by Authorised Persons in the course of their authorised business may also be unenforceable if the agreement is entered into as a result of a third party's unauthorised regulated activities (section 27 of FSMA). Breach of POATRs Breach of section 85 of FSMA is a criminal offence and a person in breach is liable: (i) on summary conviction, to imprisonment for a term not exceeding three months or a fine not exceeding the statutory maximum, or both; and (ii) on conviction on indictment, to imprisonment for a term not exceeding two years or a fine, or both.
(i) criminal sanctions;	See (b) above.
(ii) other sanctions (e.g. fines, loss of licence, public censure);	See (b) above.
(iii) civil claims; or	See (b) above.
(iv) the transaction to which the activity relates becoming void or voidable (and if voidable, at whose instigation)?	See (b) above.
(c) Please provide details of maximum penalties (e.g. fines). Please state whether these sanctions are applicable to the OFI and/or to directors, officers or employees of the OFI and/or both.	See (b) above.

(d) Please provide the 5 most recent examples (from published reports) of the competent regulator or courts taking action against an OFI in respect of a breach of applicable laws in relation to the cross-border marketing or sale/provision of Funds and Investment Management & Advisory Services to investors in your jurisdiction.

- Financial promotions have been a recent focus of enforcement action by the FCA. While we are not aware of any specific enforcement or other action taken against OFIs other than those outlined below, we note for completeness that the FCA has taken action against London Capital & Finance for misleading financial promotions (see [here](#)) and the U.K.'s Advertising Standards Agency has taken action against HSBC UK Bank plc for misleading advertisements (see [here](#)). According to an FCA press release on 7 February 2025, nearly 20,000 financial promotions were withdrawn or amended in 2024 following intervention from the FCA – nearly double the amount in 2023. There has been a particular focus on cryptoasset. In 2024, the FCA also launched targeted action against “finfluencers”, resulting in 20 people being interviewed under caution.
- On 22 October 2025, the FCA commenced civil proceedings in the High Court of England and Wales against HTX (formerly Huobi) and certain “persons unknown” (intended to cover individuals such as the owners, operators and heads of marketing at HTX), alleging that the exchange unlawfully promoted cryptoasset services to UK consumers in breach of the UK financial promotions regime and section 21 FSMA. HTX is not authorised by the FCA and has appeared on the FCA’s warning list since 2023 ([huobi.com](#) - [htx.com](#) - [HTX \(and/or Huobi Global and/or Huobi\) | FCA](#)). The proceedings remain ongoing. This action underscores the FCA’s continued focus on overseas crypto platforms marketing into the UK without approval.
- On 28 May 2020, the FCA issued first supervisory notices against four Cypriot investment firms (Hoch Capital Ltd, Magnum FX (Cyprus) Ltd, Rodeler Ltd and F1Markets Ltd) to prevent them from continuing to offer high risk CFDs to UK investors. The FCA issued a press release (see [here](#)) in relation to the action taken against the four firms, in which it notes that it appears that these firms used unauthorised celebrity endorsements on social media as part of their marketing. It was the first time the FCA has used its power to remove passporting rights from a firm.
- On 14 May 2021, the FCA issued a first supervisory notice against ICC Intercertus Capital Limited (ICCICL), an investment firm registered in Cyprus which had a deemed Part 4A permission under the TPR to provide investment services to UK customers. ICCICL provided UK customers with the ability to trade CFDs using an online platform. The FCA identified a number of concerns in relation to ICCICL’s activities, including the use of misleading financial promotions, failures to inform customers about the nature and risks of CFDs, applying pressure to invest additional funds, providing advice and direction on what trades to make and failing to allow customers to withdraw funds. The

	notice imposes a number of requirements to prevent ICCICL from conducting regulated activities with or in respect of UK customers, and marketing its products to UK resident individuals. - On 27 July 2021, the FCA issued a first supervisory notice against BDSwiss Holding Plc, an investment firm registered in Cyprus which had a deemed Part 4A permission under the TPR to provide investment services to UK customers as noted in an FCA press release (see here). The BDSwiss group used its UK authorisation to convey legitimacy on the group as a whole and enable group entities which did not have authorisation to provide regulated services in the UK to market and sell CFDs to UK retail customers in breach of the General Prohibition, the Financial Promotion Restriction and the FCA's rules on the marketing and sale of CFDs. BDSwiss group made material use of social media advertising which was found by the FCA, in many cases, to be misleading. The notice requires BDSwiss Holdings Plc to stop conducting any regulated or marketing activities in the UK and to take all reasonable steps to stop other members of the BDSwiss group doing the same. The FCA has also ordered BDSwiss Holdings Plc to close all trading positions and return the money to customers. - In <i>Financial Conduct Authority v Ferreira</i> [2022] EWCA Civ 397, a former company director was ordered to pay restitution under section 382 FSMA after a company contravened section 21 FSMA (which prohibits the communication of an invitation to engage in investment activity in the course of business without authority), having been "knowingly concerned" in such contravention. The company's accountants had approved the company's communications with retail customers for the purposes of section 21(2) FSMA but were not authorised to approve such communications under s.21(2) – they had been tricked by someone else at the company into purporting to do so. The appeal was allowed because, for restitution order purposes, the company director's knowledge of the facts had to include knowledge of the factual circumstance that prevented section 21(2) FSMA from operating.
(e) Please comment on: (i) the attitude of the regulator, courts or other body responsible for enforcement of the applicable laws; and (ii) any accepted or tolerated market practice	Breach of Rules Regarding Financial Promotion The FCA has the power under section 137S FSMA which enables it to ban misleading financial promotions. This power means the FCA can immediately remove promotions from the market, or prevent them from being used in the first place, without going through the enforcement process. We therefore expect the FCA to take a vigilant approach to financial promotion regulation. The FCA takes a risk-based approach to the supervision of compliance with financial promotion rules

and those promotions that pose a significant risk to consumers are generally expected to be investigated further. The FCA has also signalled in recent years that it considers financial promotions to be a key area for possible harm, and as such this is likely to be an area of significant regulatory scrutiny.

In June 2025, the FCA published an updated version of its [enforcement guide](#), which came into force on 3 June 2025. In particular, the FCA has noted that it will generally follow the 'exceptional circumstances' test for announcing investigations into regulated and listed firms. However, the FCA has identified three situations where there was broad support for increased transparency and where that test will no longer apply:

- where it is investigating suspected unauthorised financial services, or a suspected offence relating to unregulated activity, and an announcement will warn consumers or investors or help the investigation;
- where the fact of the investigation has been made public by the subject, an affiliated company or a regulatory body, government or public body; and
- anonymised announcements, not naming or identifying the subject of the investigation, where it would be helpful to educate people on the types of misconduct the FCA is investigating.

The changes will only apply to investigations launched on or after 3 June 2025. The FCA approach to enforcement has been under scrutiny recently, after initial proposals to 'name and shame' persons under investigation were met with industry pushback. See also the FCA [enforcement information guide](#).

The FCA also noted they were striving to improve the time it takes to complete investigations, noting that five of the most recent investigations closed with a public outcome in less than 16 months, as opposed to the average length of 42 months in 2023/2024.

Breach of General Prohibition

Breach of the General Prohibition is a criminal offence and therefore the consequences of such a breach are very serious.

APPENDIX 1

DISCLAIMERS: OPEN-ENDED FUND

A: WRITTEN DISCLAIMERS – PPR

The type of disclaimer/warnings that are required depend on which exemptions are being used in order to market/sell the Open-Ended Fund.

In respect of the HNWI Exemption and the Self-Certified Sophisticated Investor Exemption extra care is required since there are variations in the prescribed wording depending on whether the marketing is being conducted by an unauthorised OFI pursuant to an exemption to the Financial Promotion Restriction or by an authorised OFI pursuant to an exemption to the CIS Promotion Restriction. In addition, where a financial promotion in relation to an NMPI is communicated by an authorised OFI, specific additional regulatory content requirements apply in respect of HNWI individuals and sophisticated investors.

Exemption	Disclaimer Wording
Investment Professionals Exemption	Here is a general rubric which can be inserted into written documents and covers distribution pursuant to the Investment Professionals Exemption (Art 19 FPO/Art 14 CIS Exemptions Order). It also covers distributions pursuant to the High Net Worth Entities Exemption: <i>For the purposes of the United Kingdom Financial Services and Markets Act 2000 (FSMA), the [Fund] is an unregulated collective investment scheme which has not been authorised or recognised by the Financial Conduct Authority (FCA) of the United Kingdom. This issue or distribution of this [document] in the United Kingdom:</i> <i>(a) if being made by a person who is not an authorised person under FSMA, is being made only to, or directed only at, persons falling within one or more of the following exemptions from the financial promotion regime in section 21 FSMA: (i) authorised firms under FSMA and certain other investment professionals falling within article 19 of the FSMA (Financial Promotion) Order 2005 (FPO) and directors, officers and employees acting for such entities in relation to investment; (ii) high value entities falling within article 49 FPO and directors, officers and employees acting for such entities in relation to investment; and (iii) persons who receive this [document] outside the United Kingdom;</i> <i>(b) if being made by a person who is an authorised person under FSMA, is being made only to, or directed only at, persons falling within one or more of the following exemptions from the promotion of unregulated collective investment schemes regime in section 238 FSMA: (i) authorised firms under FSMA and certain other investment professionals falling within Article 14 of the FSMA (Promotion of Collective Investment Schemes) (Exemptions) Order 2001, as amended (CIS Order) and their directors, officers and employees acting for such entities in relation to investment; (ii) high value entities falling within Article 22 of the CIS Order and their directors, officers and employees acting for such entities in relation to investment; (iii) persons to whom it may otherwise lawfully be distributed under the CIS Order or Section 4.12 of the FCA's conduct of business sourcebook.</i> <i>The distribution of this [document] to any other person in the United Kingdom is unauthorised and may contravene FSMA. No person falling outside such categories should treat this [document] as constituting a promotion to them, or rely or act on it for any purposes whatsoever.</i>

High Net Worth Entities Exemption	See Investment Professionals Exemption above for the rubric which applies equally where you are using the High Net Worth Entities Exemption (Art 49 FPO/Art 22 CIS Exemptions Order).
Overseas Communicators Exemption	Article 31 of the FPO applies to non-real time communications but does not specify any particular disclaimer wording. However, we would recommend using the rubric set out above in respect of the Investment Professionals Exemption which incorporates a reference to overseas persons. Other Overseas Communicators Exemptions are not relevant to written marketing since they relate to real time communications only.
HNWI Exemption – Financial Promotion Restriction	If seeking to rely on the HNWI Exemption in respect of the Financial Promotion Restriction, section (a) of the rubric set out above in respect of the Investment Professionals Exemption will need to be adapted so that it states that it covers individuals who fall within the HNWI Exemption under Article 48 FPO. In addition, the following wording/indications must also be included: The following warning should be included: The content of this promotion has not been approved by an authorised person within the meaning of the Financial Services and Markets Act 2000. Reliance on this promotion for the purpose of engaging in any investment activity may expose an individual to a significant risk of losing all of the property or other assets invested. The warning must be accompanied by the following information— (a) the full name of the person making the communication, or on whose behalf the communication is made; (b) a postal or electronic address to which a person should send requests for further information or any other enquiry regarding the matters to which the communication relates; and (c) if applicable— (i) the country or territory in which the person making the communication, or on whose behalf the communication is made, is incorporated; (ii) where different from the information provided under (b), the address of the registered office of the person making the communication, or on whose behalf the communication is made; and (iii) the company number, or unique identification equivalent to a registered number required by the law of the state in which it is incorporated, of the person making the communication, or on whose behalf the communication is made. The following sample wording can be used: This promotion is made by [Full name] which is incorporated in [Country/Territory] whose registered office is at [Address] and with [Company number, or unique identification equivalent to a registered number]. Requests for further information or any other enquiry regarding

the matters to which this communication relates can be sent to [postal/electronic address].

The information should be about the person making the communication, or on whose behalf the communication is made. The information about place of incorporation, registered office and company number only needs to be included if applicable.

The warning and information must:

- (a) be given at the beginning of the communication;
- (b) precede any other written or pictorial matter;
- (c) be in a font size consistent with the text forming the remainder of the communication;
- (d) be indelible;
- (e) be legible;
- (f) be printed in black, bold type;
- (g) be surrounded by a black border which does not interfere with the text of the warning; and
- (h) not be hidden, obscured or interrupted by any other written or pictorial matter.

Where due to the nature of the communication it is not reasonably practicable to include the above warning and information, it should be sent to the recipient of the communication within 2 business days of the day on which the communication was made. In this case, for the words “this promotion” in both places where they occur in the warning, there must be substituted wording which clearly identifies the promotion which is the subject of the warning.

The communication must also be accompanied by the following indications:

- that it is exempt from the Financial Promotion Restriction on the ground that it is made to a high net worth individual;
- the requirements that must be met for an individual to qualify as a high net worth individual; and
- that any individual who is in any doubt about the investment to which the communication relates should consult an authorised person specialising in advising on investments of the kind in question.

The following sample wording can be used:

This communication is exempt from the general restriction (in section 21 of FSMA) on the communication of invitations or inducements to engage in investment activity on the ground that it is made to a high net worth individual.

A person is a high net worth individual if that person is an individual who has completed and signed, within the period of twelve months ending with the day on which this communication is made, a statement complying with Part 1 of Schedule 5 to the FPO whose completion indicates that, in the last financial year, that person had:

- *an annual income of GBP100,000 or more (not including any one-off pension withdrawals); and/or*
- *net assets of GBP250,000 or more (not including: that person’s home (primary residence), any loan secured on it or any equity released from it; that person’s*

	<i>pension (or any pension withdrawals) or any rights under insurance contracts. Net assets are total assets minus any debts the person owes.)</i> <i>Any individual who is in any doubt about the investment to which this communication relates should consult an authorised person specialising in advising on investments of the kind in question.</i>
HNW Individual Exemption – CIS Promotion Restriction	If seeking to rely on the HNWI Exemption in respect of the CIS Promotion Restriction, section (b) of the rubric set out above in respect of the Investment Professionals Exemption will need to be adapted so that it states that it covers individuals who fall within the HNWI Exemption under Article 21 of the CIS Exemptions Order. In addition, the following wording/indications must also be included: The following warning should be included: Reliance on this promotion for the purpose of buying units to which the promotion relates may expose an individual to a significant risk of losing all of the property or other assets invested. The warning must be accompanied by the following information— (a) the full name of the person making the communication, or on whose behalf the communication is made; (b) a postal or electronic address to which a person should send requests for further information or any other enquiry regarding the matters to which the communication relates; and (c) if applicable— (i) the country or territory in which the person making the communication, or on whose behalf the communication is made, is incorporated; (ii) where different from the information provided under (b), the address of the registered office of the person making the communication, or on whose behalf the communication is made; and (iii) the company number, or unique identification equivalent to a registered number required by the law of the state in which it is incorporated, of the person making the communication, or on whose behalf the communication is made. The following sample wording can be used: This promotion is made by [Full name] which is incorporated in [Country/Territory] whose registered office is at [Address] and with [Company number, or unique identification equivalent to a registered number]. Requests for further information or any other enquiry regarding the matters to which this communication relates can be sent to [postal/electronic address]. The information should be about the person making the communication, or on whose behalf the communication is made. The information about place of incorporation, registered office and company number only needs to be included if applicable. The warning and information must: (a) be given at the beginning of the communication;

	(b) precede any other written or pictorial matter; (c) be in a font size consistent with the text forming the remainder of the communication; (d) be indelible; (e) be legible; (f) be printed in black, bold type; (g) be surrounded by a black border which does not interfere with the text of the warning; and (h) not be hidden, obscured or interrupted by any other written or pictorial matter. Where due to the nature of the communication it is not reasonably practicable to include the above warning and information, it should be sent to the recipient of the communication within 2 business days of the day on which the communication was made. In this case, for the words “this promotion” in both places where they occur in the warning, there must be substituted wording which clearly identifies the promotion which is the subject of the warning. The communication must also be accompanied by the following indications: - that it is exempt from the CIS Promotion Restriction on the grounds that it is made to a high net worth individual; - the requirements that must be met for an individual to qualify as a high net worth individual; and - that any individual who is in any doubt about the units to which the communication relates should consult an authorised person specialising in advising in participation in unregulated schemes. The following sample wording can be used: <i>This communication is exempt from the restriction on the promotion of unregulated schemes (in section 238 of FSMA) on the grounds that it is made to a high net worth individual.</i> <i>A person is a high net worth individual, if that person is an individual who has completed and signed, within the period of twelve months ending with the day on which this communication is made, a statement complying with Part 1 of the Schedule to the CIS Order whose completion indicates that, in the last financial year, that person had:</i> <i>an annual income of GBP100,000 or more (not including any one-off pension withdrawals); and/or</i> <i>net assets of GBP250,000 or more (not including: that person’s home (primary residence), any loan secured on it or any equity released from it; that person’s pension (or any pension withdrawals) or any rights under insurance contracts. Net assets are total assets minus any debts the person owes.</i> <i>Any individual who is in any doubt about the units to which this communication relates should consult an authorised person specialising in advising in participation in unregulated schemes.</i>
Self-Certified Sophisticated Investor Exemption-Financial	If seeking to rely on the Self-Certified Sophisticated Investor Exemption in respect of the Financial Promotion Restriction, section (a) of the rubric set out above in respect of the Investment Professionals Exemption will need to be adapted so that it states that it covers investors who fall within the Self-Certified Sophisticated Investor Exemption under Article 50A of the FPO.

<u>Promotion</u> <u>Restriction</u>	In addition, the following wording/indications must also be included: The following warning should be included: The content of this promotion has not been approved by an authorised person within the meaning of the Financial Services and Markets Act 2000. Reliance on this promotion for the purpose of engaging in any investment activity may expose an individual to a significant risk of losing all of the property or other assets invested. The warning must be accompanied by the following information— (a) the full name of the person making the communication, or on whose behalf the communication is made; (b) a postal or electronic address to which a person should send requests for further information or any other enquiry regarding the matters to which the communication relates; and (c) if applicable— (i) the country or territory in which the person making the communication, or on whose behalf the communication is made, is incorporated; (ii) where different from the information provided under (b), the address of the registered office of the person making the communication, or on whose behalf the communication is made; and (iii) the company number, or unique identification equivalent to a registered number required by the law of the state in which it is incorporated, of the person making the communication, or on whose behalf the communication is made. The following sample wording can be used: This promotion is made by [Full name] which is incorporated in [Country/Territory] whose registered office is at [Address] and with [Company number, or unique identification equivalent to a registered number]. Requests for further information or any other enquiry regarding the matters to which this communication relates can be sent to [postal/electronic address]. The information should be about the person making the communication, or on whose behalf the communication is made. The information about place of incorporation, registered office and company number only needs to be included if applicable. The warning and information must: (a) be given at the beginning of the communication; (b) precede any other written or pictorial matter; (c) be in a font size consistent with the text forming the remainder of the communication; (d) be indelible; (e) be legible; (f) be printed in black, bold type;
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	(g) be surrounded by a black border which does not interfere with the text of the warning; and (h) not be hidden, obscured or interrupted by any other written or pictorial matter. Where due to the nature of the communication it is not reasonably practicable to include the above warning and information, it should be sent to the recipient of the communication within 2 business days of the day on which the communication was made. In this case, for the words “this promotion” in both places where they occur in the warning, there must be substituted wording which clearly identifies the promotion which is the subject of the warning. The communication must also be accompanied by the following indications: • that it is exempt from the Financial Promotion Restriction on the ground that it is made to a self-certified sophisticated investor; • the requirements that must be met for an individual to qualify as a self-certified sophisticated investor; and • that any individual who is in any doubt about the investment to which the communication relates should consult an authorised person specialising in advising on investments of the kind in question. The following sample wording can be used: <i>This communication is exempt from the general restriction (in section 21 FSMA) on the communication of invitations or inducements to engage in investment activity on the ground that it is made to a self-certified sophisticated investor.</i> <i>A person is a self-certified sophisticated investor, if that person is an individual who has completed and signed, within the period of twelve months ending with the day on which this communication is made, a statement complying with Part 2 of Schedule 5 to the FPO whose completion indicates that the person meets one of the conditions below:</i> • <i>the person has worked in a professional capacity in the private equity sector, or in the provision of finance for small and medium enterprises, in the last two years;</i> • <i>the person has been the director of a company with an annual turnover of at least GBP1 million, in the last two years;</i> • <i>the person has made two or more investments in an unlisted company, in the last two years; or</i> • <i>the person has been a member of a network or syndicate of business angels for more than six months, and is still a member.</i> <i>Any individual who is in any doubt about the investment to which this communication relates should consult an authorised person specialising in advising on investments of the kind in question.</i>
Self-Certified Sophisticated Investor Exemption – <u>CIS Promotion Restriction</u>	If seeking to rely on the Self-Certified Sophisticated Investor Exemption in respect of the CIS Promotion Restriction, section (b) of the rubric set out above in respect of the Investment Professionals Exemption will need to be adapted so that it states that it covers investors who fall within the Self-Certified Sophisticated Investor Exemption under Article 23A of the CIS Exemptions Order. In addition, the following wording/indications must also be included: The following warning should be included:

Reliance on this promotion for the purpose of buying the units to which the promotion relates may expose an individual to a significant risk of losing all of the property or other assets invested.

The warning must be accompanied by the following information—

- (a) the full name of the person making the communication, or on whose behalf the communication is made;
- (b) a postal or electronic address to which a person should send requests for further information or any other enquiry regarding the matters to which the communication relates; and
- (c) if applicable—
 - (i) the country or territory in which the person making the communication, or on whose behalf the communication is made, is incorporated;
 - (ii) where different from the information provided under (b), the address of the registered office of the person making the communication, or on whose behalf the communication is made; and
 - (iii) the company number, or unique identification equivalent to a registered number required by the law of the state in which it is incorporated, of the person making the communication, or on whose behalf the communication is made.

The following sample wording can be used:

This promotion is made by [Full name] which is incorporated in [Country/Territory] whose registered office is at [Address] and with [Company number, or unique identification equivalent to a registered number]. Requests for further information or any other enquiry regarding the matters to which this communication relates can be sent to [postal/electronic address].

The information should be about the person making the communication, or on whose behalf the communication is made. The information about place of incorporation, registered office and company number only needs to be included if applicable.

The warning and information must:

- (a) be given at the beginning of the communication;
- (b) precede any other written or pictorial matter;
- (c) be in a font size consistent with the text forming the remainder of the communication;
- (d) be indelible;
- (e) be legible;
- (f) be printed in black, bold type;
- (g) be surrounded by a black border which does not interfere with the text of the warning; and
- (h) not be hidden, obscured or interrupted by any other written or pictorial matter.

Where due to the nature of the communication it is not reasonably practicable to include the above warning and information, it should be sent to the recipient of the

	communication within 2 business days of the day on which the communication was made. In this case, for the words “this promotion” in both places where they occur in the warning, there must be substituted wording which clearly identifies the promotion which is the subject of the warning. The communication must also be accompanied by the following indications: • that it is exempt from the CIS Promotion Restriction on the ground that it is made to a self-certified sophisticated investor; • the requirements that must be met for an individual to qualify as a self-certified sophisticated investor; and • that any individual who is in any doubt about the investment to which the invitation or inducement relates should consult an authorised person specialising in advising on investments of the kind in question. The following sample wording can be used: <i>This communication is exempt from the restriction on the promotion of unregulated schemes (in section 238 of FSMA) on the ground that it is made to a self-certified sophisticated investor.</i> <i>A person a self-certified sophisticated investor, if the person is an individual who has completed and signed, within the period of twelve months ending with the day on which this communication is made, a statement complying with Part 2 of the Schedule to the CIS Order whose completion indicates that the person meets one of the conditions below:</i> • <i>the person has worked in a professional capacity in the private equity sector, or in the provision of finance for small and medium enterprises, in the last two years;</i> • <i>the person has been the director of a company with an annual turnover of at least GBP1 million, in the last two years;</i> • <i>the person has made two or more investments in an unlisted company, in the last two years; or</i> • <i>the person has been a member of a network or syndicate of business angels for more than six months, and is still a member.</i> <i>Any individual who is in any doubt about the investment to which this invitation or inducement relates should consult an authorised person specialising in advising on investments of the kind in question.</i>
Approval by Authorised Financial Promotion Approver Exclusion	When relying on the Approval by Authorised Financial Promotion Approver Exclusion, a statement should be included in the financial promotion stating that: <i>This [document] has been approved for the purposes of s.21 FSMA by an authorised person.</i>

NMPI RESTRICTION – FOR AUTHORISED PERSONS MARKETING TO HNWI INDIVIDUALS AND SOPHISTICATED INVESTORS

The below risk warnings and risk summaries must be included in financial promotions made by Authorised Persons to HNWI and Self-Certified Sophisticated Investors which relate to NMPIs. **These warnings and disclaimers should be included in addition to the warnings for HNWI and Self-Certified Sophisticated Investors under the exemptions to the CIS Promotion Restriction. The requirements relating to the marketing of high-risk investments to retail investors in the UK are highly complex. OFIs who are**

seeking to market high-risk investments to retail investors, including through intermediaries that are Authorised Persons, may wish to seek legal advice.

Exemption	Disclaimer Wording
HNW Individuals and Self-Certified Sophisticated Investors – Written Materials	[Client's Name] Don't invest unless you're prepared to lose all the money you invest. This is a high-risk investment and you are unlikely to be protected if something goes wrong. All financial promotions relating to NMPIs (excluding long term asset funds or closed-ended investment funds with a premium listing under the UK listing rules), that are communicated to HNWI and self-certified sophisticated investors must contain the following warning: Where the investor is a first-time investor, their full name must be included in the risk warning, which should be sent to them before or during the cooling-off period. "Estimated reading time: 2 min Due to the potential for losses, the Financial Conduct Authority (FCA) considers this investment to be very complex and high risk. What are the key risks? 1. You could lose all the money you invest • If the business offering this investment fails, there is a high risk that you will lose all your money. Businesses like this often fail as they usually use risky investment strategies. • Advertised rates of return aren't guaranteed. This is not a savings account. If the issuer doesn't pay you back as agreed, you could earn less money than expected or nothing at all. A higher advertised rate of return means a higher risk of losing your money. If it looks too good to be true, it probably is. • These investments are very occasionally held in an Innovative Finance ISA (IFISA). While any potential gains from your investment will be tax free, you can still lose all your money. An IFISA does not reduce the risk of the investment or protect you from losses. 2. You are unlikely to be protected if something goes wrong • This investment is not regulated by the FCA. Protection from the Financial Services Compensation Scheme (FSCS) only considers claims against failed regulated firms. Learn more about FSCS protection here. 3. You are unlikely to get your money back quickly • This type of business could face cash-flow problems that delay payments to investors. It could also fail altogether and be unable to repay any of the money owed to you. • You are unlikely to be able to cash in your investment early by selling your investment. In the rare circumstances where it is possible to sell your investment in a 'secondary market', you may not find a buyer at the price you are willing to sell.

	- You may have to pay exit fees or additional charges to take any money out of your investment early. 4. This is a complex investment - This kind of investment has a complex structure based on other risky investments, which makes it difficult for the investor to know where their money is going. - This makes it difficult to predict how risky the investment is, but it will most likely be high. - You may wish to get financial advice before deciding to invest. 5. Don't put all your eggs in one basket - Putting all your money into a single business or type of investment for example, is risky. Spreading your money across different investments makes you less dependent on any one to do well. - A good rule of thumb is not to invest more than 10% of your money in <u>high-risk</u> investments. If you are interested in learning more about how to protect yourself, visit the FCA's website. For further information about unregulated collective investment schemes (UCIS), visit the FCA's website." The financial promotion must not contain any design features which have the effect of reducing the visibility or prominence of the risk warning or risk summary such as faded text or font size smaller than the standard size used in the promotion.
HNW Individuals and Self-Certified Sophisticated Investors – Digital Materials	All digital financial promotions relating to NMPIs (excluding long-term asset funds and closed-ended investment funds with a premium listing under the UK listing rules), that are communicated to HNWIs and self-certified sophisticated investors must contain the following warning: Where the investor is a first-time investor, their full name must be included in the risk warning, which should be sent to them before or during the cooling-off period. All financial promotions must be accompanied by the below risk summary: [Client's Name] Don't invest unless you're prepared to lose all the money you invest. This is a high-risk investment and you are unlikely to be protected if something goes wrong. [Take 2 mins to learn more.] "Estimated reading time: 2 min Due to the potential for losses, the Financial Conduct Authority (FCA) considers this investment to be very complex and high risk. What are the key risks? 1. You could lose all the money you invest - If the business offering this investment fails, there is a high risk that you will lose all your money. Businesses like this often fail as they usually use risky investment strategies. - Advertised rates of return aren't guaranteed. This is not a savings account. If the issuer doesn't pay you back as agreed, you could earn less money than expected or nothing at all. A higher advertised rate

	of return means a higher risk of losing your money. If it looks too good to be true, it probably is. - These investments are very occasionally held in an Innovative Finance ISA (IFISA). While any potential gains from your investment will be tax free, you can still lose all your money. An IFISA does not reduce the risk of the investment or protect you from losses. 2. You are unlikely to be protected if something goes wrong - This investment is not regulated by the FCA. Protection from the Financial Services Compensation Scheme (FSCS) only considers claims against failed regulated firms. Learn more about FSCS protection here. [https://www.fscs.org.uk/what-we-cover/investments/] 3. You are unlikely to get your money back quickly - This type of business could face cash-flow problems that delay payments to investors. It could also fail altogether and be unable to repay any of the money owed to you. - You are unlikely to be able to cash in your investment early by selling your investment. In the rare circumstances where it is possible to sell your investment in a 'secondary market', you may not find a buyer at the price you are willing to sell. - You may have to pay exit fees or additional charges to take any money out of your investment early. 4. This is a complex investment - This kind of investment has a complex structure based on other risky investments, which makes it difficult for the investor to know where their money is going. - This makes it difficult to predict how risky the investment is, but it will most likely be high. - You may wish to get financial advice before deciding to invest. 5. Don't put all your eggs in one basket - Putting all your money into a single business or type of investment for example, is risky. Spreading your money across different investments makes you less dependent on any one to do well. - A good rule of thumb is not to invest more than 10% of your money in high-risk investments. [https://www.fca.org.uk/investsmart/5-questions-ask-you-invest] If you are interested in learning more about how to protect yourself, visit the FCA's website here. [https://www.fca.org.uk/investsmart] For further information about unregulated collective investment schemes (UCIS), visit the FCA's website here. [https://www.fca.org.uk/consumers/unregulated-collective-investment-schemes]" Where the financial promotion is made via a website or a mobile application, the warning must:
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	• be statically fixed and visible at the top of the screen, below anything else that also stays static, even when the recipient scrolls up or down the webpage; • be included as described above on each linked webpage on the website or page on the application relating to the investment; and • "Take 2 mins to learn more" language should include a hyperlink to the risk summary below. Digital risk summaries must be: • prominently brought to the recipient's attention, taking into account the content, size and orientation of the communication as a whole; • clearly legible, contained within its own border and with bold and underlined text as indicated above; • statically fixed and visible in the middle of the screen; and • the main focus of the screen. The financial promotion must not contain any design features which have the effect of reducing the visibility or prominence of the risk warning or risk summary such as faded text or font size smaller than the standard size used in the promotion.
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Under COBS 4.12B.13R, the risk summary may be amended if there is a valid reason for each amendment, which is recorded. Any alternative or additional text must be in plain English and the amended risk summary cannot take longer than around 2 minutes to read. Examples of valid reasons include, but are not limited to:

- the relevant part of the standard risk summary would be misleading;
- the relevant part of the risk summary would be irrelevant in relation to the particular investment;
- the risk summary does not include a risk relevant to the investment and it is appropriate for that further risk to be included; and
- the sole purpose of the relevant statement in the risk summary is to incorporate a hyperlink and the medium of communication does not permit the incorporation of a link.

B: ORAL DISCLAIMERS – PPR

The type of disclaimer/warnings that are required depend on which exemptions are being used in order to market/sell the Open-Ended Fund.

In respect of the HNWI Exemption and the Self-Certified Sophisticated Investor Exemption extra care is required since there are variations in the prescribed wording depending on whether the marketing is being conducted by an unauthorised OFI pursuant to an exemption to the Financial Promotion Restriction or by an authorised OFI pursuant to an exemption to the CIS Promotion Restriction.

Exemption	Disclaimer Wording
Investment Professionals Exemption	If relying on the Investment Professionals Exemption (Art 19 FPO/Art 14 CIS Exemptions Order), no oral disclaimer is required. Marketing by telephone or at a face-to-face meeting will always be ‘made to’ persons rather than ‘directed at’ given that the end receipt will be known and therefore the prescribed warning/indications for this exemption are not required since they apply to communications which are ‘directed at’ persons only.
High Net Worth Entities Exemption	If relying on the High Net Worth Entities Exemption (Art 49 FPO/Art 22 CIS Exemptions Order), no oral disclaimer is required, as per Investment Professionals Exemption above.
Overseas Communicators Exemption	Article 30 FPO/Article 9 CIS Exemptions Order No specific oral disclaimer is required, however, it is good practice to say the basis of the call and that the overseas communicators exemption is being relied upon. Article 32 FPO/Article 10 CIS Exemptions Order When relying on the overseas communicators exemption under Article 32 FPO or Article 10 CIS Exemptions Order the OFI must have informed the previously overseas customer on an <u>earlier</u> occasion that: <i>that the protections conferred by or under FSMA will not apply to any unsolicited real time communication which is made by the overseas communicator and which relates to that investment activity;</i> <i>that the protections conferred by or under FSMA may not apply to any investment activity that may be engaged in as a result of the communication; and</i> <i>whether any transaction between them resulting from the communication would fall within the jurisdiction of any dispute resolution scheme or compensation scheme or, if there is no such scheme, of that fact.</i> Article 33 FPO When relying on the overseas communicators exemption under Article 33 FPO the OFI must have informed the customer on an earlier occasion: <i>that the protections conferred by or under FSMA will not apply to any unsolicited real time communication which is made by him and which relates to that activity;</i> <i>that the protections conferred by or under FSMA may not apply to any investment activity that may be engaged in as a result of the communication; and</i>

	<i>whether any transaction between them resulting from the communication would fall within the jurisdiction of any dispute resolution scheme or compensation scheme or, if there is no such scheme, of that fact.</i>
HNWI Exemption – Financial Promotion Restriction	If relying on the HNWI Exemption pursuant to Article 48 of the FPO, the following warning should be given to the recipient orally at the beginning of the communication together with an indication that he will receive the warning in legible form and that, before receipt of that warning, he should consider carefully any decision to engage in investment activity to which the communication relates: <i>The content of this promotion has not been approved by an authorised person within the meaning of the Financial Services and Markets Act 2000. Reliance on this promotion for the purpose of engaging in any investment activity may expose an individual to a significant risk of losing all of the property or other assets invested.</i> Where due to the nature of the communication it is not reasonably practicable to include the above warning, it should be sent to the recipient of the communication within 2 business days of the day on which the communication was made.
HNWI Exemption – CIS Promotion Restriction	If relying on the HNWI Exemption pursuant to Article 21 of the CIS Exemptions Order, the following warning should be given to the recipient orally at the beginning of the communication together with an indication that he will receive the warning in legible form and that, before receipt of that warning, he should consider carefully any decision to participate in a collective investment scheme to which the communication relates: <i>Reliance on this promotion for the purpose of buying the units to which the promotion relates may expose an individual to a significant risk of losing all of the property or other assets invested.</i> Where due to the nature of the communication it is not reasonably practicable to include the above warning, it should be sent to the recipient of the communication within 2 business days of the day on which the communication was made. See also the HNWI Exemption pursuant to the NMPI Restriction above.
Self-Certified Sophisticated Investor Exemption – Financial Promotion Restriction	If relying on the Self-Certified Sophisticated Investor Exemption pursuant to Article 50A of the FPO, see HNWI Exemption – Financial Promotion Restriction above for the wording which applies equally where you are using the Self-Certified Sophisticated Investor Exemption.
Self-Certified Sophisticated Investor Exemption – CIS Promotion Restriction	If relying on the Self-Certified Sophisticated Investor Exemption pursuant to Article 23A of the CIS Exemptions Order, see HNWI Exemption – CIS Promotion Restriction above for the wording which applies equally where you are using the Self-Certified Sophisticated Investor Exemption. See also the Self-Certified Sophisticated Investor Exemption pursuant to the NMPI Restriction above.

C: DISCLAIMERS – RETAIL INVESTORS

Fund recognised under section 272 of FSMA	<i>The [Fund] has been registered as a “recognised scheme” for the purposes of Section 272 of the Financial Services and Markets Act 2000 (FSMA) of the United Kingdom and [shares/units/interests] in the [Fund] may upon such registration be promoted and sold in the United Kingdom subject to compliance with FSMA and applicable regulations under FSMA. Potential investors in the United Kingdom should be aware that most of the protections afforded by the United Kingdom regulatory system will not apply to an investment in the [Fund] and that compensation will not be available under the United Kingdom Financial Services Compensation Scheme. [This [document] has been prepared in accordance with the rules contained in COLL which forms part of the Financial Conduct Authority Handbook of Rules and Guidance and complies with the requirements of COLL 4.2 of COLL.]¹⁰ [Interests in the [Fund] may only be promoted to the UK public by persons authorised to carry on investment business in the UK.]¹¹</i> <i>The [Fund] is based overseas and is not subject to UK sustainable investment labelling and disclosure requirements.</i>
Funds recognised under the OFR	<i>This product is based overseas and is not subject to UK sustainable investment labelling and disclosure requirements.</i> ¹²Scenario 1 – UCITS / management company / depositary all established and authorised in same member state <i>1. This [Fund] is domiciled in {insert country name} and is authorised by {insert regulator name}. The [Fund] is recognised in the UK under the Overseas Funds Regime but is not a UK-authorized fund.</i> <i>2. UK investors should be aware that if they invest in this [Fund], they [will not / may not] be able to refer a complaint against its [Management Company] or its depositary to the UK’s Financial Ombudsman Service. Any claims for losses relating to the [Management Company] or the depositary will not be covered by the Financial Services Compensation Scheme, in the event that either person should become unable to meet its liabilities to investors.</i> <i>3. [insert option A, B, C or D below as appropriate]</i> <i>Option A – no / limited access to either an ADR mechanism or a compensation scheme outside the UK</i> <i>A UK investor will be able to make a complaint to the [Fund] and its [Management Company], but [will not / may not] have a right to access any independent redress mechanisms in {insert country name}.</i> OR

¹⁰ Sentence in brackets not applicable to schemes managed and authorised in Guernsey, Jersey, or the Isle of Man, providing the applicable prospectus contains corresponding matter required under the law in its home territory.

¹¹ Only relevant where all marketing communications in the UK in respect of a s.272 recognised scheme will be made by an FCA-authorized person.

¹² Note that the FCA has said that, if the addition of the OFR disclosures set out below into any of the Fund documents would require approval from the national competent authority responsible for authorising and supervising the Fund, this approval must be obtained **before** the Fund can make its OFR application to the FCA. This should therefore be factored into the OFR application planning and, in the case of a TMRP Fund, sought as soon as possible during the allocated landing slot allocated.

Option B – access to an ADR mechanism outside the UK but not to a compensation scheme

A UK investor will be able to make a complaint to the [Fund] and its [Management Company], and [some / all] investors will have a right to access the alternative dispute resolution scheme in {insert country name}. A UK investor [will not / may not] have a right to access a compensation scheme in {insert country name} in the event that either the [Fund]'s [Management Company] or the depositary should become unable to meet its liabilities to investors.

OR

Option C – access to a compensation scheme outside the UK but not to an ADR mechanism

A UK investor will be able to make a complaint to the [Fund] and its [Management Company], but [will not / may not] have a right to access an alternative dispute resolution scheme in {insert country name}. [Some / all] UK investors will have a right to access the compensation scheme in {insert country name} in the event that either the [Fund]'s [Management Company] or the depositary should become unable to meet its liabilities to investors.

OR

Option D – access to both an ADR mechanism and a compensation scheme outside the UK

A UK investor will be able to make a complaint to the [Fund] and its [Management Company], and [some / all] investors will have a right to access the alternative dispute resolution scheme in {insert country name}. [Some / all] UK investors will have a right to access the compensation scheme in {insert country name} in the event that either the [Fund]'s [Management Company] or the depositary should become unable to meet its liabilities to investors.

4. UK investors may contact {name of facilities agent} which will provide details on request of how to make a complaint, and what rights if any are available to them under an alternative dispute resolution scheme or a compensation scheme.

OR

Scenario 2 – UCITS management company established and authorised in a different member state to the state in which the UCITS is established and authorised.

1. This [Fund] is domiciled in {insert country name} and is authorised by {insert regulator name}. The [Fund] is recognised in the UK under the Overseas Funds Regime but is not a UK-authorised fund. The [Fund] is managed by {insert name of management company} which is domiciled in {insert country name} and is authorised by {insert regulator name}.

2. UK investors should be aware that if they invest in this [Fund], they [will not / may not] be able to refer a complaint against its [Management Company] or its depositary

to the UK's Financial Ombudsman Service. Any claims for losses relating to the [Management Company] or the depositary will not be covered by the Financial Services Compensation Scheme, in the event that either person should become unable to meet its liabilities to investors.

3. [insert option A, B, C or D below as appropriate]

Option A – no / limited access to either an ADR mechanism or a compensation scheme outside the UK

A UK investor will be able to make a complaint to the [Fund] and its [Management Company], but [will not / may not] have a right to access any independent redress mechanisms in {insert country names}

OR

Option B – access to an ADR mechanism outside the UK but not to a compensation scheme

A UK investor will be able to make a complaint to the [Fund] [and the [Management Company]], and [some / all] investors will have a right to access the alternative dispute resolution scheme(s) in {insert country name(s)}. A UK investor [will not / may not] have a right to access a compensation scheme in {insert country name(s)} in the event that either the [Fund]'s [Management Company] or the depositary should become unable to meet its liabilities to investors.

OR

Option C – access to a compensation scheme outside the UK but not to an ADR mechanism

A UK investor will be able to make a complaint to the [Fund] [and the [Management Company]], but [will not / may not] have a right to access an alternative dispute resolution scheme in {insert country name(s)}. [Some / all] UK investors will have a right to access the compensation scheme in {insert country name(s)} in the event that either the [Fund]'s [Management Company] or the depositary should become unable to meet its liabilities to investors.

OR

Option D – access to both an ADR mechanism and a compensation scheme outside the UK

A UK investor will be able to make a complaint to the [Fund] [and the [Management Company]], and [some / all] investors will have a right to access the alternative dispute resolution scheme in {insert country name(s)}. [Some / all] UK investors will have a right to access the compensation scheme in {insert country name(s)} in the event that either the [Fund]'s [Management Company] or the depositary should become unable to meet its liabilities to investors.

	4 UK investors may contact {name of facilities agent} which will provide details on request of how to make a complaint, and what rights if any are available to them under an alternative dispute resolution scheme or a compensation scheme.
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D: DISCLAIMERS – TMPR - AIFs

The TMPR only applies to the activity of “Marketing Requiring Notification” and only until the end of the TMPR Period. Since it is possible to conduct marketing activities which do not amount to Marketing Requiring Notification but which nevertheless need to comply with the UK’s financial promotion rules it is recommended that the same disclaimers be used as set out in Appendix 1.A. and 1.B. above.

In addition, if an EEA AIF is being marketed under the TMPR before the end of the TMPR Period, the following additional disclaimer could be added (but is not a requirement):

The [Fund] is an alternative investment fund that has been notified for marketing in the UK pursuant to regulation 59 of the Alternative Investment Fund Managers Regulations 2013, as amended by the Alternative Investment Fund Managers (Amendment etc.) (EU Exit) Regulations 2019, as may be amended.

E: DISCLAIMERS – TMPR - UCITS Funds

[The [Fund] is an EEA UCITS that has applied for temporary recognition pursuant to regulation 62 of The Collective Investment Schemes (Amendment etc.) (EU Exit) Regulations 2019, as may be amended, for the purposes of part 17 of the UK Financial Services and Markets Act 2000, as amended.]¹³

[Interests in the [Fund] may only be promoted to the UK public by persons authorised to carry on investment business in the UK.]¹⁴ OR [This [document] constitutes a financial promotion under section 21 of the FSMA, and has been approved by [●] who is authorised and regulated by the Financial Conduct Authority to carry on regulated activities in the UK and is subject to the rules of the Financial Conduct Authority.]¹⁵ OR [Insert relevant wording from Appendix 1.A. above.]¹⁶

[This [Fund] is based overseas and is not subject to UK sustainable investment labelling and disclosure requirements.]¹⁷

In addition, following the end of the TMPR Period, the Prospectus will need to include the disclosures required under UK AIFM Regs). There is no set format required for these disclosures, but each of the relevant disclosures must be included (and this is typically done by fund managers as a separate appendix/schedule). For further details please see: <https://www.handbook.fca.org.uk/handbook/FUND/3/2.html>

F: DISCLAIMERS – MARKETING PASSPORTS AND MUTUAL RECOGNITION SCHEMES

We recommend seeking advice on a case-by-case basis on the appropriate disclaimer language under the HK-UK Mutual Recognition framework.

¹³ Note: Only relevant during the TMPR Period where the UCITS has applied under the TMPR. Once the EEA UCITS has become a “recognised scheme” under s 272 of FSMA or becomes authorised under the OFR, the relevant disclaimer in Appendix 1.C. should be used.

¹⁴ Note: Only relevant where all marketing communications in the UK in respect of the UCITS (which is under the TMPR or is a s.272 recognised scheme) will be made by an FCA-authorised person. This route and the route in footnote 19 below are generally the only routes available if the UCITS is looking to market to retail investors in the UK.

¹⁵ Note: Only relevant if the UCITS (which is under the TMPR or is a s.272 recognised scheme) is relying on each communication being approved by an FCA-authorised person as an exemption from s 21 of the FSMA. This route and the route in footnote 18 above are generally the only routes available if the UCITS is looking to market to retail investors in the UK.

¹⁶ Note: Only required if the person marketing the UCITS is not an authorised person, i.e. if the exemptions set out in Appendix 1.A. to the financial promotion rules will be relied upon.

¹⁷ Note: Only required where the UCITS is being distributed to retail clients.

APPENDIX 2

DISCLAIMERS: CLOSED-ENDED FUND

A: WRITTEN DISCLAIMERS - PPR

See Written Disclaimers for Open-Ended Funds in Appendix 1.A., which apply equally to Closed-Ended Funds. However, note that an alternative rubric to that set out in respect of the Investment Professionals Exemption and High Net Worth Entities applies in respect of Closed-Ended Funds as follows:

For the purposes of the United Kingdom Financial Services and Markets Act 2000 (FSMA), the [Fund] is an unregulated collective investment scheme which has not been authorised or recognised by the Financial Conduct Authority (FCA) of the United Kingdom. This issue or distribution of this [document] in the United Kingdom:

(a) if being made by a person who is not an authorised person under FSMA, is being made only to, or directed only at persons falling within one or more of the following exemptions from the financial promotion regime in section 21 FSMA: (i) authorised firms under FSMA and certain other investment professionals falling within article 19 of the FSMA (Financial Promotion) Order 2005 (FPO) and directors, officers and employees acting for such entities in relation to investment; (ii) high value entities falling within article 49 FPO and directors, officers and employees acting for such entities in relation to investment; and (iii) persons who receive this [document] outside the United Kingdom;

(b) if being made by a person who is an authorised person under FSMA, is being made only to, or directed only at persons falling within one or more of the following exemptions from the promotion of unregulated collective investment schemes regime in section 238 FSMA: (i) authorised firms under FSMA and certain other investment professionals falling within Article 14 of the FSMA (Promotion of Collective Investment Schemes) (Exemptions) Order 2001, as amended (CIS Order) and their directors, officers and employees acting for such entities in relation to investment; (ii) high value entities falling within Article 22 of the CIS Order and their directors, officers and employees acting for such entities in relation to investment; (iii) persons to whom it may otherwise lawfully be distributed under the CIS Order or Section 4.12 of the FCA's conduct of business sourcebook.

The distribution of this [document] to any other person in the United Kingdom is unauthorised and may contravene FSMA. No person falling outside such categories should treat this [document] as constituting a promotion to them, or rely or act on it for any purposes whatsoever.

Pursuant to the Public Offers and Admissions to Trading Regulations 2024 (the POATRs), any offer which may be made of [interests] in the [Fund] will be: (i) made to or directed at qualified investors only; (ii) made to or directed at fewer than 150 persons, other than qualified investors, in the UK; (iii) made on the basis that the minimum consideration payable by an investor in the Fund will not be less than GBP 100,000 (or the equivalent amount); or (iv) made in any other circumstances which are permitted by the POATRs or as otherwise permitted by applicable law.

B: ORAL DISCLAIMERS – PPR

See Oral Disclaimers for Open-Ended Funds in Appendix 1.B., which apply equally to Closed-Ended Funds.

C: DISCLAIMERS – RETAIL INVESTORS

No disclaimers are applicable since it is most unlikely that the FCA will recognise a Closed-Ended Fund for marketing or sale to the public pursuant to section 272 of FSMA or under the OFR.

D: DISCLAIMERS – TMPR -AIFs

The TMPR only applies to the activity of “Marketing Requiring Notification” and only until the end of the TMPR Period. Since it is possible to conduct marketing activities which do not amount to Marketing Requiring Notification but which nevertheless need to comply with the UK’s financial promotion rules it is recommended that the same disclaimers be used as described in Appendix 2.A. and 2.B above.

In addition, if an EEA AIF is being marketed under the TMPR before the end of the TMPR Period, the following additional disclaimer could be added (but is not a requirement):

The [Fund] is an alternative investment fund that has been notified for marketing in the UK pursuant to regulation 59 of the Alternative Investment Fund Managers Regulations 2013, as amended by the Alternative Investment Fund Managers (Amendment etc.) (EU Exit) Regulations 2019, as may be amended.

E: DISCLAIMERS – OTHER MARKETING PASSPORTS AND MUTUAL RECOGNITION SCHEMES

We recommend seeking advice on a case-by-case basis on the appropriate disclaimer language under the HK-UK Mutual Recognition framework.

APPENDIX 3

DISCLAIMERS: INVESTMENT MANAGEMENT & ADVISORY SERVICES

A: WRITTEN DISCLAIMERS

The type of disclaimer/warnings that are required depend on which exemptions are being used in order to market/provide the Investment Management & Advisory Services.

Exemption	Disclaimer Wording
Investment Professionals Exemption	No specific rubric is required for financial promotions of Investment Management & Advisory Services to Investment Professionals by Authorised Persons. For OFIs that are not Authorised Persons, here is a general rubric which can be inserted into written documents and covers distribution pursuant to the Investment Professionals Exemption (Art 19 FPO). It also covers distributions pursuant to the High Net Worth Entities Exemption: <i>This issue or distribution of this [document] in the United Kingdom is being made only to, or directed only at, persons falling within one or more of the following exemptions from the financial promotion regime in section 21 of the United Kingdom Financial Services and Markets Act 2000 (FSMA): (i) authorised firms under FSMA and certain other investment professionals falling within article 19 of the FSMA (Financial Promotion) Order 2005 (FPO) and directors, officers and employees acting for such entities in relation to investment; (ii) high value entities falling within article 49 FPO and directors, officers and employees acting for such entities in relation to investment; and (iii) persons who receive this [document] outside the United Kingdom.</i> <i>The distribution of this [document] to any other person in the United Kingdom is unauthorised and may contravene FSMA. No person falling outside such categories should treat this [document] as constituting a promotion to them, or rely or act on it for any purposes whatsoever.</i>
High Net Worth Entities Exemption	No specific rubric is required for financial promotions of Investment Management & Advisory Services to High Net Worth Entities by Authorised Persons. For OFIs that are not Authorised Persons, see Investment Professionals Exemption above for the rubric which applies equally where you are using the High Net Worth Entities Exemption (Art 49 FPO).
Overseas Communicators Exemption	Article 31 of the FPO applies to non-real time communications but does not specific any particular disclaimer wording. Other Overseas Communicators Exemptions are not relevant to written marketing since they relate to real time communications only.
HNWI Exemption	For non-Authorised OFIs, if seeking to rely on the HNWI Exemption (Article 48 FPO) or Self-Certified Sophisticated Investor Exemption (Article 50A FPO) the following wording/indications must also be included: The following warning should be included: The content of this promotion has not been approved by an authorised person within the meaning of the Financial Services and Markets Act 2000. Reliance on this promotion for the purpose of engaging in any investment activity may expose an individual to a significant risk of losing all of the property or other assets invested.

The warning must be accompanied by the following information—

- (a) the full name of the person making the communication, or on whose behalf the communication is made;
- (b) a postal or electronic address to which a person should send requests for further information or any other enquiry regarding the matters to which the communication relates; and
- (c) if applicable—
 - (i) the country or territory in which the person making the communication, or on whose behalf the communication is made, is incorporated;
 - (ii) where different from the information provided under (b), the address of the registered office of the person making the communication, or on whose behalf the communication is made; and
 - (iii) the company number, or unique identification equivalent to a registered number required by the law of the state in which it is incorporated, of the person making the communication, or on whose behalf the communication is made.

The following sample wording can be used:

This promotion is made by [Full name] which is incorporated in [Country/Territory] whose registered office is at [Address] and with [Company number, or unique identification equivalent to a registered number]. Requests for further information or any other enquiry regarding the matters to which this communication relates can be sent to [postal/electronic address].

The information should be about the person making the communication, or on whose behalf the communication is made. The information about place of incorporation, registered office and company number only needs to be included if applicable.

The warning and information must:

- (a) be given at the beginning of the communication;
- (b) precede any other written or pictorial matter;
- (c) be in a font size consistent with the text forming the remainder of the communication;
- (d) be indelible;
- (e) be legible;
- (f) be printed in black, bold type;
- (g) be surrounded by a black border which does not interfere with the text of the warning; and
- (h) not be hidden, obscured or interrupted by any other written or pictorial matter.

Where due to the nature of the communication it is not reasonably practicable to include the above warning and information, it should be sent to the recipient of the communication within 2 business days of the day on which the communication was made. In this case, for the words “this promotion” in both places where they occur in

the warning, there must be substituted wording which clearly identifies the promotion which is the subject of the warning.

The communication must also be accompanied by the following indications:

- that it is exempt from the Financial Promotion Restriction on the ground that it is made to a [high net worth individual] [self-certified sophisticated investor];
- the requirements that must be met for an individual to qualify as a [high net worth individual][self-certified sophisticated investor]; and
- that any individual who is in any doubt about the investment to which the communication relates should consult an authorised person specialising in advising on investments of the kind in question.

The following sample wording can be used for high net worth individuals:

This communication is exempt from the general restriction (in section 21 of FSMA) on the communication of invitations or inducements to engage in investment activity on the ground that it is made to a high net worth individual.

A person is a high net worth individual, if that person is an individual who has completed and signed, within the period of twelve months ending with the day on which this communication is made, a statement complying with Part 1 of Schedule 5 to the FPO whose completion indicates that, in the last financial year, that person had:

- *an annual income of GBP100,000 or more (not including any one-off pension withdrawals); and/or*
- *net assets of GBP250,000 or more (not including: that person's home (primary residence), any loan secured on it or any equity released from it; that person's pension (or any pension withdrawals) or any rights under insurance contracts. Net assets are total assets minus any debts the person owes.*

Any individual who is in any doubt about the investment to which this communication relates should consult an authorised person specialising in advising on investments of the kind in question.

The following sample wording can be used for self-certified sophisticated investors:

This communication is exempt from the general restriction (in section 21 FSMA) on the communication of invitations or inducements to engage in investment activity on the ground that it is made to a self-certified sophisticated investor.

A person is a self-certified sophisticated investor, if that person is an individual who has completed and signed, within the period of twelve months ending with the day on which this communication is made, a statement complying with Part 2 of Schedule 5 to the FPO whose completion indicates that the person meets one of the conditions below:

- *the person has worked in a professional capacity in the private equity sector, or in the provision of finance for small and medium enterprises, in the last two years;*
- *the person has been the director of a company with an annual turnover of at least GBP1 million, in the last two years;*
- *the person has made two or more investments in an unlisted company, in the last two years; or*
- *the person has been a member of a network or syndicate of business angels for more than six months, and is still a member.*

	<i>Any individual who is in any doubt about the investment to which this communication relates should consult an authorised person specialising in advising on investments of the kind in question.</i> For Authorised OFIs, see the NMPI Restriction Disclaimers for HNWI in respect of marketing Open-Ended Funds in Appendix 1.A., which apply equally when marketing Investment Management & Advisory Services relating to an NMPI (albeit if there is no NMPI then these will not apply).
Self-Certified Sophisticated Investor Exemption	For non-Authorised OFIs, see HNW Individual Exemption above for the wording which applies equally where you are using the Self-Certified Sophisticated Investor Exemption. For Authorised OFIs, see the NMPI Restriction Disclaimers for Self-Certified Sophisticated Investor in respect of marketing Open-Ended Funds in Appendix 1.A. which apply equally when marketing Investment Management & Advisory Services relating to an NMPI (albeit if there is no NMPI then these will not apply).
Approval by Authorised Financial Promotion Approver Exclusion	When relying on the Approval by Authorised Financial Promotion Approver Exclusion, a statement should be included in the financial promotion stating that: <i>This [document] has been approved for the purposes of s.21 FSMA by an authorised person.</i>

B: ORAL DISCLAIMERS

See Oral Disclaimers for Open-Ended Funds in Appendix 1.B. which apply equally to Investment Management & Advisory Services.

C: DISCLAIMERS – RETAIL INVESTORS

You are advised to seek confirmation from local counsel depending on the particular services and structure being marketed and sold to Retail Investors.

APPENDIX 4**DISCLAIMERS: OTHER****A: GENERAL MARKETING DISCLAIMER**

It is advisable to state expressly that such materials do not constitute an invitation or inducement, although this would not be decisive in assessing the character of the communication.

The following sample wording can be used:

This [document] does not constitute an invitation or inducement to engage in an investment activity within the meaning of the United Kingdom Financial Services and Markets Act 2000 (FSMA).

B: INTERNET DISCLAIMER

Please see section A of Appendix 1, 2 or 3 as applicable.

C: VIRTUAL MARKETING - DISCLAIMER

Please see section A or section B of Appendix 1, 2 or 3 as applicable, i.e. depending on the media used during such virtual marketing, disclaimers for either written or oral communications should be used.

APPENDIX 5

EXEMPT PERSON UNDER THE EXEMPTION ORDER

1. **The Bank of England**
2. **The European Investment Bank**
3. **The International Bank for Reconstruction and Development**
4. **The International Finance Corporation**
5. **The International Monetary Fund**
6. **The African Development Bank**
7. **The Asian Development Bank**
8. **The Caribbean Development Bank**
9. **The Inter-American Development Bank**
10. **The European Bank for Reconstruction and Development**
11. **Bank for International Settlements**
12. **Bank of England Asset Purchase Facility Fund Limited**
13. **Covid Corporate Financing Facility Limited**
14. **National Wealth Fund Limited**